Trade and Gender Review of Latin America

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BETTER POLICIES FOR BETTER LIVES

Please cite this publication as:
OECD (2025), *Trade and Gender Review of Latin America*, OECD Publishing, Paris, https://doi.org/10.1787/c906a2f7-en.

ISBN 978-92-64-44570-3 (print)
ISBN 978-92-64-34482-2 (PDF)
ISBN 978-92-64-54766-7 (HTML)

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Foreword

This *OECD Trade and Gender Review of Latin America* sheds light on women's engagement in trade and the impacts of trade and trade policies on women in seven Latin American countries: Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru. It examines women in trade in three of their economic roles: as workers, consumers, and business leaders This review draws from the methodology outlined in the OECD's Trade and Gender Framework of Analysis. It sets out a number of policy recommendations to ensure women in Latin America share in the benefits from trade and contribute to make their region more prosperous and thereby a safer and more desirable place to live and work.

The research and analysis employed and adapted OECD tools and data such as the Services Trade Restrictiveness Index (STRI), the Trade Facilitation Indicators (TFI), Trade in Value Added (TiVA) and Trade in Employment (TiM) by characteristics data, the METRO trade model and the Future of Business Survey (FOBS). Quantitative findings were complemented by structured discussions with women entrepreneurs and exporters during a series of workshops and interviews. This input gathered in round tables with women business leaders in Colombia, Costa Rica, Mexico and Peru helped to draw out relevant trends and pinpoint specific challenges women face in each country.

The analysis and policy recommendations in this *Review* were developed by the OECD in consultation with officials from OECD Members and all countries examined in this *Review* in discussions in the Working Party of the Trade Committee. All countries had a chance to comment on the findings and recommendations, and many took advantage of that opportunity.

The evidence and policy recommendations presented in this *Review* aim to inform future actions to improve women's participation in trade in Latin America. A phase two of this *Review* is underway and focuses more keenly on a subset of the countries covered in this *Review*, further tailoring policy recommendations to their specific settings.

Acknowledgements

The lead author of this *Review* was Jane Korinek, Senior Economist and Senior Policy Analyst in the OECD's Trade and Agriculture Directorate. Other contributing authors were Christine Arriola (women consumers), Alex Jaax (trade costs), Silvia Sorescu (trade facilitation) and Elisabeth van Lieshout (women workers and business leaders) of the OECD; and consultants Amrita Bahri (gender-related provisions) and Sofia Loria (services trade). Isabel Araújo Cabronero, Alejandra Gonzalez, Federico Stronati and Josefina Waugh provided statistical and research assistance, and Laëtitia Christophe and Michèle Patterson provided editorial assistance.

The research benefitted from substantive comments and discussions in the OECD Working Party of the Trade Committee, made up of all 38 OECD Member countries as well as non-Member Observers.

The quantitative and policy research was complemented by a set of round tables and interviews with women business leaders and exporters in Mexico (July 2023), Colombia (November 2023), Costa Rica (March 2024) and Peru (May 2024). Huge thanks to Luz María de la Mora, Sofia Pérez Gasque, Angélica Brito, Mónica Aspe, Mónica Loaiza and Maria del Carmen Bernal in Mexico; María José Rojas Segura and Ana Laura Vega Rodriguez in Costa Rica; Paola Buendía García of ANDI, Colombia; and Sandra Herrera Cardenas and Emily Ore Ichpas of MINCETUR, Peru for their insights, their willingness to share their contacts and/or organization of discussions with women business leaders. Too numerous to name, the participants in the round tables made this publication better and more closely grounded in lived experience.

The author is grateful to John Drummond, Head of Division, and Marion Jansen, Director of the OECD Trade and Agriculture Directorate for their guidance throughout the preparation of this *Review*.

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Executive Summary

In all seven Latin American countries in this Review, women work less in jobs that are both directly and indirectly related to trade than men do, and gender gaps have remained remarkably static over time. Women are up to 40% less likely to be engaged in export-dependent jobs compared with men. They work less in jobs that produce goods and services that are exported (direct employment in trade), and also work less in jobs that produce goods and services that are used as inputs into exports (indirect employment in trade). This is largely due to occupational segregation, where women work more in sectors that are less traded such as health, education, public administration and "other services"— largely face-to-face personal services such as beauty salons and child and elder care. Since trade-related jobs are better paid, more productive, and more likely to be in the formal sector than jobs that produce goods and services for the domestic market, occupational segregation means that women do not benefit from the advantages and better pay that trade-related jobs offer. High-skilled women particularly tend to work in sectors that are less traded.

Engaging in international trade improves firm performance. Women are substantially less likely than men to lead businesses and the businesses they lead are substantially less likely to trade. Ten percent of women-led firms are engaged in international trade in the seven examined Latin American countries, compared to 14% of men-led firms. Both women-led and men-led firms in Latin America export less compared to their counterparts in the OECD. However, the gender export gap in the Latin American countries is smaller than in the OECD, which indicates that lower levels of export do not only plague women-led firms.

Some of the challenges business leaders say they face illustrate the gender export gap. Access to finance is a well-known challenge for women business leaders: in particular, they indicated that securing financing for everyday activities is more of a challenge than their male counterparts. When specifically asked about challenges they face in international trade, women entrepreneurs more often cite issues such as a lack of understanding of foreign markets which may point to a policy opportunity to close an informational gender gap. Women business leaders are also more likely to indicate that access to the internet is a challenge for them, and this is particularly true in the countries where fixed broadband access is more costly relative to income.

Using a proxy for informality devised for this *Review*, it was found that women-led firms are more likely than men-led ones to be in the informal economy. Moreover, gender disparities persist in this context: men led businesses, whether formal or informal, show a higher inclination towards exporting than those led by women. Since the potential gains from trade could be an incentive for firms to formalise, programmes that encourage formalisation could be combined with efforts to promote exports and assist firms toward export readiness.

Women work and lead businesses in their majority in services sectors. Barriers to services trade can increase the cost of those services, thereby impacting the competitivity of businesses — both women- and men-led — further down the value chain.

Women-led firms tend to be smaller than those led by men and are therefore more negatively impacted by cumbersome, non-transparent and lengthy administrative processes at the border. While their trade facilitation performance remains below the average of OECD economies, Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico, and Peru all exceed the average performance of the Latin America and Caribbean region and also perform on par or better than the average for other regions such as Asia-Pacific and Europe and Central Asia. The trade facilitation policy environment has been consistently improving over the past decade in the seven countries. This progress is reflected in increased efficiency in border processes in many of the countries under review, with improvements experienced by the private sector in customs clearance ranging from 3% to 20% since 2017 when the WTO Trade Facilitation Agreement entered into force.

Trade impacts consumers by lowering prices and increasing the variety of goods available. In Latin America as elsewhere, lower income households benefit disproportionately from lower import tariffs; in fact, households at the lowest income decile lose purchasing power twice as much as households at the highest income decile due to tariff-induced price increases. In Costa Rica, the only country with gender-specific data on household expenditure and income, some differences exist in spending patterns of women-led and men-led households on goods such as personal care, car-related items and water supply, but these are minor compared to the overall influence of income.

Latin American countries have led other regions in incorporating gender chapters and gender-related provisions in their trade agreements since 2016 when Chile-Uruguay was the first trade agreement ever to include a gender chapter. Of the 87 trade agreements signed by Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru, 40 contain gender-explicit provisions. All countries included in this Review have joined the Global Trade and Gender Arrangement (GTAGA), a cooperation arrangement which seeks to promote an inclusive approach towards international trade, eliminate barriers women face in accessing trade opportunities, and increase the number of women entrepreneurs in trade. GTAGA is a landmark initiative which is both innovative and comprehensive in its scope, and is strongly geared toward improving women's access to trading opportunities.

The last section of this *Review* suggests areas for policy reform to better support gender equality in trade. They include making trade agreements more inclusive; market access considerations; support for gender-responsive policymaking; trade facilitation reforms; recommendations for trade promotion agencies and professional networks; and increasing the availability and use of gender-differentiated data. Moreover, domestic policies underpin women's ability to engage in trade. These include legislation and policies to reduce gender wage gaps, protect workers from sexual harassment, incentivise reporting on gender balance on corporate boards and senior management, ensure access to finance, and reduce costs to access digital networks and services. It also includes ensuring the possibility for work/life balance that is less accessible to women in a context of long working hours and large gender differences in unpaid work. Moreover, tackling the scourge of gender-based violence will be necessary to ensure a context where women can thrive in Latin America and are able to take advantage of economic opportunities, including through trade.

1 Introduction

There exists a strong case to implement public policies that aim to increase women's economic empowerment, including through trade, from both an equity and an efficiency perspective. Gender gaps in Latin America are large and barriers to women's participation in labour markets and in trade persist. Strong gendered norms and unconscious bias have been recorded in some of the countries under review; moreover, many of these perceptions have not diminished over time. Closing gaps between women and men in trade may provide a low-hanging fruit of under-harnessed growth opportunities in the region

Latin American countries have been leaders in integrating gender in trade policies. They have been early adopters of gender-specific provisions in trade agreements: the first trade agreement to include a gender chapter was Chile-Uruguay in 2016. Moreover, the countries of Latin America have been strong supporters of work on trade and gender within the WTO. All of the seven countries under review—Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru—are signatories to the Buenos Aires Declaration on Women in Trade and have shown support for, and engagement in, the WTO Informal Working Group on Trade and Gender. [1] All seven countries included in this *Review* are members of the Global Trade and Gender Arrangement (GTAGA), a wide-ranging cooperation agreement that serves as a blueprint for supporting women's empowerment through trade. Many countries in the region have implemented programmes to support women exporters, oftentimes named She Exports.

Some of the countries under review have prioritized work on trade and gender in plurilateral contexts. In 2024, Brazil prioritized Women in Trade as one of four workstreams in the Trade and Investment Working Group under its G20 Presidency. The G20 and B20 held numerous discussions and events on the theme of women in trade. Peru also prioritized work on trade and gender as the 2024 Asia-Pacific Economic Cooperation (APEC) Chair. These discussions serve to share experiences, information and analyses and are valuable vehicles for advancing women's empowerment through trade.

These accomplishments indicate that there is substantial political will in the region to move forward on women's economic empowerment and lowering the barriers they face, including through trade. Nonetheless, gender gaps persist. Many countries under review rank lower than the OECD average in the World Economic Forum's Gender Gap Index.[2] Moreover, in terms of the Economic participation and opportunity component of the WEF Gender Gap Index, the countries under review rank much lower: between 71 (Colombia) and 109 (Mexico) out of 146 countries.[3] Moreover, strong gendered norms and unconscious bias have been recorded in some of the countries under review: in some countries, substantial numbers of people think that men make better managers than women, that it is more important for men to obtain University degrees than women, and that in situations of job shortages, men should be hired first (Haerpfer et al., 2022[1]). Moreover, many of these perceptions have not diminished over time, and in some cases have increased.

There exists therefore a strong case to implement public policies that aim to increase women's economic empowerment, including through trade, from both an equity as well as an efficiency perspective: discrimination or unconscious bias suggest an underutilization of human capital and unharnessed growth opportunities. Progress in women's participation in labour markets, closing of wage and wealth gaps and breaking of "glass ceilings" can further break down entrenched societal norms by introducing new female role models[4] and changing workplace culture.

This *Review* aims to increase understanding about women's engagement in trade as workers and as entrepreneurs and business leaders, and shed light on the impacts of trade on women consumers in different types of households. It examines trade policy settings in the seven Latin American countries that are most relevant to women in their economic roles as workers, business leaders and consumers. This Review operationalises the methodology outlined in the OECD Trade and Gender Framework of Analysis (Korinek, Moïsé and Tange, 2021[2]), and suggests ways in which the aim of greater economic empowerment of women can be translated into concrete policies. It follows the Framework of Analysis that was applied in the first *Trade and Gender Review of New Zealand*. The present *Review* examines seven countries—Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru—according to a similar methodology as was used for New Zealand albeit at a somewhat more aggregate level. The country coverage in each sub-section of this *Review* depends on data availability.[5]

The quantitative analysis of available data and review of existing studies were complemented by a set of round tables with women entrepreneurs, business leaders and exporters in Mexico, Colombia, Costa Rica and Peru between July 2023 and May 2024. These round-table structured discussions, and follow-up conversations with some women business leaders, offered a precious complement of information regarding the challenges women face in trade in the countries under review.

The *Review* is structured as follows. Chapter 2 examines women workers in trade; Chapter 3 examines women business leaders' engagement in trade; Chapter 4 examines trade's impacts on different types of households through the price mechanism; Chapter 5 covers trade in services, the sector where most women work and lead businesses; Chapter 6 covers trade facilitation, particularly important for smaller businesses; Chapter 7 examines gender-related provisions in trade agreements; and Chapter 8 suggests some trade and other policies that would further support women's economic empowerment through trade in the seven Latin American countries.

References

Haerpfer, C. et al. (2022), *World Values Survey Wave 7 (2017-2022)*, Cross-National Data Set, Version 4.0.0, World Values Association, https://doi.org/10.14281/18241.18. [1]

Korinek, J., E. Moïsé and J. Tange (2021), *Trade and gender: A Framework of analysis*, OECD Publishing, Paris, https://doi.org/10.1787/6db59d80-en. [2]

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Notes

[1] The Informal Working Group on Trade and Gender brings together WTO members and observers seeking to intensify efforts to increase women's participation in global trade. The Working Group's Work Plan is based on four pillars: (i) reviewing analytical work undertaken; (ii) experience sharing; (iii) considering the concept and scope for a "gender lens"; and (iv) contributing to the Aid-for-Trade Work Programme.

[2] Rankings in aggregate 2024 WEF Global Gender Gap Index are Costa Rica (19), Chile (21), Argentina (32), Mexico (33), Peru (40), Colombia (45) and Brazil (70). The index is made up of four components: educational attainment, health and survival, economic participation and opportunity, and political empowerment.

[3] Many of the countries in the region rank lower in terms of economic participation and opportunity, often due to high wage inequality, low labour force participation and low participation in senior management: Colombia (71), Peru (77), Costa Rica (81), Brazil (88), Chile (92), Argentina (97) and Mexico (109) out of 146 countries.

[4] One initiative in Mexico is a children's book, aimed at ages 10-15, called *Empresarias Chidas* ("Cool Women Entrepreneurs") which showcases women business leaders in Mexico and their journeys to leadership (Luciana Biondo, 2023[3]).

[5] The section that examines women's employment through the value chain, the section on women business leaders, the section on trade facilitation and the one on gender provisions in trade agreements cover all seven Latin American countries. The section on services trade examines all seven Latin American countries regarding digitally delivered services but excludes Argentina for other services. The section that examines the impacts of trade and trade barriers on consumption by household income level includes information on Chile, Costa Rica, Mexico and Peru; consumption impacts by the gender of head of household is only available for Costa Rica.

2 Women workers

Trade-related jobs are better paid, more productive, and more likely to be in the formal sector than jobs involved in producing goods and services for the domestic market. However, women are less likely to work in trade-related jobs, both in jobs that produce goods and services that are exported and those that produce goods and services that are inputs into export processes. High-skilled women are particularly unlikely to work in export-oriented jobs. These gender gaps have changed little over time

Trade-related jobs are better paid, more productive, and more likely to be in the formal sector than jobs involved in producing goods and services for the domestic market. A number of studies have shown that trade improves women's role in the labour market, reduces occupational segregation, promotes a move toward more formal jobs and lowers gender wage gaps in Latin American countries (World Bank and World Trade Organisation, 2020[1]; Ernesto Aguayo-Tellez, 2010[2]; Connolly, 2022[3]; Gaddis, 2017[4]; Ederington, 2024[5]; Heckl, 2024[6]) although some studies indicate that impacts depend on the country of origin of imports and level of workers' education (Paz, 2021[7]) and others differ in their conclusions about impacts on the levels of male and female employment and changes over time (Hani Mansour, 2022[8]).[1] Ensuring that women can access jobs that allow them to engage in international markets brings women benefit from the gains from trade and allows them to take advantage of additional professional opportunities.

This chapter uses the OECD's Trade in Employment (TiM) by Characteristics database to analyse the extent to which women are engaged in trade through their employment, and potential factors that influence their engagement in trade, in the seven Latin America covered in this *Review*. Methodology and details on the dataset are presented in Box 2.1.

Box 2.1. Methodology and data

This analysis uses data from the Trade in employment (TiM) by characteristics database from 2010 to 2020. This analysis should be considered as a structural analysis rather than a snapshot of the present situation.

The TiM database is derived from the Trade in Value Added (TiVA) indicators, which capture the value added created by each country in the production of goods and services. This provides insights into GVCs that are not possible with conventional gross trade statistics. TiVA data are estimated using Inter-Country Input-Output (ICIO) tables that show flows of final and intermediate goods and services by industry.

The Trade in Employment data combines TiVA with employment data by industrial activity. It estimates the share of employment that is sustained by exporting activities and shows to what extent a country's labour force is dependent on its international integration. Additionally, the TiM by Characteristics database adds the dimension of workers' characteristics. These characteristics include gender, age (divided into three categories: ages between 15-29, 30-49, and 50+), skills level based on occupation (three categories: high-, medium- and low-skilled), and skills level based on education (three categories: high-, medium- and low-skilled).

This analysis uses the indicator "domestic employment embodied in gross exports" as it provides a comprehensive picture of employment by sector, by characteristic, and corresponding engagement in direct and indirect trade.

Source: Horvat, Webb and Yamano (2020[9]).

2.1. Employment in export-oriented jobs by gender

In all seven Latin American countries, women are less likely to work in export-dependent jobs than men, both as regards direct exports and indirect exports (Figure 2.1).[2] This is also true for OECD Member countries overall: women are less engaged in export-dependent jobs than their male counterparts. In Argentina, and Brazil, women are approximately 40% less likely to be engaged in export-dependent jobs than men.[3] In Colombia and Chile, women are between one-quarter and one-third less likely to be engaged in export-dependent jobs. In Costa Rica, Mexico,[4] and Peru, the gender difference in the likelihood of participating in export-dependent jobs is smaller, with women being less than 20% less likely than men to hold these positions. In terms of overall engagement in trade, Costa Rica shows the highest shares of employment dependent on exports followed by Mexico and Chile. As a smaller, outward-looking economy, Costa Rica has more people employed in direct and indirect exports — both women and men — than other countries in the sample. Costa Ricans are also more likely to work in export-oriented jobs than workers on average in the OECD.

Conversely, Colombia shows the lowest levels of export-oriented employment. This could be explained by the country's relatively lower levels of trade and trade openness. Colombian exports are below average for Latin American countries and Colombia's trade barriers remain high. Moreover, the use of non-tariff barriers has grown (OECD, 2022[10]). More recently, the situation in Venezuela, traditionally one of the country's main trading partners, has had a significant negative impact on Colombia's exports.

In Chile, women's employment in direct exports is relatively lower than for some of its neighbours and is lower than the OECD average. This is partly due to its large share of exports of minerals, a male-dominated sector (although mining is a highly capital-intensive sector, employing fewer people than many other export sectors). Similar to the findings for Chile, Brazilian exporting firms in agriculture, mining and resources sectors employ fewer women (Ministério da Indústria Comércio Exterior e Serviços, 2023[11]).

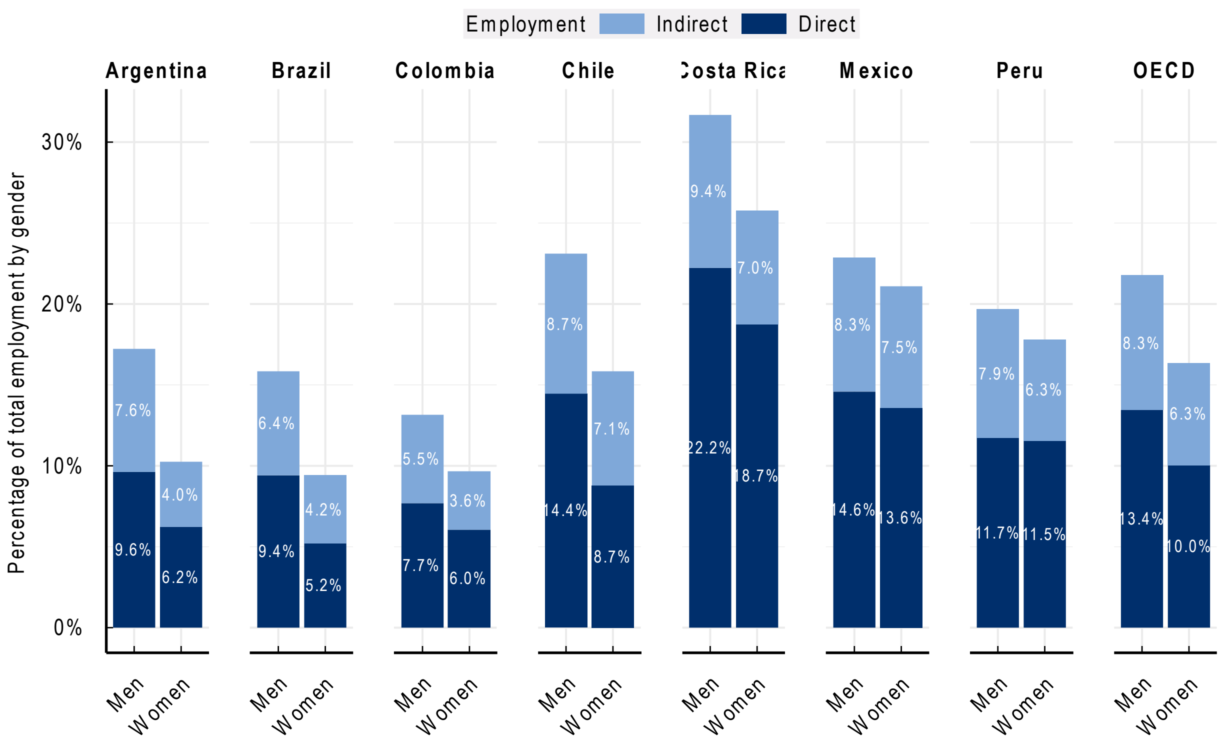
Both in the Latin American average and in the OECD, distribution services employ a large number of workers engaged in exports (Figure 2.2).[5] Most other services sectors employ many fewer workers that are engaged in exports. In Chile, the main export sectors — distribution, materials, and other manufacturing — employ more men than women. Colombia presents a similar pattern as Chile, but with relatively fewer workers engaged in export overall. Costa Rica, with high levels of employment embodied in gross exports, presents noticeable gender gaps in export-intensive sectors like agriculture and other manufacturing sectors. Similarly, Argentina and Brazil present noticeable gender gaps in export-dependent employment mainly in agriculture, other manufacturing and distribution.

Mexico's and Peru's relatively small gender gaps in export-oriented employment seen in Figure 2.1 are due to the industry composition of exports that employ the most workers, i.e. manufacturing sectors and distribution (Annex 2.A) being very gender balanced (Figure 2.2).

In general, however, the gender export gap is wide in the main goods export sectors, in particular agriculture and manufacturing. This is the case for the most part in the seven Latin American countries, and has been shown to be the case in many OECD Member countries (see, for example, Korinek, Moïsé and Tange (2021[12]) OECD (2022[13]).

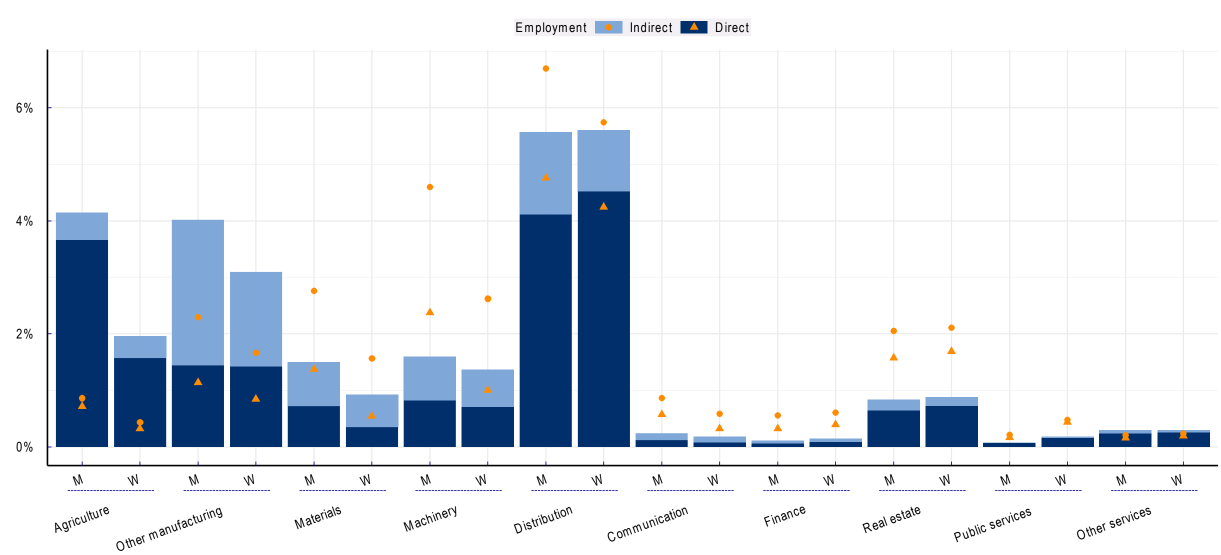
Exploring the relationship between women's participation in employment and the export-intensive nature of industries suggests that sectoral segregation, i.e. women and men working in different sectors, explains much of the gender gap in export-oriented employment (Figure 2.3). Sectors where women make up a strong share of the employed are generally sectors where gross exports are less. In Brazil, Chile and Mexico, export-oriented employment is lower compared with jobs that produce goods and services for the domestic sector, regardless of the percentage of women in the sector. This is in part due to the size of those economies as their businesses may find sufficient economies of scale without entering onto export markets.

Figure 2.1. Employment embodied in exports is male dominated



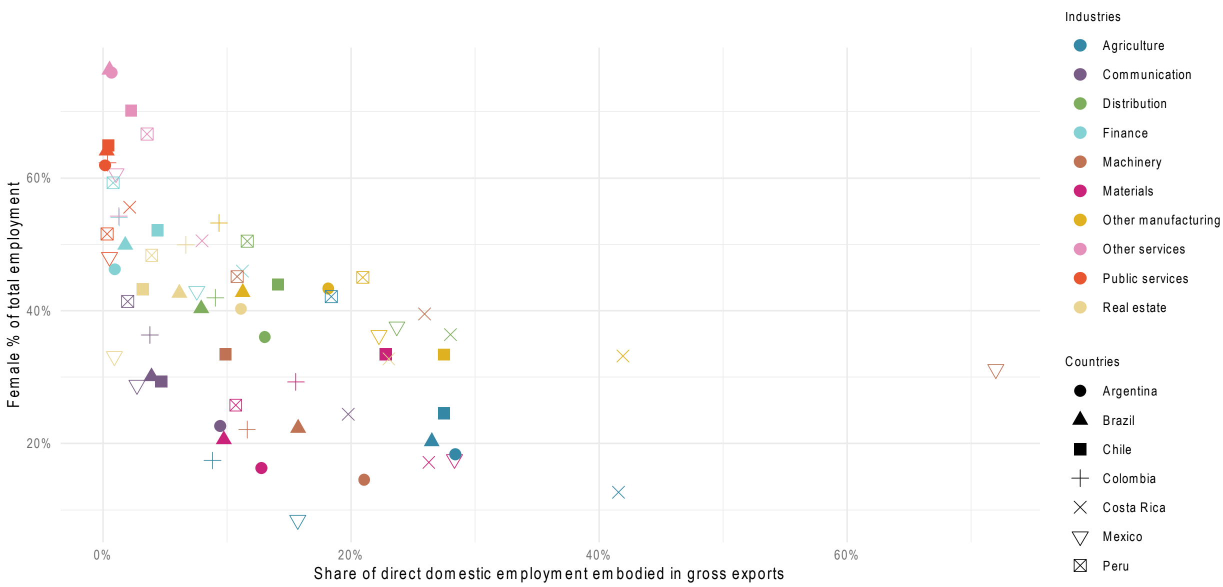
Note: Domestic employment embodied in gross exports (2019).
Source: OECD Trade in Employment (TiM) by characteristics.

Figure 2.2. Many export-intensive industries are male dominated



Note: Domestic employment embodied in gross exports by industry average of the seven Latin American countries (2019). OECD averages are represented by the orange figures. W denominates women and M, men. Other manufacturing includes food, textile, and wood products; Distribution includes distributive trade, transport, accommodation, and food services; Public services include public administration, defense, education, and health; Other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristic.

Figure 2.3. Female intensive industries are not export-intensive



Note: Female share in employment and employment export intensity in 2019. Other manufacturing includes food, textile, and wood products; Distribution includes distributive trade, transport, accommodation, and food services; Public services include public administration, defense, education, and health; Other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristics

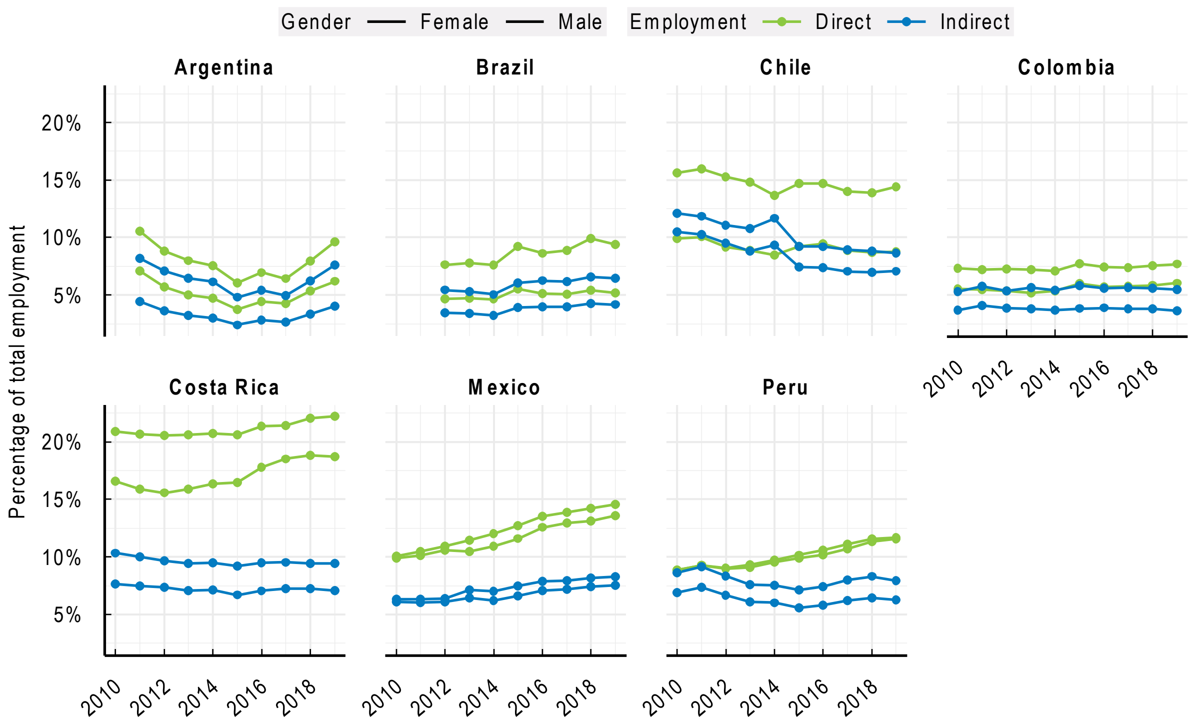
2.2. Have gender gaps in export-oriented jobs changed over time?

In Brazil, and Mexico, employment embodied in exports has increased slowly between 2010 and 2019 for both men and women (Figure 2.4). In Costa Rica and Peru, only employment directly embodied in gross exports increased over the years. Costa Rica's increase in export-oriented employment can be attributed mainly to changes in the machinery sector. The wider policy context also helps to explain these trends: Costa Rica's effective growth has been based largely on open trade and foreign direct investment (OECD, 2023[14]). Costa Rica has been engaged since the 1980s in a structural transformation from an agriculturally based economy to a more diversified economy that is increasingly integrated into GVCs (OECD, 2018[15]). In Chile the share of employment embodied in exports decreased over the period. Argentina shows a U-shape development, where employment in exports decreased until 2015 and then recovered almost reaching 2010 levels.

In Chile, employment in gross exports has decreased, mainly arising from considerable decreases in the machinery and materials sectors. The collapse of international commerce that followed the 2008 global financial crisis and the drop in commodity prices over the period under review severely affected exports of mining and manufactured goods. Productivity in the mining sector was furthermore negatively impacted by greater extraction costs due to lower ore grades. Many industries were impacted by decreased multifactor productivity growth and a fall in external demand (OECD, 2018[16]). Higher commodity prices in recent periods may somewhat reverse this trend.

Gender gaps have remained remarkably similar over the ten-year period and in all countries, in both direct and indirect export-oriented employment. In Brazil, Chile and Costa Rica, gender gaps in direct export employment are wider than those for indirect exports. This may also be largely explained by occupational segregation, i.e. women working in services that are much more likely to be inputs into direct exports, and less likely to be engaged in heavily exported sectors such as agriculture and manufacturing.

Figure 2.4. Domestic employment embodied in gross exports over time

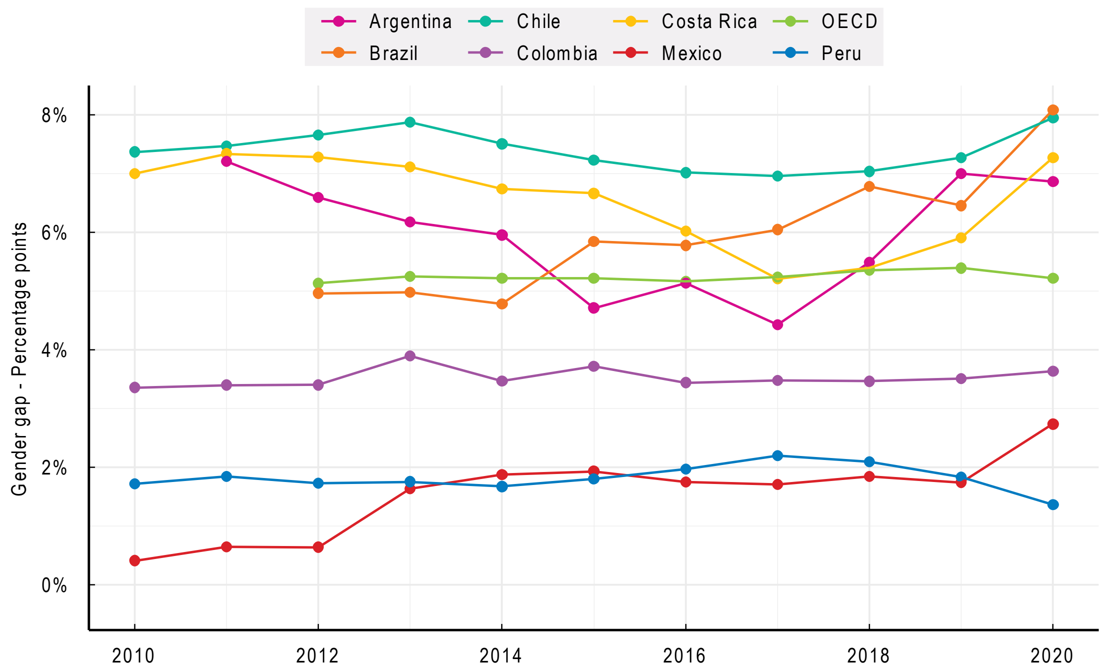


Note: Evolution of domestic employment embodied in gross exports.
Source: OECD Trade in employment (TiM) by characteristic.

Gender gaps in export employment have been the highest in Chile and Costa Rica over the years, with percentages above the OECD average, while Brazil and Argentina have also shown high percentages in recent years (Figure 2.5). Gender gaps in export employment are lowest in Mexico and Peru, followed by Colombia, when examining both direct and indirect employment. Even though Argentina and Costa Rica experienced a decrease in gender gaps in employment supported by exports, the gap widened again by the end of the decade. Meanwhile, the other countries under review did not significantly narrow their gender gaps.

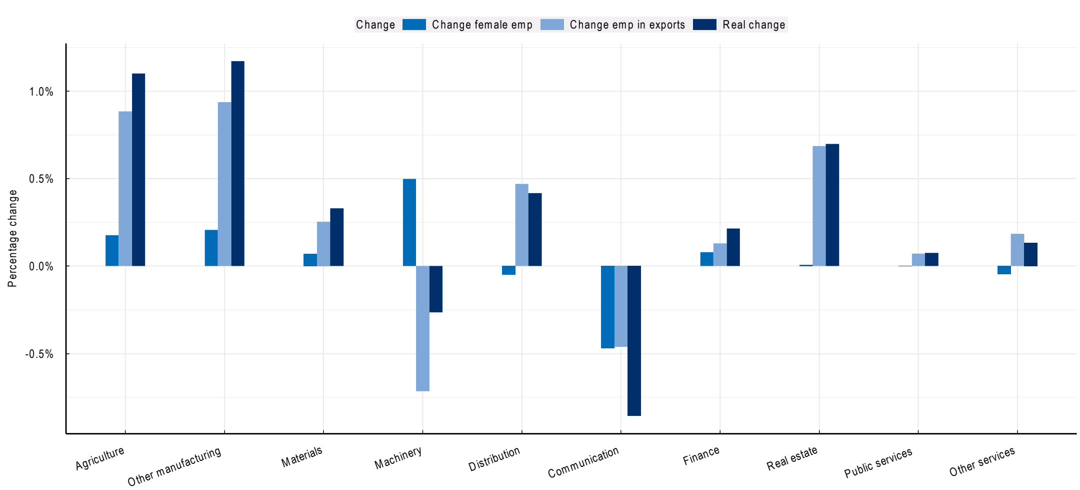
Changes in the shares of female employment embodied in exports can be decomposed into *employment export intensity* (a change in the share of employees engaged in exports in a specific industry) and *female intensity* (a change in the number of female employees who were reallocated from domestic sectors to work in export-oriented sectors). Changes in women's participation in export-oriented jobs have occurred mainly due to an increase in employment export intensity, i.e. more workers engaged in exports, rather than a reallocation of women toward export sectors (Figure 2.6). However, there are some exceptions where there has been a clear reallocation of female workers into exporting sectors, such as the agriculture, other manufacturing and materials in Chile or machinery and communications in Costa Rica.

Figure 2.5. Evolution of gender gap in employment embodied in gross exports



Note: Gender gap refers to the total gender gap which combined direct and indirect employment. This is computed by taking the difference between: the sum of male direct and indirect employment divided by the total male employment and the sum of female direct and indirect employment divided by the total female employment for each year between 2010 and 2020.
Source: OECD Trade in employment (TiM) by characteristic.

Figure 2.6. Changes in female employment in exports are driven by export intensity changes



Note: Change of direct female employment embodied in gross exports as an average of the seven Latin American countries (2010-2019). 'Real change' refers to the percentage change of female employment embodied in gross exports from 2010 to 2019. This change is composed of 'change female intensity', which is the percentage change of female workers in each sector, and 'Change employment export intensity', which refers to the percentage change in employment embodied in gross exports in each sector. Other manufacturing includes food, textile, and wood products; Distribution includes distributive trade, transport, accommodation, and food services; Public services include public administration, defense, education, and health; Other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristics combined with Trade in Value Added (TiVA).

2.3. Skills, employment and trade

Skills levels are a strong determinant of employment opportunities, wages and job quality. Since trade-related jobs are generally better paid and require higher productivity, skills—here proxied by educational attainment—are of potential significance.[6] Overall, the seven countries analysed present a pattern of high shares of low-skilled workers in the primary sector (agriculture), high percentages of medium-skilled workers in the secondary sector (industries related to manufacturing), and high percentages of high-skilled workers in the tertiary sector (industries related to services) with the exception of distribution services that are medium-skills intensive (Annex Figure 2.A.1).

Women are mainly employed in sectors related to services, which are dominated by high-skilled workers. Therefore, the share of female employment is positively correlated with the share of high-skilled employment (Figure 2.7). However, this relationship is mainly true for public services, which have a high share of both high-skilled workers and female workers. The highly skilled sectors where women work, such as public services, health and education, are generally less traded.

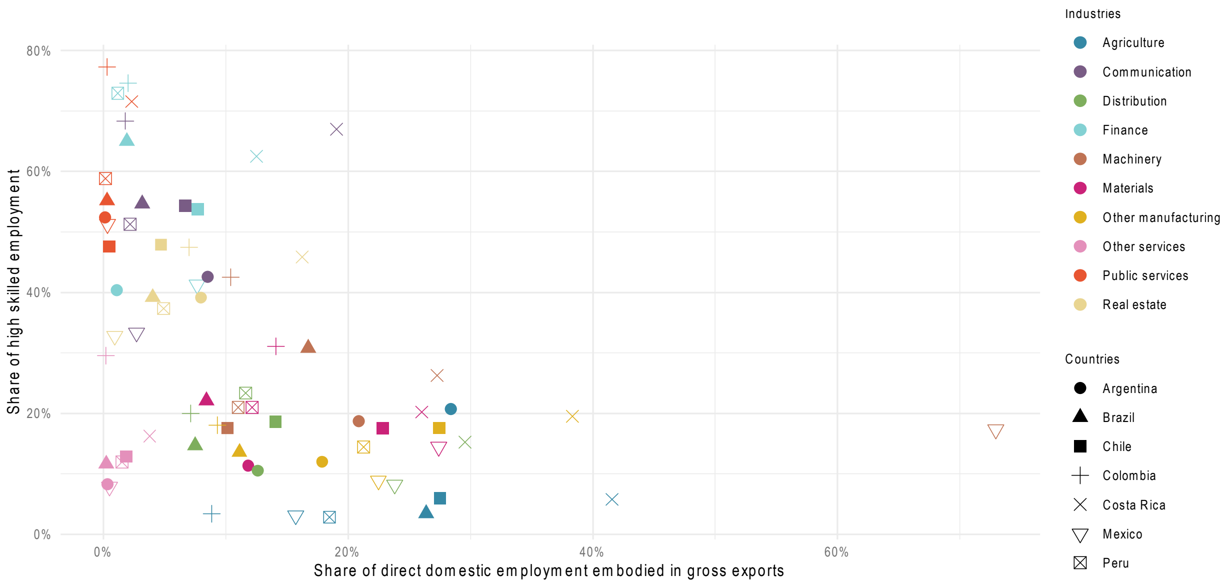
Figure 2.7. Female share of total employment and share of high-skilled workers

Note: Female share in employment and high skilled employment in 2019. Colours represent industries and shapes represent countries. Other manufacturing includes food, textiles and wood products; distribution includes wholesale and retail trade, transport, accommodation, and food services; public services include public administration, defense, education, and health; other services include art, entertainment, personal services, activities of households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristic.

In general, there is a negative correlation between the share of high skilled workers in a given sector and the share of employment engaged in gross exports in that sector (Figure 2.8). This illustrates that the most high-skill intensive sectors, as seen above mostly services sectors, employ fewer workers in export-oriented jobs. It is important to note that there is an outlier in Figure 2.7: the ‘other services’ category. “Other services” has low shares of high-skilled workers, but high shares of female employment. These services include personal care, pet care, and child, elder care, art, entertainment, activities of households as employers and activities of households for their own use. These services, besides being rarely traded, are often public-facing, which increased the impact of the COVID-19 pandemic on women.

Some evidence drawn from the Chile-Mexico FTA suggests that the implementation of the FTA increased women's employment in highly skilled jobs by 8.8% and increased labour and overall productivity (by 2.6% and 5.7% respectively) (Banerjee, Castro Penarrieta and Chakraborty, 2022[17]). This suggests a potential increase in demand for skilled labour due to increased trade that was filled by skilled female workers.

Figure 2.8. Share of high-skilled workers and export intensity of employment



Note: Employment export intensity and high skilled employment in 2019. Other manufacturing includes food, textile, and wood products; distribution includes wholesale and retail trade, transport, accommodation, and food services; public services include public administration, defense, education, and health; other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristics combined with Trade in Value Added (TiVA).

2.4. Women at work: Regulatory context and societal norms

The regulatory context in which women work, as well as societal norms, impact their ability to participate fully in the labour force and in higher-paid employment such as trade-related jobs. Regulations that particularly impact women's ability to compete in labour markets include explicit requirements of equal pay for equal work, enforced sexual harassment legislation, and barriers to women's participation in certain professions and workplaces. In Colombia and Mexico, there is no explicit legislation that requires firms to apply equal pay for equal work (World Bank, 2023[18]). Gender-pay gaps mean that women have less access to resources and therefore less opportunity to start their own business (Section 2.4). They also mean that women tend to be closer to the poverty line than men (Section 2.3).

In Argentina and Colombia there are no civil or criminal penalties for sexual harassment in the workplace (World Bank, 2023[18]). This suggests women may be more vulnerable to such behaviours in those countries and have less recourse in the case of sexual harassment.

In Argentina, women are not allowed to work in certain professions. These include loading and unloading of ships; working in quarries or underground works; loading or unloading by cranes or winches; and working as machinists.[7] This is particularly relevant as Argentina signed the WTO Joint Initiative on Domestic Services Regulation which includes a provision on non-discrimination between men and women services suppliers and some of those professions would be classified as services.

It should be noted that measures have been taken in some Latin American countries recently that represent a positive evolution to protect and support women in the workplace. For example, on 3 July 2023 in Brazil, Law No. 14,611 was published and provides for equal pay between women and men for carrying out work of equal value or performing the same function. The law defines new mechanisms for salary transparency and supervision, in addition to increasing penalties for companies that fail to comply with the rules. In Chile, the Ley Karin entered into force on 1 August 2024 that outlaws sexual harassment in the workplace.

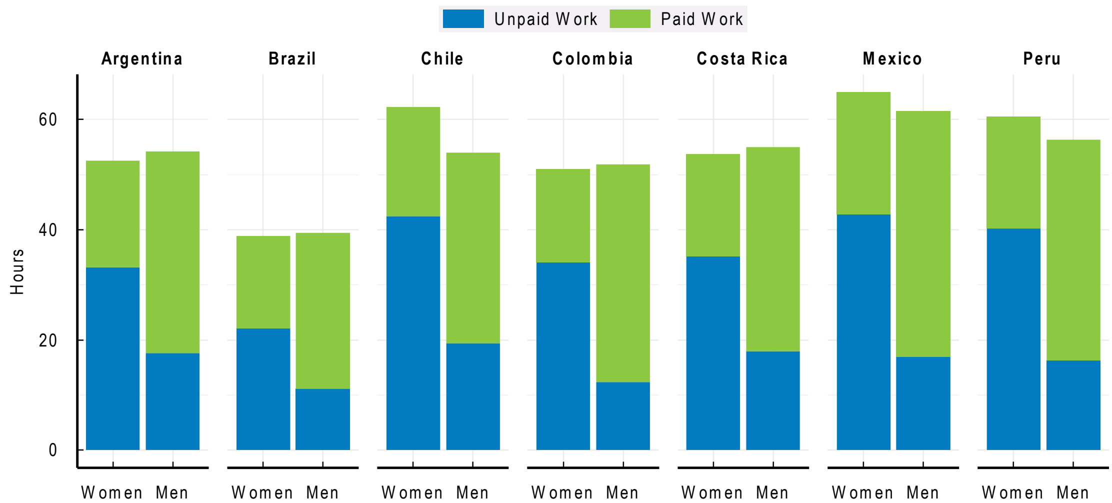
Peru's employment legislation is one of the most gender-equal of the seven Latin American countries under review. In Peru, discrimination in employment on the basis of gender is unlawful, as is dismissal of pregnant workers. Peru's legislation mandates equal pay for work of equal value and prohibits sexual harassment in employment with penalties for non-compliance. Peru's legislation prohibits discrimination in access to credit based on gender, and women and men have similar rights in registering a business, signing a contract and opening a bank account. Women and men have equal ownership rights to immovable property and equal rights to inherit assets (World Bank, 2023[18]). Moreover, a mandatory paid paternity leave of ten days is in force, which can be extended to 30 days in special health cases.

Women's ability to lead and thrive in the workplace is also hampered by societal norms, values and perceptions, including those held by women themselves. According to the most recent World Values Survey (Haerpfer et al., 2022[19]),[8] two out of ten people in Mexico say men are better executives solely because of their gender. Twenty-eight per cent (28%) of Chileans say that when there is a labour shortage, men should have a greater right to a job compared to 5% of people in the United States, 12% of Argentinians, 19% of Brazilians, 25% of Mexicans and 26% of Peruvians. Over half of Mexicans and Brazilians consider that when a mother has a paid job, her children suffer, compared with 48% of Chileans, 44% of Peruvians and 20% of people in the United States. Over half of Mexicans think that if a woman earns more money than her husband, this is almost certain to cause problems, compared to 36% of Brazilians, 35% of Chileans, 26% of Peruvians, 18% of Argentinians and 9% of people in the United States. One in five Mexicans say it is more important for a man than for a woman to have a university degree, double the response rates in the United States and Brazil. Moreover, many of these perceptions have not diminished since a similar survey in 2012, and some have increased.

One type of social norm that blocks women for engaging in paid work is the amount of unpaid work they do, including domestic work and caring for children and elders. In many Latin American countries, women do at least twice the amount of unpaid work than men do (Figure 2.9). When women are engaged in a substantially large proportion of unpaid work, they have fewer hours to engage in paid work, look for a job, and expand their networks in order to increase future job prospects.

Figure 2.9. Paid and unpaid work by women and men

15 years and older, weekly hours



Source: ECLAC, Gender Equality Observatory for Latin America and the Caribbean (https://oig.cepal.org/es).

2.5. Informality

It should be noted that the preceding analysis refers specifically to jobs in the formal sector whereas many jobs in Latin America are situated in the informal economy.[9] The ILO estimates that since 2020, four out of every five jobs created for women and two out of every three jobs for men have been situated within the informal economy.[10] A 2022 survey in Mexico found that out of the 57 million people that are part of the workforce, 44% work in the formal sector, while the remaining 56% work in the informal economy in Mexico. Informal work seems to be similarly distributed between women and men with 56% of women (approximately 13 million) working in the informal economy and 44% (around 10 million) in the formal economy.[11] In Peru, close to 75% of women and 65% of men are estimated to work in the informal economy (PromPerú, 2023[20]). In Colombia, a survey found that 49% of informal workers are women.[12] Figures are similar or higher in many other Latin American countries. Given the informal economy's sheer magnitude and central role in the functioning of these economies, it is likely that informality plays an important role in shaping the aggregate and distributional effects of trade.

Women working in the informal economy earn less, work in poorer conditions without safety nets, and may face heightened levels of violence, harassment, and discrimination. In Peru for example where 95% of domestic workers are women, less than 5% are covered by unemployment benefits and over 85% are not enrolled in pension systems. Migrant women, including many Venezuelan refugees, face heightened risks due to their marginalised status and limited access to social protection, increasing their vulnerability to exploitation and abuse.[13] The situation is equally dire for indigenous women in rural areas, especially in the Amazon, where barriers to healthcare access, language challenges, and inadequate infrastructure exacerbate their vulnerability.[14]

The informal economy has received little attention in theoretical and empirical studies of international trade however past research has highlighted the importance of labour and other regulations in driving the size of the informal economy in Latin American countries (Heckmann and Pagés, 2000[21]). Moreover, as firms expand, they tend to formalise as they become more visible to the local authorities, leading to increased fines and threat of closure. Since trade requires extra (often outside) funding and requires firms to engage formally in administrative processes, both at the border and with their clients, e.g. issuing tax receipts to clients, firms that intend to trade tend to move toward formalisation. This can be a positive evolution for women working in those firms. The link between trade and formalisation will be further explored in the chapter on women business leaders.

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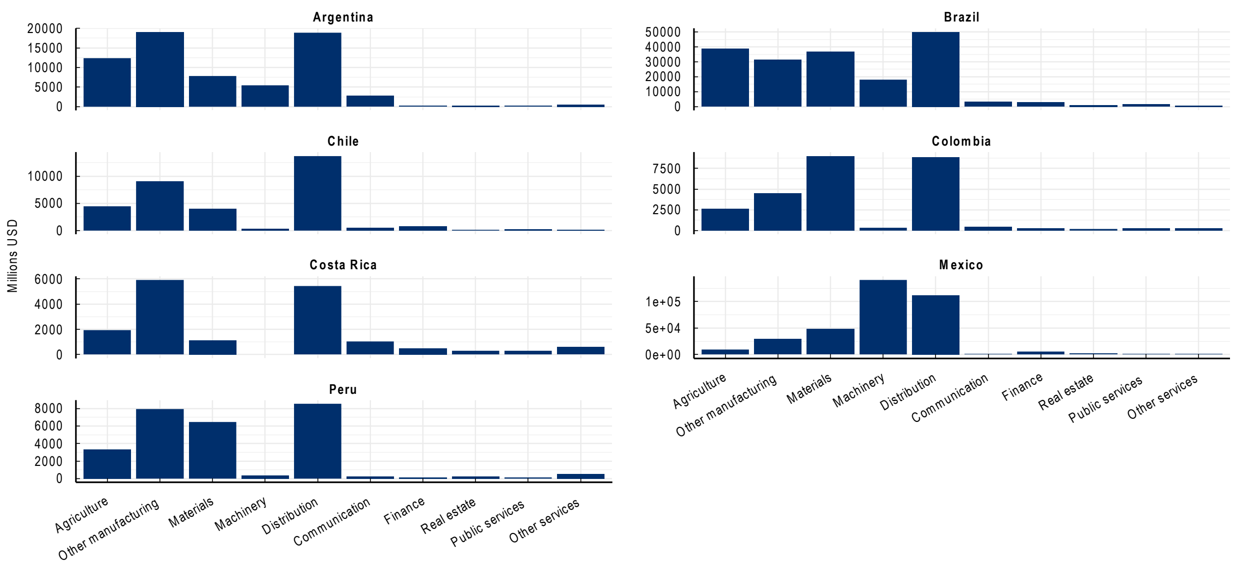
Annex 2.A. Services in trade and employment: Context in selected Latin American countries

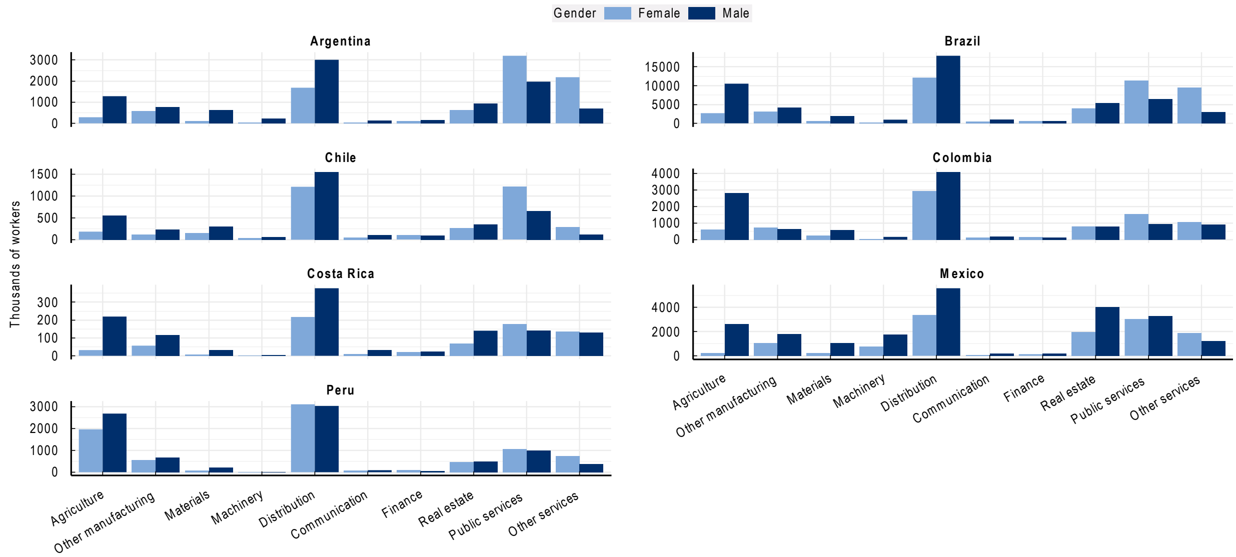
Annex Figure 2.A.1. Gross export levels of LAM countries, 2018

OECD Member countries and accession countries



Note: Gross export levels (2019). Other manufacturing includes food, textile, and wood products; Distribution includes distributive trade, transport, accommodation, and food services; Public services include public administration, defense, education, and health; Other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: Trade in Value Added (TiVA) OECD database.

Annex Figure 2.A.2. Distribution and services sectors are the biggest employers



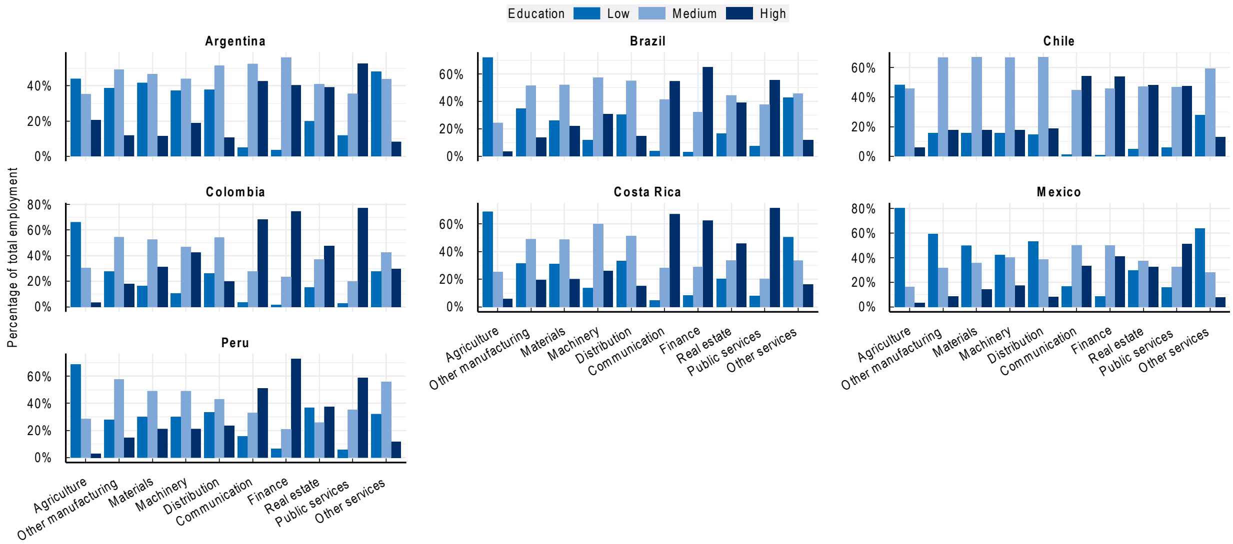
Note: Total employment by sector (2019). Other manufacturing includes food, textile, and wood products; distribution includes wholesale and retail trade, transport, accommodation, and food services; public services include public administration, defense, education, and health; other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristics combined with Trade in Value Added (TiVA).

Annex Table 2.A.1. Industry descriptions

ISIC code	Industry	Description
D01T03	Agriculture	Agriculture, hunting, forestry, and fishing
D10T33X	Other manufacturing	Food, textile, and wood products
D19T25	Materials	Material manufacturing
D26T30	Machinery	Machinery and equipment
D45T56	Distribution	Distributive trade, transport, accommodation, and food services
D58T63	Communication	Information and communication
D64T66	Finance	Finance and insurance activities
D68T82	Real estate	Real state, renting and business activities
D84T88	Public services	Public administration, defense, education, and health
D90T98	Other services	Art, entertainment, personal services, activities as households as employers and activities of households for own use

Note: Industries classification used in the TiM by characteristic database.
Source: OECD Trade in employment (TiM) by characteristics combined with Trade in Value Added (TiVA).

Annex Figure 2.A.3. Education level of employees by industry



Note: Education levels by industry (2019). Other manufacturing includes food, textile, and wood products; distribution includes wholesale and retail trade, transport, accommodation, and food services; public services include public administration, defense, education, and health; other services include art, entertainment, personal services, activities as households as employers and activities of households for own use. A more detailed description of each industry is available in Annex Table 2.A.1.
Source: OECD Trade in employment (TiM) by characteristics combined with Trade in Value Added (TiVA).

Notes

[1] There are a number of reasons to expect trade to have gender-specific effects: i) trade increases the level of competition domestic firms face, which theoretically reduces firms' ability to discriminate in hiring practices (Becker, 1957[22]) (Black, 2004[23]); ii) trade can induce technical change and upgrades in technology may increase the substitutability of female and male workers, in particular if less physical strength is required; iii) globalisation induces a reallocation of productive factors and if women and men workers are not perfect substitutes, or work in different sectors and jobs, this will impact them differently.

[2] Direct employment embodied in gross exports refers to the employment in a specific industry that works on the production of goods and services exported by that same industry. Indirect employment embodied in gross exports refers to the employees who work in upstream industries that contribute to other industries where the final product is then exported. For example, if an exporting firm in the machinery sector hires the services of an IT firm, a worker on the IT firm belongs to the indirect employment embodied in the exports of the machinery industry.

[3] These findings are similar to those found for Brazil in a study using an alternative methodology, where women's participation in trade-related jobs is lower than their overall participation in the labour market: 29% of jobs in Brazilian firms that export are filled by women, compared to women's labour force participation of 40% (Ministério da Indústria Comércio Exterior e Serviços, 2023[11]).

[4] A study of the impacts of NAFTA (North American Free Trade Agreement) found that it benefitted women in export-oriented employment. Sectors where women traditionally work expanded due to greater exports, and greater trade increased demand for skilled workers, particularly women. Moreover, implementation of the trade agreement was found to reduce gender wage gaps (Ernesto Aguayo-Tellez, 2010[2])

[5] Distribution services include wholesale and retail trade, transport, accommodation and food services.

[6] In the TiM by characteristics database, skills based on the education attained by workers are classified into three categories: low-skilled workers refer to those who have attained less than primary, primary, and lower secondary education; medium-skilled workers refer to those who have attained upper secondary and post-secondary non-tertiary education; and high-skilled workers refer to those who have attained tertiary education (ISCED-Classification 2011).

[7] Capitulo II of Ley no. 11.317 *trabajo de las mujeres y los niños*,
http://servicios.infoleg.gob.ar/infolegInternet/anexos/190000-194999/194070/norma.htm.

[8] Data for most Latin American countries refer to 2018.

[9] According to the International Labour Organization (ILO), informal economy is defined as 'economic activity by workers or economic units that are – in law or practice – not covered or insufficiently covered by formal arrangements' (WEF Global Gender Gap Report, 2023).

[10] World Economic Forum, 'Global Gender Gap Report 2023.' (20 June 2023).
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3 Women business leaders in trade

Women-led businesses are substantially less likely to sell their products and services internationally than those led by men. Consequently, they are less able to seize the opportunities for increased competitiveness, greater economies of scale and other benefits from trade. There are several reasons for this: women-led firms tend to be smaller, and larger firms tend to trade more. Women also tend to lead businesses in sectors where trade is less prevalent like services. Women are also more likely than men to lead businesses that are in the informal economy. Firms that trade are substantially less likely to operate within the informal economy in part because exporting requires strict adherence to official requirements. Women business leaders indicate that they are held back from engaging in trade due to factors such as a lack of understanding of foreign markets which may reflect a broader informational gender gap that could be closed with targeted policy solutions.

Firms involved in international trade tend to be more productive than those that do not trade and engaging in international trade improves firm performance: exporting leads to market expansion and sales growth, can bring productivity gains from greater competition, and may induce innovation and generate knowledge spillovers (Bernard, 2007[1]). However, women-led businesses are substantially less likely to sell their products and services internationally than those led by men. Consequently, they are less able to seize the opportunities for increasing competitiveness, greater economies of scale and other benefits from trade.

Ensuring that businesses led by women entrepreneurs are able to take advantage of opportunities provided on international markets will support greater gender equality and help to close gender gaps, in addition to contributing to higher and more inclusive economic growth.

This chapter examines the presence and challenges of women business leaders in trade and the specific obstacles they face. The analysis covers Latin American firms from Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru, and uses data from the OECD-World Bank-Meta Future of Business Survey (Box 3.1) as well as a series of round tables that were held with women entrepreneurs and business leaders in Brazil, Colombia, Costa Rica, Mexico and Peru. By examining the factors contributing to gender disparities in exports and uncovering the specific barriers encountered by women leaders, this analysis aims to provide insights for addressing these challenges effectively.

Box 3.1. The Future of Business Survey

This chapter makes use of data from the OECD-World Bank-Meta Future of Business Survey of firms with an online presence on Facebook. The bi-annual Future of Business survey includes questions about perceptions of current and future economic activity, challenges, strategy, and business characteristics, including the gender of the owner/manager. The survey aims to give a snapshot of small and medium-sized businesses with an online presence. Over 700 000 Facebook page owners have taken the survey, out of a population of 90 million businesses that have created a Facebook business page. The survey can be accessed at: https://datacatalog.worldbank.org/dataset/future-business-surveyaggregated-data.

A questionnaire on firm characteristics and economic activity was distributed to a random sample of businesses in March and October 2022. This resulted in information on almost 4 000 businesses in LAC countries, including whether or not they engage in trade, the gender make-up of their leadership, and other business characteristics such as size and sector of activity.

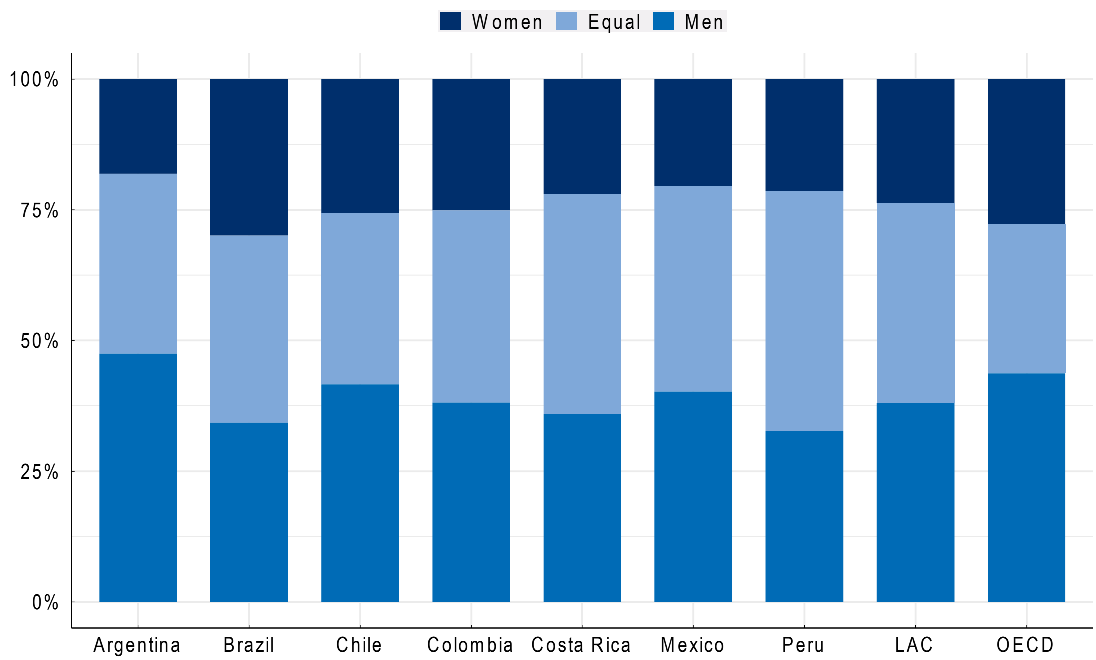
Firms are defined in this analysis as women-led if they report that the majority of their leadership is women, with the reverse for men, while equal-led businesses are those with a 50-50 division at the time of the survey. Among the surveyed firms, 24% indicated they were women-led, 38% were equal-led and 38% were men-led.

In the analysis of the survey data, firms are weighted in order to ensure the random sample resembles the population of Facebook page administrators. (More information on the weights and the survey are in (Schneider, 2020[2]). Since this group is not identical to the wider business population, the survey should be regarded as representative of firms with an online Facebook presence rather than businesses generally.

3.1. Women entrepreneurs and exporters

Evidence from the survey of firms with a presence on Facebook shows that men in Latin America are much more likely to run businesses than women. Less than one-quarter of businesses are run primarily by women whereas over one-third are run by predominantly male leadership teams. The under-representation of women leaders is particularly pronounced in Argentina and Mexico, where women lead only 18% and 21% of enterprises, respectively (Figure 3.1).

Figure 3.1. Gender of business leaders in Latin America



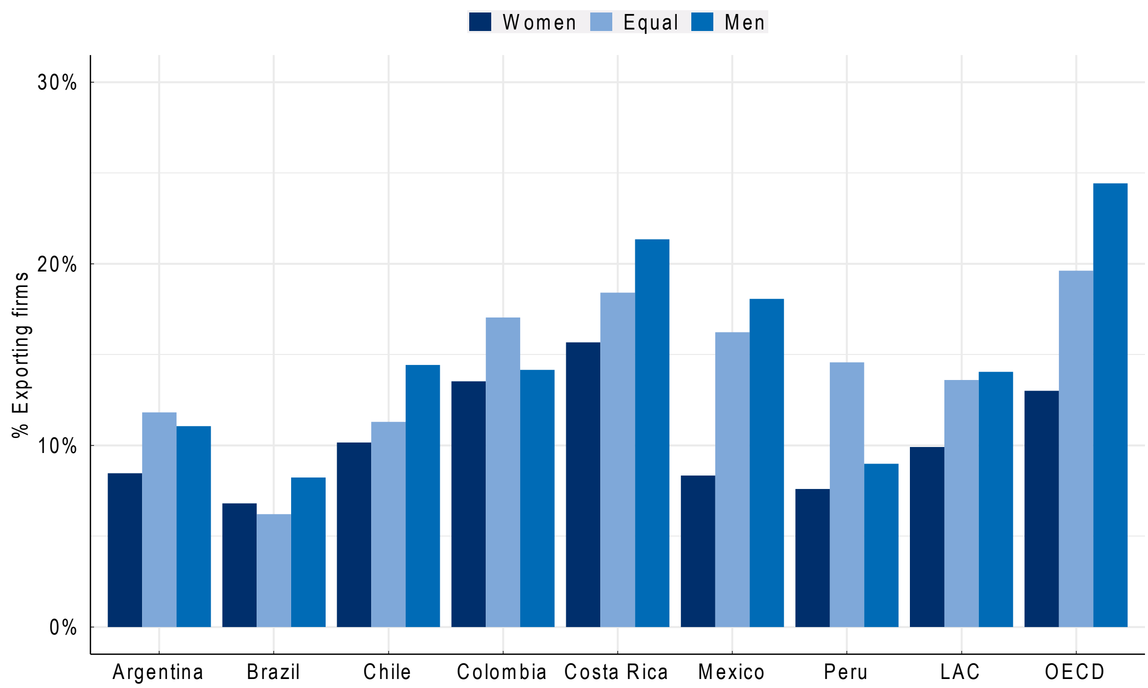
Note: This graph shows the share of businesses with a presence on Facebook that indicated that their leadership consists of mostly women, mostly men, or about equal numbers of men and women.

Women-led businesses in Latin America with a Facebook presence are less likely to participate in international trade compared to those led by men. This export gender gap is roughly 4 percentage points: 10% women-led firms are engaged in international trade, compared to 14% for male-led firms. The gender-export gap is wider in Mexico and Costa Rica, and narrower in Colombia, Brazil and Peru (Figure 3.2). Both women-led and men-led firms in Latin America export less compared to their counterparts in the OECD. However, the gender export gap in the Latin American countries is smaller than in the OECD, which indicates that lower levels of export do not only plague women-led firms.

The export gender gap can be attributed to several factors linked to the characteristics of women-led and men-led businesses such as their size and the sectors in which they operate. Women led firms tend to be smaller and younger and operate in services sectors whereas firms that trade tend to be larger, more established and tend to export goods rather than services.

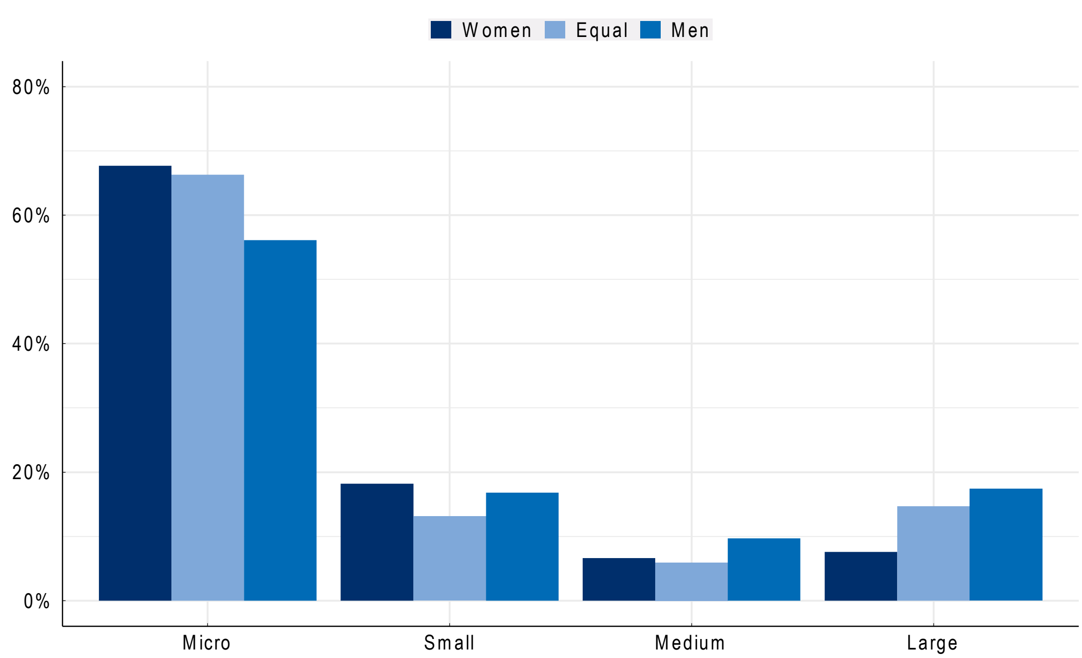
In Latin America, women-led businesses surveyed on Facebook are smaller than those led by men (Figure 3.3). In particular, microenterprises (defined as firms with fewer than ten employees) represent 68% of the total of women-led firms, whereas this is only 56% for men-led ones. Similarly, large businesses (defined as firms with more than 250 employees) account for 8% of the total of women-led firms, compared to 17% for their men-led counterparts. Even in services sub-sectors where women entrepreneurs represent a majority, such as health, education and personal services, their businesses are generally smaller than those led by men.

Figure 3.2. Share of surveyed firms who export by gender of the leadership



Note: This graph shows, for businesses with an online presence on Facebook, what share indicated their firm engages in exports, as opposed to only selling domestically.

Figure 3.3. Women-led firms tend to be smaller



Note: This graph shows the distribution of firms across different size categories for businesses with an online presence on Facebook, averaged across the seven Latin American countries covered in this review. Micro firms are those with fewer than 10 employees, small businesses have between 10 and 49 employees, those with 50 to 249 employees are in the medium category, and lastly firms with over 250 employees are considered large.

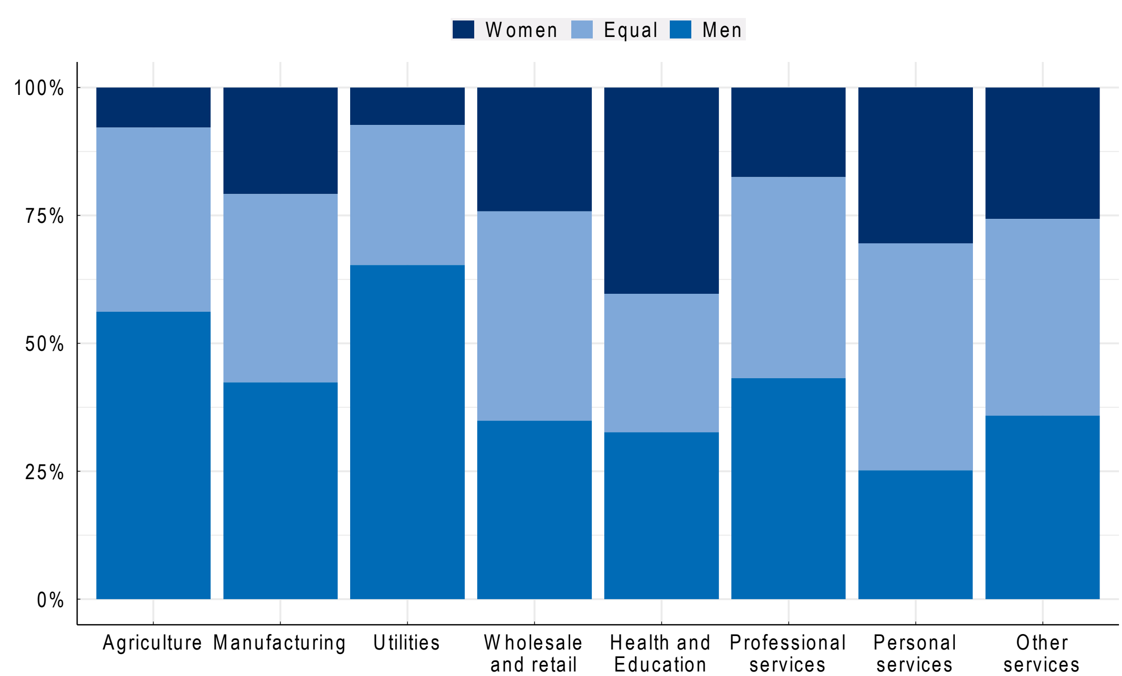
Gender differences associated with the size of businesses led by men and women entrepreneurs can partly explain the observed export gender gap since smaller enterprises tend to trade less. This is in part because SMEs have fewer resources to meet the high initial costs often associated with engaging in international markets. Smaller firms also face greater challenges than larger firms in navigating foreign markets, with less capacity to address complex regulatory requirements.

Country level differences in the firm size distribution can also partially explain differences in the export gender gap. In Mexico, for instance, women-led businesses are more strongly concentrated in microenterprises, which may contribute to the larger gender export gap in that countries. On the other hand, Colombia shows more balance in the size of firms between men and women entrepreneurs and a lower export gender gap.

Of the firms with a presence on Facebook, women predominantly lead businesses in services sectors, with over 90% of the surveyed women-led firms in services compared to 76% of men-led firms. Specifically, the services subsectors where the greatest share of businesses are led by women are health, education and personal services. Conversely, men led firms represent a clear majority in the utility, agriculture and manufacturing sectors as well as in professional services (Figure 3.4).

The way in which men and women-led businesses are distributed across economic sectors plays a crucial role in explaining the export gender gap in Latin America. Firms in service sectors are less involved in international trade compared to firms that produce goods. Policy barriers to services trade[1] are typically higher than barriers to trade in goods, so fewer services firms are generally engaged in exporting than firms in other sectors (Egger et al., 2021[3]) (Benz and Jaax, 2020[4]). The concentration of women-led businesses in services therefore contributes to their lower levels of trade compared to men-led firms.

Figure 3.4. Gender of leadership by sector of activity



Note: This graph shows the share of businesses with an online presence on Facebook that indicate having mostly women in their leadership, mostly men, or about equal numbers of men and women.

Notably, there are some heterogeneities at the country level, with women leading a higher proportion of firms in highly traded sectors such as manufacturing in some countries. This can partly explain the lower export gender gap in Brazil and Peru where women-led businesses represent 55% and 23% respectively of the firms operating in the manufacturing sector. This data confirms findings for Peru that suggest that women-led firms are most present in textiles and clothing sectors, followed by food and beverages (Bircher et al., 2020[5]). In Brazil, although women are more represented than in the other Latin American countries under review, they remain largely underrepresented in goods exporting firms. Although not strictly comparable, a study using comprehensive administrative data for goods exporting firms in Brazil found that only 14% of those firms were led by women, and the share of women leaders was inversely proportional to the size of the firm (Ministério da Indústria Comércio Exterior e Serviços, 2023[6]).

Women-led firms surveyed on Facebook are also younger than those led by men, whereas exporting is done more by firms that are larger and more established. Additionally, women enterprises are 10 percentage points more likely to export only to individual consumers instead of to other businesses than men leaders (56% vs 46%). However, some other characteristics of women and men entrepreneurs do not seem to explain export gender gaps. Regarding educational attainment, for example, 50% of women entrepreneurs have completed a university or college degree compared to 46% of men, suggesting that lack of formal training is not what is holding women back from exporting.

Unpacking the importance of firms' characteristics on the gender export gap in Latin America using a Kitagawa-Oaxaca-Blinder decomposition[2], 40% can be attributed to the smaller average size of women-led firms, 22% is due to the concentration of women-led firms in industries less inclined towards international trade such as services, and 6% of the variation has captured the country of activity. This leaves a remaining 32% that cannot be explained by firms' features.[3] Another aspect of firm characteristics that was tested was the age of the firm but its impact on firms' export performance was found to be negligible. Although difficult to measure, the share of the gender export gap not captured by firm characteristics could conceivably be attributed to factors such as unconscious bias, or a reticence on the part of women business leaders to take the risks that entering international markets entail due to information gaps that they cannot fill through wide professional networks. It was not possible to test such hypotheses due to lack of data.

3.2. Challenges holding back women-led firms

Women entrepreneurs may face different types of challenges when it comes to growing their businesses and expanding into foreign markets. When asked about the general challenges encountered by businesses, both men and women leaders reported facing difficulties in innovating and securing financing as primary challenges. Given that productivity significantly influences exporting, inadequate financing and sub-optimal innovation can hinder efforts to engage in trade activities.

Access to finance is a well-known challenge for women-led firms. Overall, women-led firms in the seven Latin American countries with an online presence on Facebook are 8 percentage points less likely to receive external funding compared to their male-led counterparts. In Argentina, Chile and Peru, the proportion of women-led firms benefiting from bank loans is 9 to 10 percentage points lower than that of men-led firms. In Chile, women-led firms are roughly 10 percentage points more likely to report encountering challenges with business financing than their men-led counterparts. In Colombia, during a round table of women entrepreneurs, two-thirds indicated that they were self-financed, and did not use bank loans, credit programmes, or any other type of external financing. Women in rural areas may be even less able to access financial services for exporting. During round tables with women entrepreneurs in Peru, business leaders indicated difficulty in financing exports through banks in the Amazon region, or even obtaining letters of credit. Moreover, in some countries interest rates on small loans are prohibitively high with instances of rates over 20% per year. These findings suggest that the gender export gap could be reduced if financing was more accessible for women business leaders.

In some industries such as agriculture, manufacturing, wholesale and retail, women business leaders are more likely to report issues related to securing financing for everyday activities compared to their male-led counterparts. Securing adequate funding is also a problem experienced by male entrepreneurs, but primarily for expanding their business rather than daily operations. Considering that the sectors in which gender differences regarding financing is most pronounced are also those with the highest propensity to trade, closing those gaps could likely reduce the gender export gap.

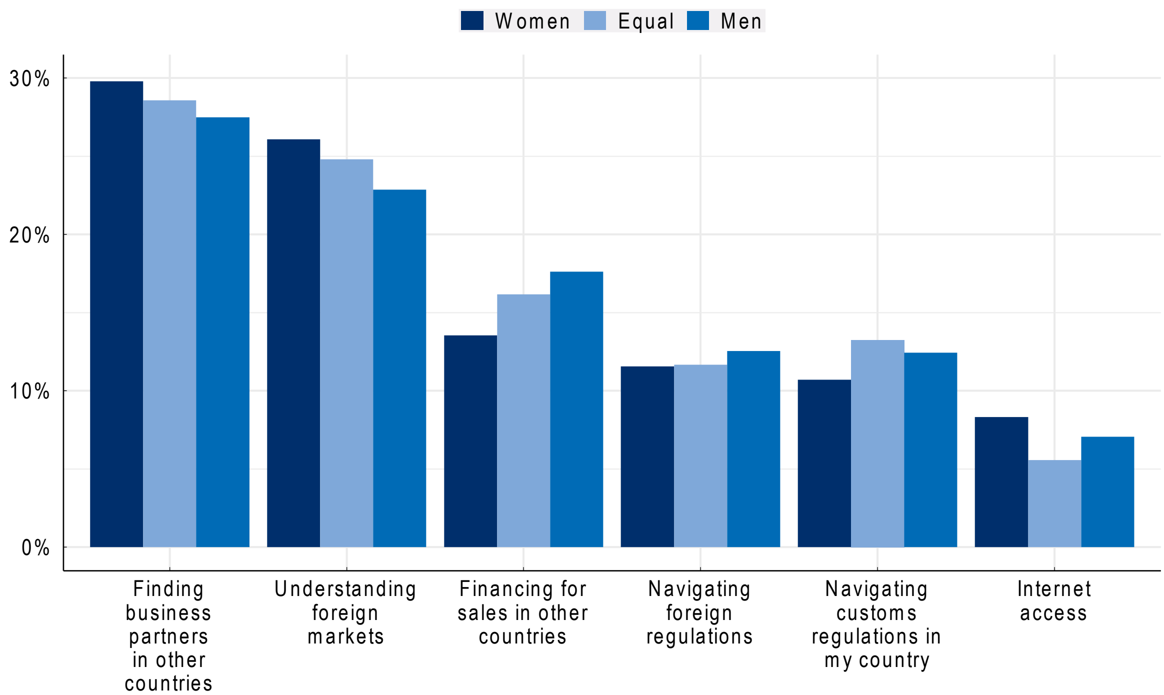
These results confirm other studies that show for example that only 12% of women-led firms currently have a bank loan compared to 20% of men-led firms (International Trade Centre, 2015[7]). This complements other findings such as in the European Union, where women entrepreneurs are 25% less likely than their male counterparts to use bank loans to fund their business. Even when they receive external finance, women entrepreneurs typically receive smaller amounts, pay higher interest rates, and are required to secure more collateral (OECD, 2022[8]). Moreover, women-owned firms generally face 50% more rejections in their applications for accessing trade finance than men-owned businesses (Korinek, Mourougane and van Lieshout, 2023[9]).

A study carried out by the FAIR Center for Financial Access, Inclusion, and Research in the Tecnológico de Monterrey and Pro Mujer organisation, 73% of women entrepreneurs in Latin America are unable to access financial institutions due to gender-related stereotypes, lack of affordable financial tools, lack of financial literacy and financing procedures that are not tailored to their needs.[4] A survey of women-led firms undertaken in Pacific Alliance countries (Chile, Colombia, Mexico and Peru) from 2016 to 2020 found that 57% of firms were self-financed, and only 18% had obtained credit from a financial institution (Bircher et al., 2020[5]).

When specifically asked about challenges they face in international trade, men- and women-led businesses on Facebook generally identified similar obstacles (Figure 3.5). However, women entrepreneurs more often cite issues such as a lack of understanding of foreign markets and difficulties in finding business partners abroad. These challenges are possible reflections of a broader informational gender gap. One way of addressing this issue is through engagement in professional networks, which foster the exchange and dissemination of information. However, when entrepreneurs were questioned about the professional networks they participate in, the absence of good networks available to women-led firms stood out. Furthermore, women are more likely to be part of professional networks with firms that are less relevant for international trade, such as leaders of small-size firms or other women leaders. This may suggest a role for strengthening such networks in closing the export gender gap.

Regulatory uncertainty in foreign markets was a challenge also expressed by women business leaders in all the round tables organised in the region. This challenge was felt especially strongly in some industries such as food and agriculture, technology and the medical sector where trade regulations may be particularly prevalent. Some women business leaders had received advice and assistance from export promotion agencies to navigate regulations in foreign markets, particularly in Colombia and Costa Rica. The entrepreneurs also indicated that they were at a disadvantage when compared to similar firms in larger countries such as Brazil where firms can take advantage of economies of scale in their internal market that is better known to them, even before entering on international markets. Some participants suggested that in some industries Brazilian competitors had substantial technical support by the Brazilian export promotion agency. Lack of information about foreign markets was also one reason given by many business leaders who did not export as to why that was the case.

Figure 3.5. Challenges to trade by gender of the leadership



Note: This graph shows the share of businesses with an online presence on Facebook in the seven Latin American countries covered by this review that indicate having encountered a particular challenge when selling to clients abroad. Only businesses engaged in exporting were asked this question, and respondents were allowed to select multiple options.

Women business leaders expressed the availability and cost of logistics and transportation services as being a keen challenge to exporting and selling their products in more distant markets. The cost of transport and logistics was substantial in Colombia and Costa Rica, for example, and in Costa Rica some small business owners aimed to team up with others exporting to the same destination. Such solutions may be more challenging to rely on in the longer term, however, and a market-based solution could further lower barriers to entry on international markets by small firms (Chapter 5).

One aspect came out particularly strongly in Mexico. Mexican entrepreneurs identified one of their main concerns in exporting, or even getting their goods to marketplaces within Mexico, as security. This issue also plagues large firms distributing their products in Mexico such as supermarket chains and soft drinks, who apparently move about the country in caravans with security personnel. Substantial costs for security personnel, surveillance mechanisms and insurance are more difficult to absorb by small firms. They may be less able to navigate extreme uncertainty and higher risk levels brought on by insecurity. Such issues may also be expressed more keenly by women business leaders who may feel more vulnerable in instances of potential use of force or violence.

Evidence shows that firms with an online presence are more likely to engage in international trade compared to those without (Suominen, 2018[10]). Moreover, digital tools like webpages are linked to a higher propensity to export among women-owned SMEs compared to those owned by men, and digitally enabled trade has been growing faster than non-digital trade (OECD, 2023[11]). Similarly, in Latin America, participation in the ConnectAmericas online platform is associated with a significantly larger increase in exports for women entrepreneurs than for men-led firms in otherwise identical products and destinations (Poole and Volpe, 2023[12]).

Women-led firms responding to the Facebook survey show a higher propensity for utilizing digital platforms in their business activities. Women entrepreneurs also exhibit a more intensive use of digital tools. For instance, approximately one-third of women entrepreneurs in LAC report that more than 75% of their sales orders are made via online platforms, compared to only one-fifth for male leaders. However, women-led businesses more frequently report that a lack of good internet access as an obstacle to their participation in international trade compared to their men-led counterparts, this issue being particularly pronounced in Argentina, Chile, and Colombia. Therefore, the competitive advantage that women leaders may obtain due to their strong embrace of digital technologies seems to be limited in part by inadequate infrastructure.

The seven Latin American countries reviewed generally have a high level of internet coverage overall (Table 3.1). However, internet access in rural areas is low in some countries suggesting that firms outside urban centres may be constrained in their business activities by slower or less reliable access. Given that women-led firms are generally less well financed than their male counterparts, the cost of broadband access can be particularly significant for them. In all seven countries, the cost of fixed broadband access as a percentage of gross national income per capita is substantially higher than in the United States, for example, and in some countries it is multiple times higher. This will impede access to faster networks for smaller, more cash-strapped firms such as some of those owned and led by women.

Many more women expressed that internet access was a major challenge to trade in the two countries that have the highest cost of fixed broadband expressed as a share of per capita national income. In Colombia, 14% of women business leaders and 2% of men leaders indicated that internet access impeded their ability to trade. In Argentina, 12% of women business leaders and 3% of men leaders indicated that internet access impeded their ability to trade. In all other countries covered, gender gaps are smaller and internet access is generally less of an issue. Argentina and Colombia are the two countries in the Review that have the highest fixed broadband cost relative to national income (Table 3.1). In Peru, lack of access to digital networks came out as an issue in a round table with women entrepreneurs that live outside the capital city.

Table 3.1. Access to and cost of digital networks, 2022

	Population covered by mobile network, %	Rural households with internet access, %	Fixed broadband cost, % of GNI p/c	Mobile broadband cost % of GNI p/c
Argentina	99	NA	5.7	0.5
Brazil	92	68	3.1	0.6
Chile	99	NA	1.8	0.4
Colombia	100	32	3.8	1
Costa Rica	100	76	1.6	0.5
Mexico	96	43	2.1	0.5
Peru	89	20	3	1
For comparison:				
United States	100	66	0.9	0.6

Source: International Telecommunications Union (ITU) Digital Development Dashboard, https://www.itu.int/en/ITU-D/Statistics/Dashboards/Pages/Digital-Development.aspx, accessed 4 April 2024.

Notably, none of the participants to the round table of women entrepreneurs in Colombia indicated that they did not want to expand their business abroad, that they did not want to take the risk involved with exporting, or that they did not want to take time to travel. Only one participant indicated that she did not have sufficient language skills to engage in trade. A survey among the Pacific Alliance countries also found that women business leaders that did not already export expressed a strong interest in doing so (Bircher et al., 2020[5]).Therefore, the desire to export and to assume the risks and time commitment that this entails is prevalent among these women business leaders.

3.3. Women in leadership

Women often report that they do not have the skills required to pursue entrepreneurship despite that they have higher levels of education on average. Women tend to have less experience in self-employment and continue to have fewer opportunities than men in management positions, which acts as a barrier to gaining management experience and skills that are useful for entrepreneurship (OECD, 2019[13]). Since management skills are often similar to skills needed to successfully manage a business, women's relative lack of experience in leadership positions can impact the success of their businesses and their ability to engage on international markets.

The organisation Corporate Women Directors International estimated in 2020 that only 8.3% of corporate board positions were held by women in Latin America. This was the second lowest region in the world, with only the Middle East having fewer women on boards. This compared with 38% of female board members in Northern Europe, 29% in western Europe, 27% in the United States and Canada, 19% in Africa and 15% in Asia-Pacific.[5]

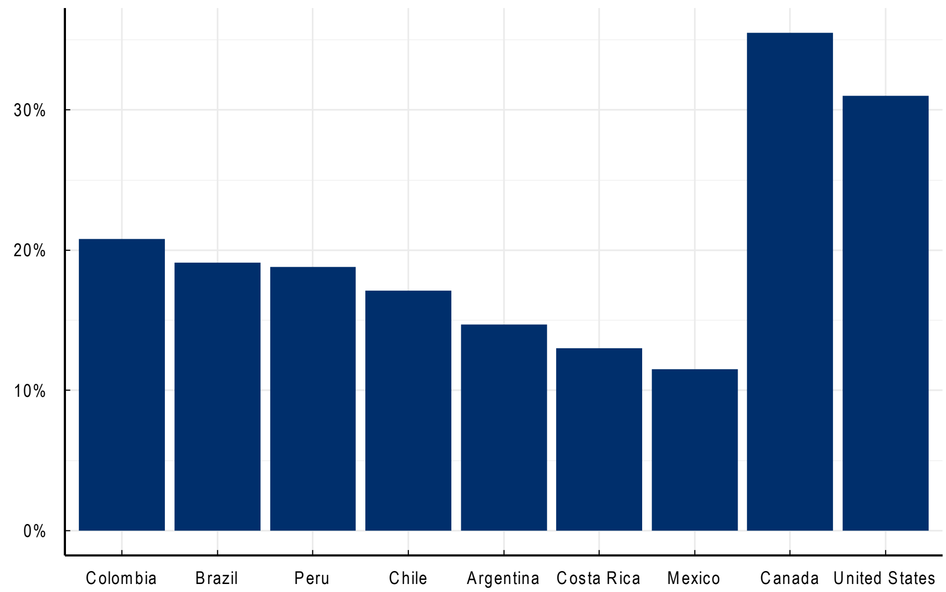
Women's participation on boards in Latin America is far below levels in North America. Women represent between 12% in Mexico and 21% in Colombia; that compares with women's participation on boards of 35% in Canada and 32% in the United States, and 30% in the OECD on average (Figure 3.6). Despite these low levels comparatively, there has been a recent sharp increase in the number of women on boards in a few Latin American countries: in Chile the share of women in the largest publicly listed companies rose from 10% in 2020 to 17% in 2022; in Colombia from 13% (2020) to 21% (2022); and in Brazil from 14% (2020) to 19% (2022).[6] Some countries such as Colombia, Mexico and Peru have instituted targets for women's participation on boards, where the objective is to reach 30% by 2030 (Frohman and Olmos, 2023[14]). However, many firms still have no women on their boards: in one survey, 27% of firms in Mexico, 17% of firms in Chile and 9% of firms in Brazil have no women on their boards (MSCI, 2022[15]). By contrast, in the United States, out of 593 firms surveyed, only one had an all-male board.

Some evidence suggests that women in senior management positions in large firms in Latin America are even more rare. A survey of 710 firms in Latin America by the Colombian diversity specialist Aequales suggests that fewer women are represented at the highest level of management (CEO or equivalent) compared with board participation. Among Aequales survey respondents, in 22% of firms a woman is at the highest level of management compared with 31% of women in board positions (Aequales, 2022[16]).[7]

A survey of 120 Mexican firms by McKinsey found that 10% had a woman CEO, and 10% of other C-suite positions were filled by women (McKinsey and Company, 2022[17]). Moreover, the vast majority of women leaders of large firms in Mexico are employed in multi-national firms. About one-third of subsidiaries of foreign firms are headed by women compared with very few (close to 1%) women leaders of Mexican firms.[8] Many subsidiaries of foreign firms and multinational firms have (unpublicised) targets for women in leadership and management positions. In some firms, these targets are monitored, reviewed and augmented every year. Some leading firms in terms of gender equality monitor diversity by level and department and link gender targets to managers' evaluation; some require at least one female candidate in external recruitment processes (McKinsey and Company, 2022[17]). Conversely, many large Mexican firms are either family-owned or family-controlled and leadership is often passed from father to son or nephew.

The greater visibility and demand for more women in high decision-making positions has generated networks that support and train women in senior leadership. Networks such as REDMAD in Chile and ANDI in Colombia offer training to senior women managers on technical issues, management and leadership. However, training and networking are only some aspects that support advancement of women. Others include sponsorship, mandatory disclosure of gender balance on boards and in senior management, and targets or quotas for board diversity.

Figure 3.6. Share of women on corporate boards



Notes: Women's participation on Boards of Directors refers to all members of the highest decision-making body in the given company, such as the board of directors for a company in a unitary system, or the supervisory board in the case of a company in a two-tier system.
Sources: MSCI Women on Boards: Progress Report 2022, except Argentina; data on women on boards are based on gender reports on Boards of Directors in publicly listed companies carried out in by the CNV, which calculated women's participation on Boards of Directors in all listed companies and Costa Rica, data on women's participation on Boards of Directors in publicly listed companies was provided by SUGEVAL. OECD Corporate Governance Factbook (2023), https://www.oecd.org/corporate/corporate-governance-factbook/. Data is for 2022.

3.4. Informality

In Latin America, informality plays a relevant role in the overall economy.[9] Trade and informality can influence one another in a multitude of ways. Often, formal registration is necessary to start trading in order to engage with customs agencies or to receive payments at a distance. Thus, informality is a barrier for firms to start engaging with foreign markets. The reverse relationship may also exist; a rise in productivity as a result of increased trade may be associated with a diversification of the economy moving towards higher productivity sectors, which leads to a higher share of formal firms and to stronger and more sustained growth and development. However, the effect of trade openness on informality varies across countries and other factors such as local institutions may play an even bigger role.[10] High levels of informality create disincentives for firms to formalise if they must compete with informal firms that do not pay income and payroll taxes. High levels of informality also impact the potential for firms to prove sustainability throughout their supply chains, which they are increasingly required to do. Firms that use inputs from the informal economy are increasingly challenged to respond to such demands.

In order to shed some light on the potential characteristics of informal firms in LAC, and their attitude towards export, questions from Facebook survey can be used to construct a proxy indicator for informal businesses. The informality proxy is based on four key questions: whether the business receives outside financing; government support during the past months; firms that employ more than five individuals; and firms that have operated for over five years. Firms answering "No" to all these questions are considered as most likely to be informal, while those answering "Yes" at least one time are more likely to be formal.

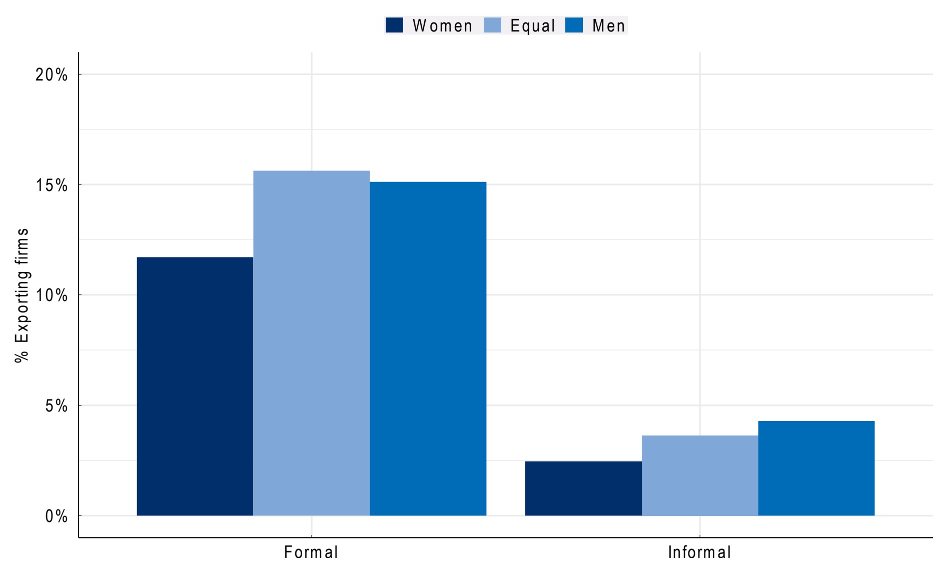
It is well-documented in the literature that the extensive margin of informality declines with firm size, that is, the share of informal firms declines as firms grow larger (Ulyssea, 2020[18]). One reason for this is that the probability of detection increases with size as larger firms are more visible to the government. More broadly, the opportunity costs of operating in the informal economy are likely to increase with firm size as larger firms might have greater need of accessing formal credit markets. Although there is less evidence on the age of firms, one study using data from Brazil suggests that both the extensive and intensive margins of informality decline with firms' age, i.e. the number of firms employing informal workers is reduced, and the share of informal workers within firms also decreases (Ulyssea, 2020[18]).

Across the seven Latin American countries under analysis, approximately 13% of surveyed firms with a Facebook presence were identified as most probably informal.[11] On average, women-led firms are 9 percentage points more likely to have indicators of informality compared to their men-led counterparts: over the total of women-led businesses surveyed, 18% are proxied as informal, with this percentage decreasing to 9% for their men-led counterparts. Firms proxied as informal operate in their majority within service sectors as wholesale and retail, other services and personal services, whereas a smaller percentage of them is present in sectors such as agriculture and health and education services.

When asked about the general challenges they face, informal firms are more likely to cite difficulties in obtaining adequate financing, both for daily operations and expansion purposes. This challenge is particularly pronounced for informal businesses led by women compared to those led by men. As expected, informal firms are also more likely to report issues in understanding government regulations and tax rules compared to formal ones. The lack of clarity in regulations may partly explain why these firms operate within the informal economy and could present additional obstacles in their transition towards formality.

Firms that trade are substantially less likely to operate within the informal economy.[12] Among other reasons, exporting requires strict adherence to official requirements which may incentivise businesses towards formality. Firms that are proxied as more likely to be formal are approximately 12 percentage points more likely to engage in trade compared to their counterparts operating in the informal economy. Specifically, only 3% of enterprises proxied as informal export while this number rises to 15% for formal businesses. Moreover, gender disparities persist in this context: men led businesses, whether formal or informal, show a higher inclination towards exporting than those led by women (Figure 3.7).

Figure 3.7. Informality and export by gender of leadership



Note: This graph shows the share of businesses with an online presence on Facebook that indicate that they engage in export, broken down by firms that are likely to be formal and firms that are likely to be informal according to the proxy developed by the authors.

Tackling informality is complex and requires engaging a comprehensive set of policy levers.[13] This analysis suggests that the potential gains from trade could be an incentive for firms to formalise. Programmes to encourage formalisation could be combined with efforts to promote exports and bring firms to export readiness.

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Notes

[1] These barriers are covered for the countries under review in detail in Chapter 5: Services trade in Latin America.

[2] Kitagawa-Oaxaca-Blinder decomposition is a statistical approach developed initially to analyse gender pay gaps and was used to disentangle the extent to which the gap in exporting can be attributed to differences in firm characteristics. When looking at two groups with a different mean on a variable (in this case, share of exporters), this technique disentangles the share of this difference that can be attributed to specific features and the share that remains unexplained.

[3] Another method for dissecting the components of export probability is through a regression analysis. When correcting for the country, sectors and firm class-size, the leadership gender ceases to be a relevant factor driving export propensity. As highlighted by the reported decomposition, size and sector emerge as main drivers of the export probability.

[4] Eileen Galván Carvajal et al, *'Emprendedoras en situación de Missing Middle y sus opciones de financiamiento', Pro Mujer*, https://promujer.org/mx/es/missing-middle/.

[5] Corporate Women Directors International, https://globewomen.org/CWDINet/wp-content/uploads/2020/05/Regional-Comparison-2020.jpg.

[6] Source: OECD Gender Data Portal, Employment: Female share of seats on boards of the largest publicly listed companies (oecd.org).

[7] Note that Aequales survey respondents may be more likely to be more diverse as they have self-selected to take the gender and diversity survey. Respondents are mainly from Colombia (252 firms), Peru (197 firms) and Mexico (139 firms).

[8] These figures are approximate and refer to a point in time (second quarter 2023). They resulted from structured interviews with women leaders.

[9] OECD et al. (2023[19]). For instance, before the 2019 COVID-19 pandemic, two-thirds of the region's population depended totally or partially on informal employment, although with considerable variations between countries.

[10] ILO (2023[20]).

[11] This is substantially lower than estimates of the actual number of firms in the informal sector which may be between about 25% and 50% in the region. This proxy aims to identify differences in firms that are very likely to be informal compared with those that are less likely to be informal. It should be noted that firms were not asked directly if they were in the informal sector, nor if they paid taxes or were registered. Moreover, since the online survey was administered to firms that have a Facebook business page, they may be slightly more likely to be in the formal sector than the general population of firms since they have engaged on a traceable digital platform.

[12] World Bank/WTO (2020); IFC (2011).

[13] A recent report that examines this question is the OECD's 2024 *Economic Survey of Mexico* (OECD, 2024[21])

4 Women consumers

Trade impacts households differently depending on their exposure to trade-driven price changes of the goods and services they consume, and the proportion of household expenditure allocated to these goods and services. This chapter examines the impact of a stylised, hypothetical tariff simulation where the seven Latin American countries covered in this *Review* simultaneously increase applied tariff rates on all imported goods and services from all trade partners to 25%. If the trade-driven price increases modelled in the scenario are concentrated in the goods and services predominantly consumed by lower-income households or those headed by women, for example, then they may exacerbate income or gender-based inequality.

This chapter examines the impacts of trade on households, and to the extent possible on women within those households. Following the framework described in (Luu et al., 2020[1])[1], this analysis uses the OECD computable general equilibrium (CGE) model METRO (OECD, 2023[2]) to examine the extent to which different households are exposed to trade-driven changes in consumer prices resulting from a trade policy change.[2] A stylised hypothetical tariff simulation is conducted where the seven Latin American countries covered in the review simultaneously increase applied tariff rates on all imported goods and services from all trade partners to 25%.[3,4] The resulting change in consumer prices for the commodities in the model are subsequently linked to expenditure data in national household surveys[5], which provide detailed information across different socio-economic groups. Linking the model results with household survey data allows for a comparison of exposure—measured by changes in purchasing power—across different household characteristics such as household income level and, where available, the gender of the head of household.

The impact across household types may not be uniform since a household's exposure to trade-driven policy changes will depend on the price changes of the commodities they consume and the proportion of household expenditure allocated to these goods and services. If price increases are concentrated in the goods and services predominantly consumed by lower-income households or those headed by women, for example, then trade-driven changes in prices may exacerbate income or gender-based inequality.

The focus of this simulation is on household exposure; some methodological limitations should be noted. This approach, which links the model results with household surveys through price changes does not fully take into account potential behavioural responses, such as households adjusting their consumption patterns in response to changes in prices and income.[6] Additionally, the analysis primarily focuses on household exposure as consumers and does not capture the full welfare effects. Thus, it does not account for the fact that income changes may vary across household types, particularly if sector-specific impacts of the policy disproportionately affect income earned in certain industries.

4.1. Tariff rates in Latin America

The simulation increases the tariffs to 25%, therefore the size of the tariff shock is related to the effectively applied tariffs rates[7] (herein tariff rates) in the model[8], among the Latin American countries covered in the review. On average, tariff rates on goods are low (3.3% across the goods sector), but the range of tariffs rates is broad in most countries except for Peru and Chile (Annex Figure 4.A.1). Brazil and Argentina have the highest tariffs on average 8.7% and 7.7% respectively (Table 4.1). Chile and Peru have the lowest tariffs on goods (0.3% and 0.7% respectively).

In the model database, rates on manufactured products in the seven countries under review were slightly higher on average than the average tariff rate on agrifood products, primarily due to high tariff rates in Brazil, Argentina, and Colombia. Notably, imports of textiles, wearing apparel, and leather products face some of the highest rates among manufactured goods in all countries except for Chile where import tariff rates across goods are uniform. Some agrifood products face very high tariffs in certain countries. For example, rice imported into Colombia faces a 40% tariff rate while dairy, processed rice, and sugar in Costa Rica have tariff rates of 25, 20, 15% respectively.

On average, imported food is taxed at 3.1% while agriculture products have a tariff rate of 1.3% with variation across countries. In Brazil, Argentina, Costa Rica, and Mexico, imported food has a higher effective tax rate than basic agriculture products. Imported manufactured goods are taxed at 3.5% with the highest average tax rate among the regions applied by Brazil, Argentina, and Colombia. Moreover, these countries apply a higher tax rate on advanced manufactured goods, such as computer and electronics, than they do on basic manufactured products.

Services account for a large portion of household consumption, ranging from 44 to 67% among the seven countries in the analysis. Services are not subjected to import tariffs. Services are mostly supplied domestically although there are exceptions: accommodation and food service as well as financial services and communications, for example, which also account for a relatively larger share of household consumption. Other heavily imported services include air transport, construction, and business services but these sectors do not account for a large share of household consumption.

Table 4.1. Weighted average tariffs by sector aggregates and region

Percentage

	BRA	ARG	COL	CRI	MEX	PER	CHL	Overall
Agrifood	5.5	3.5	3.6	4.1	1.7	0.1	0.3	2.5
Agriculture	2.8	0.7	4.6	2.2	0.4	0.0	0.3	1.3
Food	7.0	6.2	2.9	5.1	2.5	0.2	0.3	3.1
Extraction	0.1	0.1	0.9	0.4	0.0	0.0	0.6	0.1
Manufacturing	9.5	8.6	4.2	1.1	1.0	0.9	0.3	3.5
Basic manufacturing	8.0	7.5	3.4	1.3	1.2	1.2	0.4	3.4
Advanced manufacturing	11.1	9.3	5.1	0.9	0.9	0.5	0.2	3.6
Services	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall (Goods & Services)	6.3	5.8	3.1	1.2	0.9	0.6	0.3	2.7
Overall (Goods)	8.7	7.7	4.1	1.5	1.0	0.7	0.3	3.3

Note: The table shows trade weighted (value) average of ad valorem tariffs. Specific tariffs are not shown. They are also not shocked in the analysis. Food covers: Bovine meat products; Meat products nec; Vegetable oils and fats; Dairy products; Processed rice; Sugar; Food products nec; and Beverages and tobacco products. Advanced manufacturing includes: Computer, electronic and optical products; Electrical equipment; Machinery and equipment nec; Motor vehicles and parts; Transport equipment nec; and Manufactures nec. For the full list of sectors covered in the model, see https://www.gtap.agecon.purdue.edu/databases/v11/v11_sectors.aspx.
Source: METRO model, reference year 2017.

The imposition of a 25% rate in the stylized simulation leads to a more pronounced increase in tariff rates among sectors in regions with initially lower tariffs. For instance, base level tariffs in Brazil and Argentina on agrifood and manufacturing sectors are higher and not uniform compared to other regions, which translates to a larger variation in size of the tariff rate increase applied in the simulation. In contrast, most sectors in Chile and Peru experience a 25 percentage point increase in tariffs. Some sectors in Colombia, Costa Rica, and Mexico also see significant tariff increases in the simulation, although not as many as in Chile and Peru.

4.2. Effects of tariff shocks on prices

How prices respond to the tariff increase will depend on the extent to which the supply of the sector is imported and how easily the imports can be substituted by domestic production in the region. In general, the tariff increases lead to a rise in commodity prices in the simulation, with sectors subject to larger tariff hikes experiencing larger price increases, particularly in those sectors with large shares of imports.

Across sectors in the different countries, a few common patterns emerge regardless of the country's tariff profile. On average, manufactured products experience a more substantial increase in prices compared to other sector categories(i.e. Agrifood, Extraction, and Services). This outcome is not surprising, as many manufacturing supply chains are highly internationalized, making them particularly vulnerable to tariffs on inputs that could subsequently affect production costs. In addition, most Latin American consumers rely heavily on international markets for manufactured goods. For instance, in Costa Rica, nearly all advanced manufacturing commodities consumed by households, such as electronics, machinery, and vehicles, are imported (93.6% on average). In Chile, almost three-quarters of these goods are sourced from abroad, while in Mexico and Peru, the proportion is approximately 43%. Brazil stands out as an exception, importing only 8.4% of its advanced manufacturing commodities.

The agrifood sector, in contrast, exhibits some variability in import dependency across the countries under review. Brazil, one of the world's largest agricultural producers, predominantly sources its agrifood products domestically. However, in Costa Rica, Mexico, and Chile, a significant proportion of agrifood products consumed by households is imported, with average import shares ranging from 17% in Mexico to 25% in Chile. As a result, in the simulation, the consumer prices of agrifood products in Costa Rica and Chile increase on average 10% (Annex Table 4.A.2) whereas Mexico experiences a comparatively smaller increase of 6.6%.

The services sector, within the stylized simulation, encounters some of the most substantial tariff increases when the initial base tariffs of zero[9] are increased to 25%. However, the resulting price increases in services are smaller than in other sectors facing the same tariff hike. Most services are produced and consumed domestically and are therefore less affected by the tariff increase. Additionally, the way services are produced makes them less sensitive to tariff changes. A significant portion of the inputs used in the services sector is labour and capital (value-added), rather than intermediate inputs which are more directly affected by the tariff increase. Moreover, many of the intermediate inputs that are used in the services sector come from the sector itself, further reducing its exposure to the tariff shock. There are some exceptions. In certain service sectors, a large portion of supply is sourced internationally, leading to a stronger price response. For example, on average, a quarter or more of construction, water transport, air transport, business services and accommodation and food services consumed by households are imported. However, aside from accommodation and food services, most of these services make up only a small share of household consumption (on average less than one percent).

Lastly, the extractive sectors, which include commodities such as coal, natural gas, and other mining products, are generally subject to low levels of taxation. The simulation, therefore, introduces significant tariff increases for these sectors, which lead to a significant rise in prices. While these products constitute only a small fraction of household expenditures, their price increases have indirect effects. In particular, the rise in energy input costs subsequently elevates the production costs of domestically produced goods, which are captured by the model.

4.3. Assessing household exposure to trade-driven price changes by income level

In order to assess the impact of the tariff increase across different household types, the consumer price changes from the model simulation for each sector are mapped to available household survey data. Data from household surveys not only record product-level spending, but also other information about the household such as income and in some cases the gender of the head of household. Linking the model results with household survey data enables an assessment of the distributional impacts of trade-driven price changes, using changes in purchasing power[10] to measure household exposure as consumers. Of the seven countries in the analysis, Costa Rica, Mexico, Peru, and Chile have sufficient detail available in their household surveys to distinguish households by income deciles (or quintiles in Chile's case).[11] Costa Rica also identifies the gender of the head of household allowing for an assessment of exposure of women-led households.

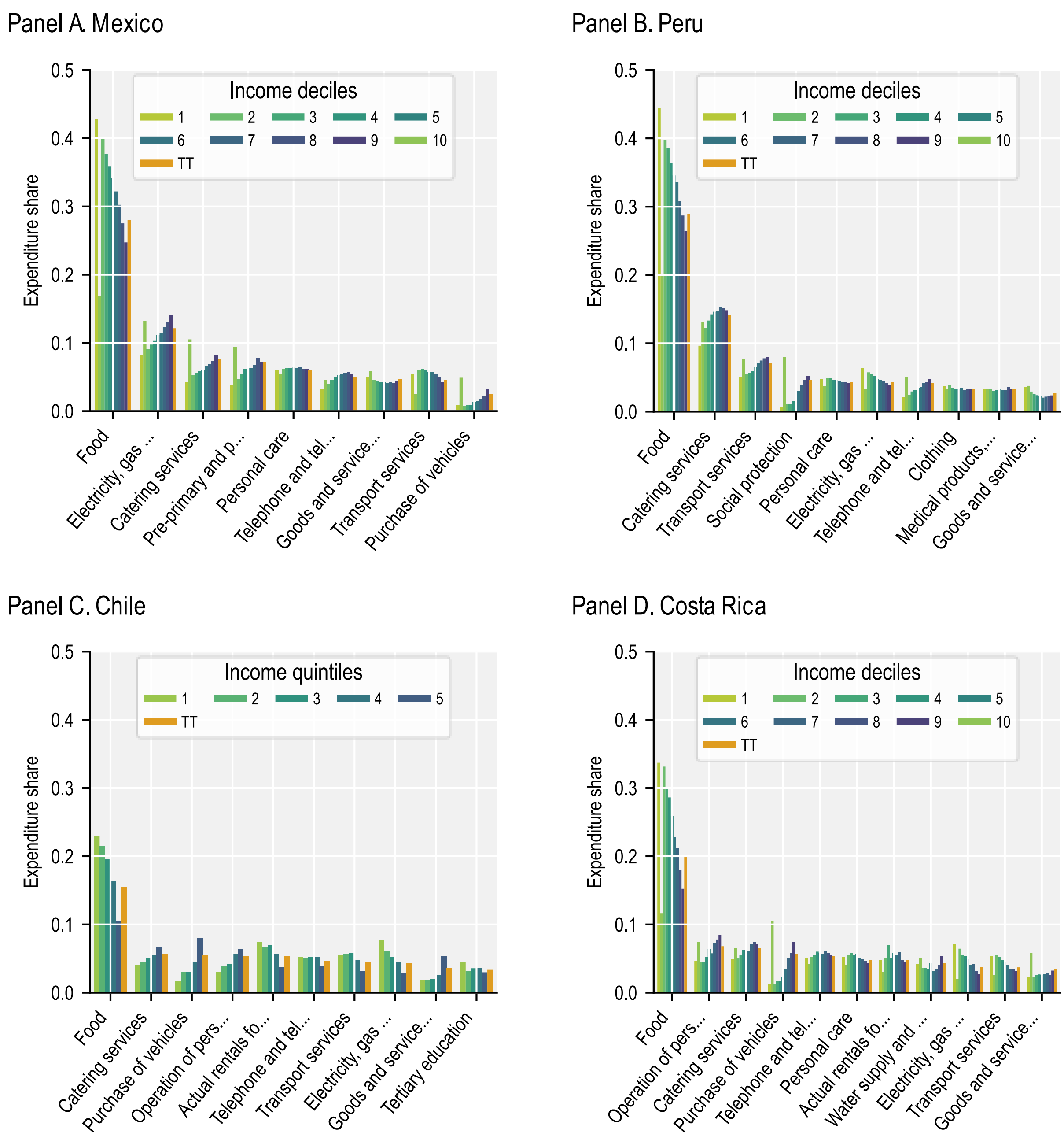
Across the four countries, the share of expenditure on products differs across income groups (Figure 4.1). Lower-income households allocate a larger share of their expenditure on essential items such as food, transportation services, and goods and services for routine household maintenance, while higher-income households direct more of their spending towards durable goods and services. For instance, households in the lowest income decile allocate over 40% of their expenditure to food, compared to just 17% for those in the highest decile in Mexico. In Costa Rica, food accounts for 33.7% of expenditures in the lowest-income households compared to just 12.6% among the highest-income group. In contrast, wealthier households across the four countries spend a larger share of expenditure on vehicle purchases, travel, catering services (which could include restaurants), and telephone equipment compared to lower-income households. The differences in household spending patterns across the income groups means that price changes could have distribution effects.

In the stylised simulation, sectors with a high share of imported supply, such as computer, electronics and optical products, motor vehicles and parts, and business services—categories primarily consumed by upper-income households—experience some of the stronger increases in price. In Mexico, Chile, and Peru nearly all computer, electronic, and optical products consumed by households are imported, leading to a 20% price increase. Similarly, the motor vehicles and parts which are consumed more by higher income households experience a sharp increase in prices particularly in Chile and Costa Rica where these products are mainly sourced from abroad. In contrast, agrifood products, which account for a larger portion of lower-income spending, see only relatively modest increases in price, as most agrifood products are supplied domestically. One exception is bovine meat in Chile, where two-thirds of supply comes from abroad, resulting in an 15% price increase in the simulation.

As a result of the tariff increase, when measuring the loss of purchasing power based on the expenditure approach, purchasing power across all household groups declines. However, the decline is slightly stronger for higher-income households since they consume more imported products (Figure 4.2). For example, in Mexico purchasing power decreases by 8.6%, across all household types. However, the purchasing power of households in the highest-income decile is reduced by 9.6% while those in the lowest-income decile is declines by 8.0%, almost 2 percentage points less. A similar pattern emerges in the other countries, where wealthier households experience greater absolute losses due to their higher expenditures on vehicles, electronics, and business services. However, because higher-income households allocate a smaller proportion of their income to consumption, they are in a better position to absorb these purchasing power losses.

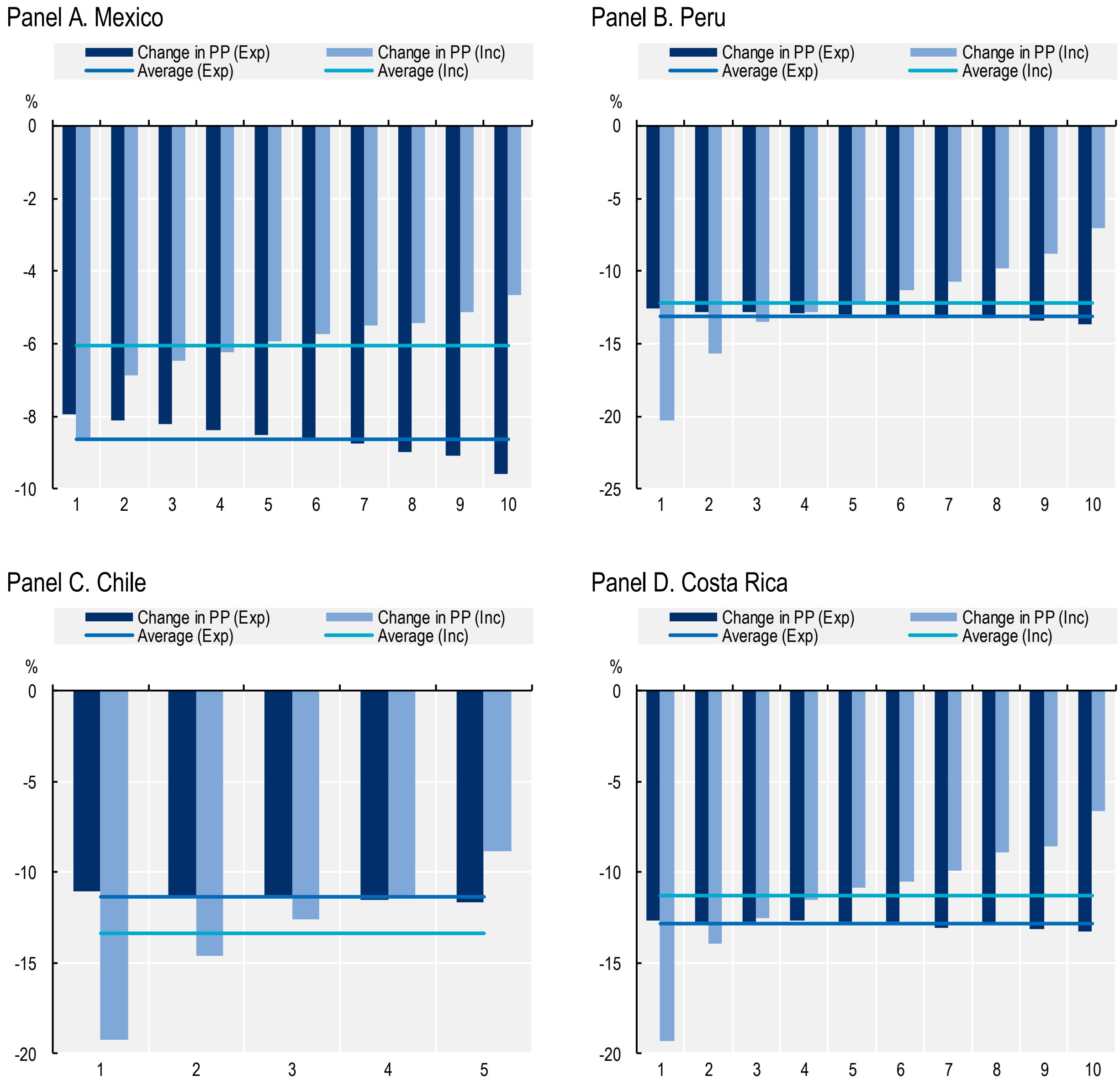
When purchasing power is computed on the basis of total income, losses are much greater for poorer households because they spend a larger portion of their income. In Peru for example the poorest households experience a 20% reduction in purchasing power, compared to just 9% for the wealthiest. In Chile and Costa Rica, the lowest-income households lose nearly two and three times the purchasing power of the highest-income households, respectively. As a result, trade-drive price changes have an uneven distributional effect thereby increasing the inequality across households.[12]

Figure 4.1. Share of expenditure by income (Household Survey)



Note: Includes only COICOP 1999 sectors at the 3-digit level that account for at least 3.5% (4.5% for Peru and Costa Rica) of total household expenditure in any income decile.
Source: Household Surveys of individual countries.

Figure 4.2. Changes in purchasing power (PP) by expenditure and by income



Note: The purchasing power ('PP') is computed both based on consumption of a product as a share of total expenditure (Exp) and consumption of a product as a share of household income (Inc). Available income estimates were used to compute changes in purchasing power based on share of income. Specifically for Mexico: current income; Peru: gross income; Chile: disposable income; and Costa Rica: gross monetary income.
Source: METRO model and Household Surveys of individual countries.

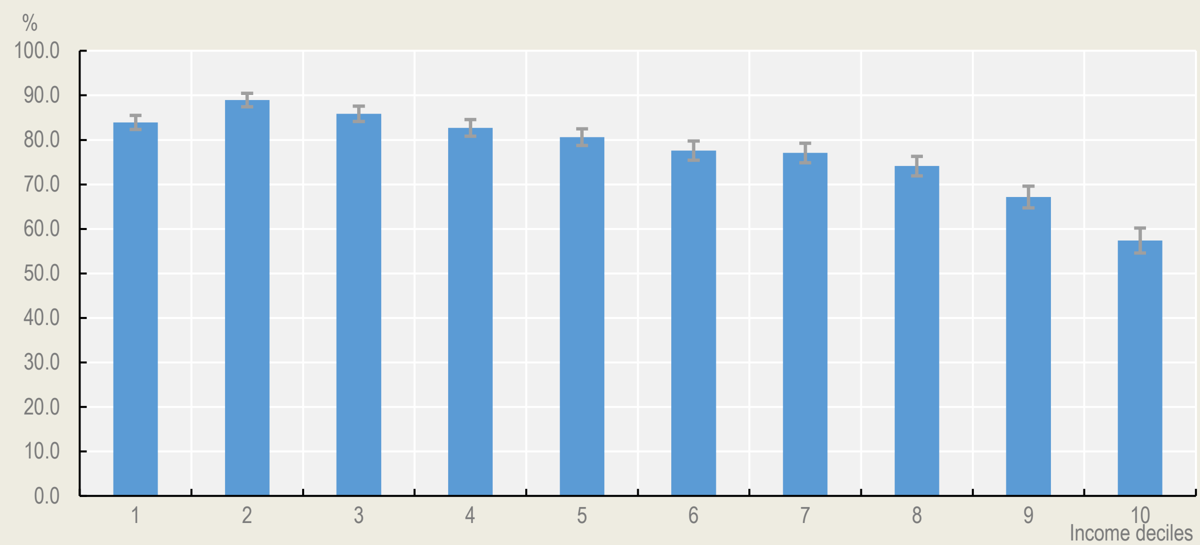
Box 4.2. Households and informal employment

According to the International Labour Organisation (ILO), 61% of the working-age population, or roughly 2 billion workers worldwide, are engaged in informal employment – either by working in jobs in unregistered or unincorporated businesses or working in positions without formal contracts, leaving workers without access to social benefits or legal protections (ILO, 2019[3]). These conditions expose informal workers to a greater array of risks, from job instability to poor working conditions, compared to their counterparts in the formal sector (OECD, 2019[4]). This lack of protections and increased risk adds additional layers of economic insecurity to an already vulnerable, low-income household if one or more of the members are employed informally.

In Latin America and the Caribbean, 54% workers are employed informally (ILO, 2019[3]), however over 70% of households in select Latin America countries had at least one member in informal employment (OECD, 2019[4]). Furthermore, households that rely on informal work are not distributed evenly across income deciles.

In Peru, 78% of households have at least one member in informal employment, with this share exceeding 80% in lower income deciles, compared to less than 60% in the highest decile (Figure 4.3). This pattern underscores how informal employment can intensify the vulnerability of low-income households, making them particularly susceptible to economic shocks and price increases.

Figure 4.3. More lower income households have at least one member working in the informal sector



Source: Authors' calculation based on the Household Survey of Peru 2022.

Moreover, women are overrepresented in informal employment across Latin America and Caribbean (Berniell, Fernandez and Krutikova, 2024[5]), and in particular among the upper-middle- and low-income LAC countries where the rate of informal employment is higher for women than for men (Table 4.2). Among the seven countries in the review, only Brazil has a higher informality rate among men. Peru and Mexico have the largest gender gap among the seven.

According to OECD (2019[4]), women in the informal sector typically face more precarious work conditions, shorter working hours, and lower wages, with the gender pay gap often more severe than in the formal economy. This overrepresentation of women in the informal economy not only exposes women workers and women-headed households to greater economic insecurity but also exacerbates existing inequalities.

Table 4.2. Share of employment in the informal sector by gender

	Selected Latin American countries							Average across economies by income group		
	ARG	BRA	CHL	CRI	COL	MEX	PER	High income	Upper middle income	Low income
Men	38.7	37.9	24.3	28.8	53.8	55.3	58.8	33.3	49.2	65.5
Women	39.7	33.8	25.6	32.0	55.0	61.0	71.1	32.7	51.4	69.1

Source: Berniell, Fernandez and Krutikova (2024[5]).

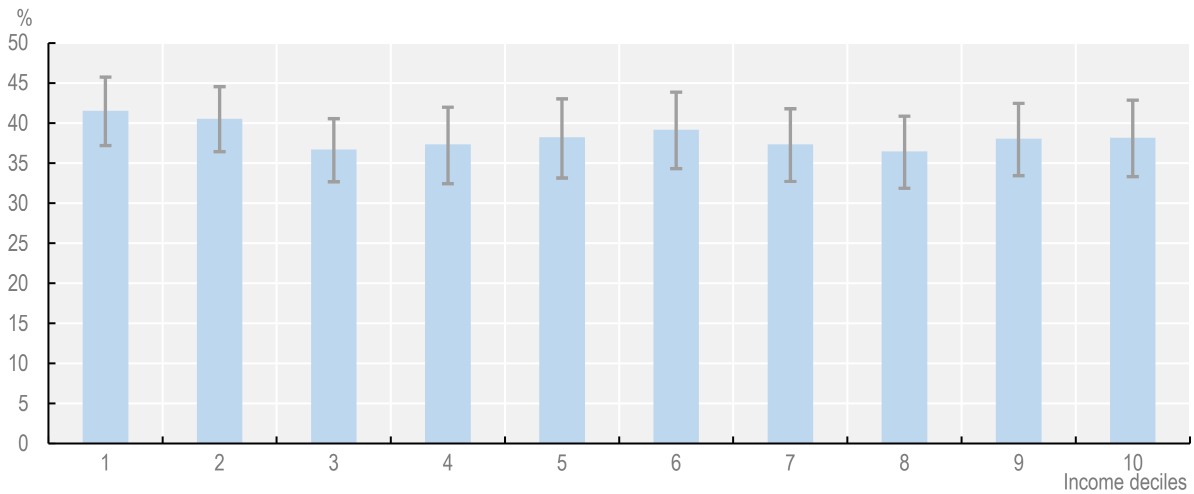
4.4. Exploring gender and income-based household exposure to price changes

A similar analysis was undertaken for New Zealand in 2022 to measure the distributional effects on different types of households of increasing New Zealand's tariffs to 25% (OECD, 2022[6])). The study found that the most exposed household type is the one-parent household with dependent children, which are in their vast majority headed by women. The New Zealand study could not explicitly measure the impact of trade-driven prices changes on women-led households due to data limitations. In contrast, Costa Rica's household survey enables the identification of women-led households, allowing for a direct assessment of how trade driven price changes affect women and the extent of any gender-related differences.

4.4.1. Examining differences in exposure based on gender of the head of household

In Costa Rica, 38.4% of households are headed by women.[13] This share is above the median percentage globally (28.0%) but in line with the median proportion (36.2%) in Latin American and the Caribbean (LAC) (Saad et al., 2022[7])). Globally, most female-led household types are single-parent households with children, but in the LAC region a considerable number of female-led households have husbands present, although the presence of a husband does not translate into increased wealth. Women-led families, however, are also not necessarily worse off. Liu, Esteve and Treviño (2017[8]) found that the union status of the head of household (i.e. single, divorce, married, cohabitation) more than sex of the head of household is more telling of the living conditions[14] of the household in many Latin American countries, including Costa Rica. Once factors such as the union status, education, urban or rural setting, presence of children in the household, and ownership of the dwelling are accounted for, the sex of the head of household becomes statistically insignificant in the case of Costa Rica (Liu, Esteve and Treviño, 2017[8]). Not surprisingly, while there are some small variations in the share of women-led households by income decile in Costa Rica, the differences are not statistically significant (Figure 4.4) confirming that women-led households are not more prevalent among any one income group.

Figure 4.4. Share of women-led households in Costa Rica by income decile



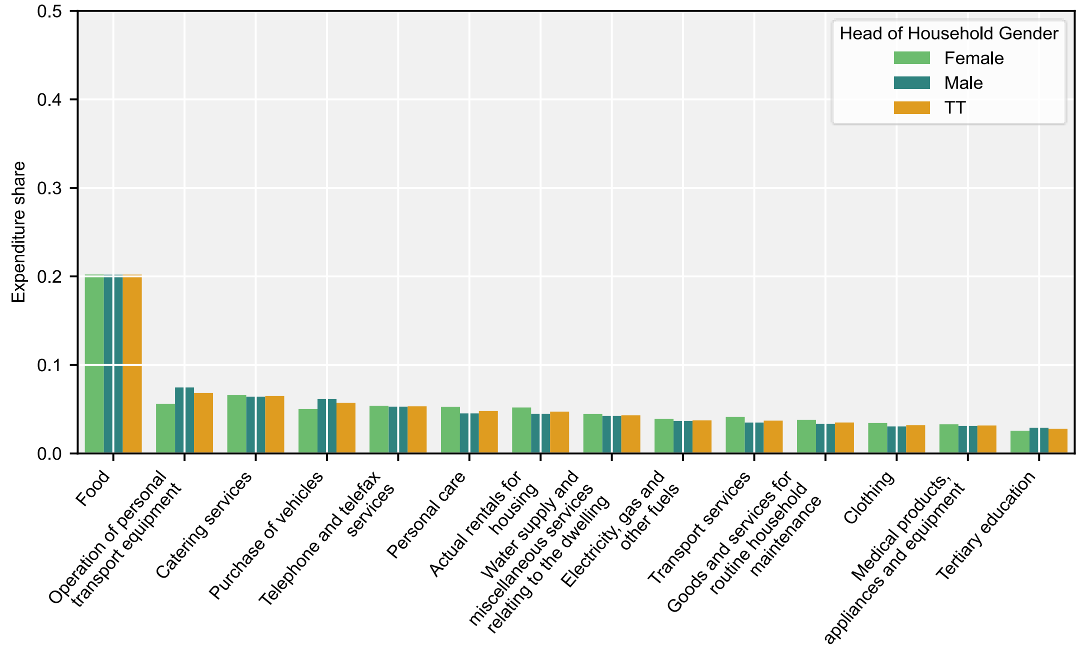
Note: Whiskers on each bar represent the 95% confidence intervals.
Source: Costa Rica Household Survey 2018.

Moreover, there are not strong differences in consumption patterns between female-led and male-led households that could contribute to distributional impacts when consumer prices changes. Among the 108 products in the analysis, most (83 products) are consumed in similar shares of expenditure regardless of whether the household is headed by a female or male. Additionally, in those cases that were found to be statistically different, the differences in the shares were less than 1 percentage point. There were, however, some exceptions. For example, as a share of expenditure, purchase of motor vehicles and items used to maintain these vehicles, such as fuels and lubricants were higher for men-led than for women-led households on average (with differences of 0.7 percentage points for cars and 1.9 percentage points for fuels and lubricants). Women-led households, on the other hand, seem to rely more on transportation services rather than cars, as reflected in a larger share of their total expenditure allocated to this service (almost 0.8 percentage points more than men-led households). Women-led households also spend a larger share of the household expenditure on personal care items, footwear, utilities, and pharmaceutical products relative to male-led households, but the differences are small (less than half a percentage point) (Figure 4.5 Panel A).

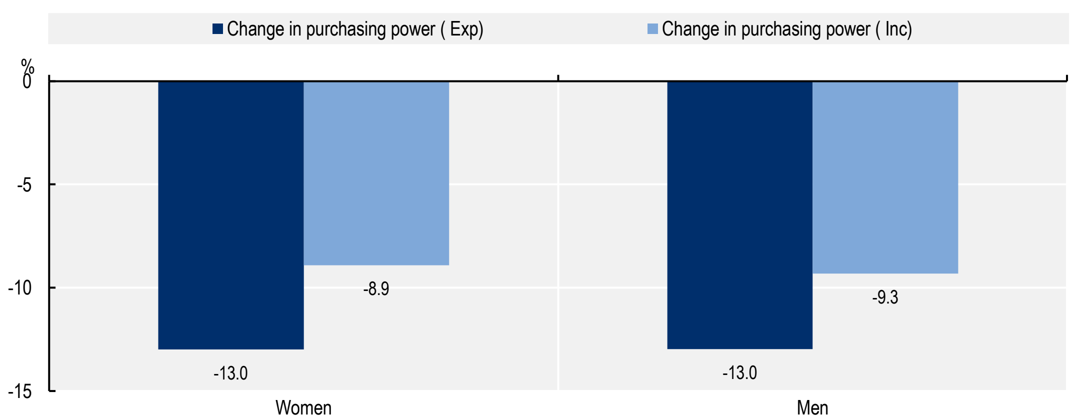
Because the consumption patterns between the two types of households are almost identical, the purchasing power loss resulting from the tariff increase are the same between households led by women and those led by men. Both types of households experience a loss in purchasing power of 13.0% using the expenditure-based approach. Moreover, while women-led households on average spend less money in total compared to men-led households, their gross monetary income is also lower. Overall, the share of gross monetary household income that is spent is similar between the two different household types (about 70%) translating to a purchasing power loss of rough 9% for each household type (Figure 4.5 Panel B).

Figure 4.5. Consumption pattern and purchasing power change by gender of head of household

Panel A. Share of expenditure by income deciles



Panel B. Changes in purchasing power



Note: Panel A includes only COICOP 1999 sectors at the 3-digit level that account for at least 2.5% of total household expenditure in any income decile. In Panel B, the purchasing power is computed both on the basis of consumption of a product as a share of total expenditure (Exp) and consumption of a product as a share of household income (Inc). Gross monetary income was used to compute change in purchasing power based on share of income.
Source: METRO model, Household Survey of Costa Rica 2018.

4.4.2. Analysing the combined effects of income and gender on household exposure

As seen in the previous subsection, the level of household income influences consumer consumption patterns. However, the gender of the head of household does not impact consumption patterns across income deciles. Although the exact proportions of spending on certain products may vary slightly between income groups in both types of households, the overall consumption patterns by income are comparable. In both male- and female-headed households, lower-income groups tend to allocate a higher proportion of their income to essential items than higher income groups. For example, food expenses account for a much larger share of household expenditures for lower income households. For households in the lowest income decile, food expenditures are approximately three times greater than those in the highest income decile, with a ratio of 2.7 for women-led households and 3.0 for men-led households. Similarly, transportation services account for nearly double the share of total expenditure in the lowest income decile compared to the highest, with no significant differences based on the gender of the household head.

There are some notable exceptions, particularly when examining detailed product categories (Figure 4.6). For example, in terms of personal care, women-led households in the highest income deciles spend nearly twice as much on hair salons and personal grooming compared to women-led households in the lowest income deciles. In contrast, for male-led households, the ratio is only 1.6 between the households in the highest and lowest income deciles. Additionally, the difference in the share of spending on products and services related to cars and personal transportation, such as spare parts and fuel, is larger between high-income and low-income women-led households. This is likely because low-income, women-led households are less likely purchase vehicles[15] reducing the need for car maintenance items. One area where low-income women-led households are especially vulnerable is the purchase of water. According to household expenditure data used in the scenario, the share of total expenditure these households spend on water is almost four times more compared to their high-income counterparts. Water supply purchases on average account for 3.9% of total expenditure among women-led households in the lowest income deciles, 3.0% among the lowest income male-led households, but only 1.1% of the total expenditure in the highest income deciles regardless of gender.

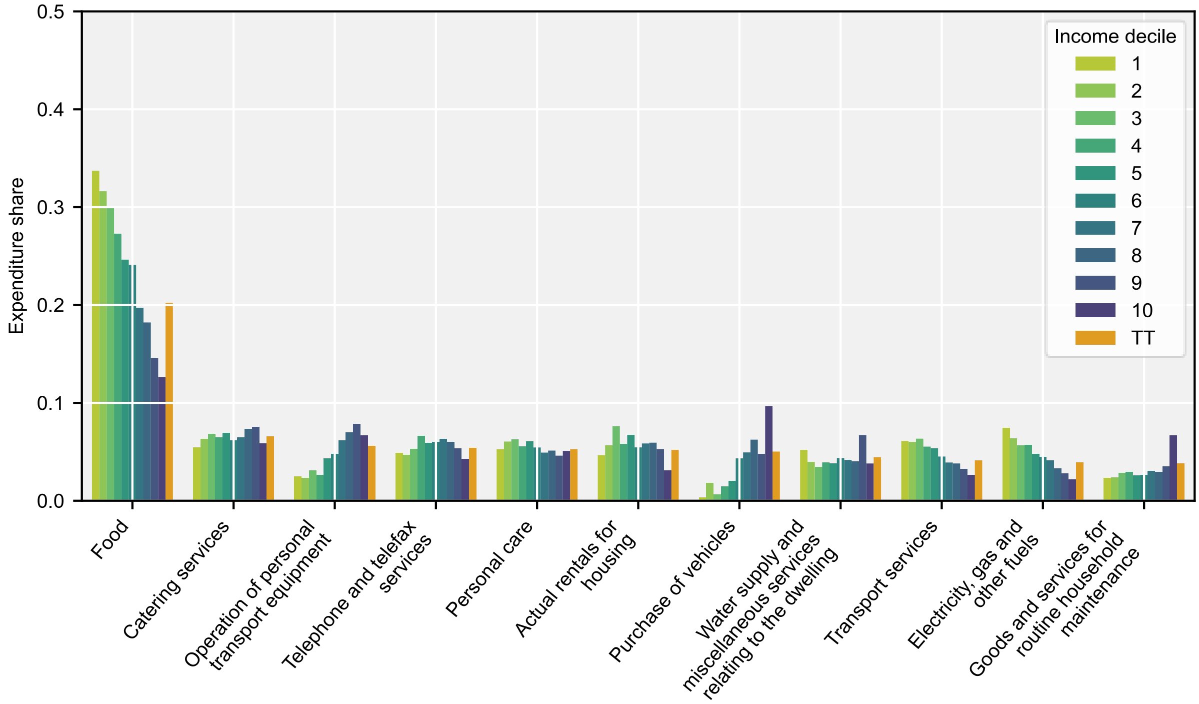
Although some differences in consumption patterns by income and gender of the household head are statistically significant, overall spending habits within the same income decile are similar between male- and female-led households. As a result, in a simulation where tariff increases lead to rising prices for manufactured goods compared to food and services, the loss of purchasing power is nearly identical between male- and female-led households. Women-led households lose 12.8% of expenditure-based purchasing power when averaged across the different income deciles, while men-led household the loss is 12.9% with similar losses across income deciles regardless of the gender of the household head (Figure 4.7).

Moreover, the proportion of income spent by households across different deciles does not vary significantly between those led by men and those led by women. For both types of households those in the lower income decile spend a larger portion of their income than households in the upper income deciles.

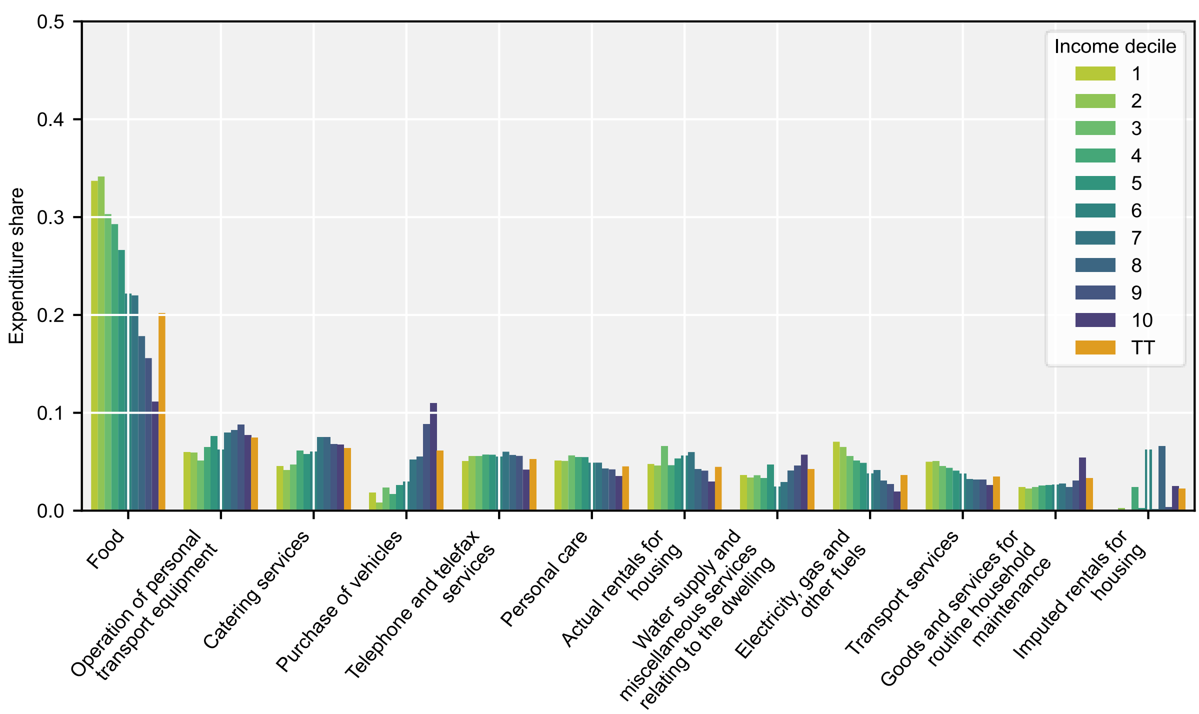
Consequently, when calculating purchasing power loss using the income-based approach, lower income households experience greater losses in purchasing power compared to their higher income counterparts, whether those households are headed by men or women.

Figure 4.6. Share of expenditure by income decile and gender of head of household

Panel A. Households headed by women

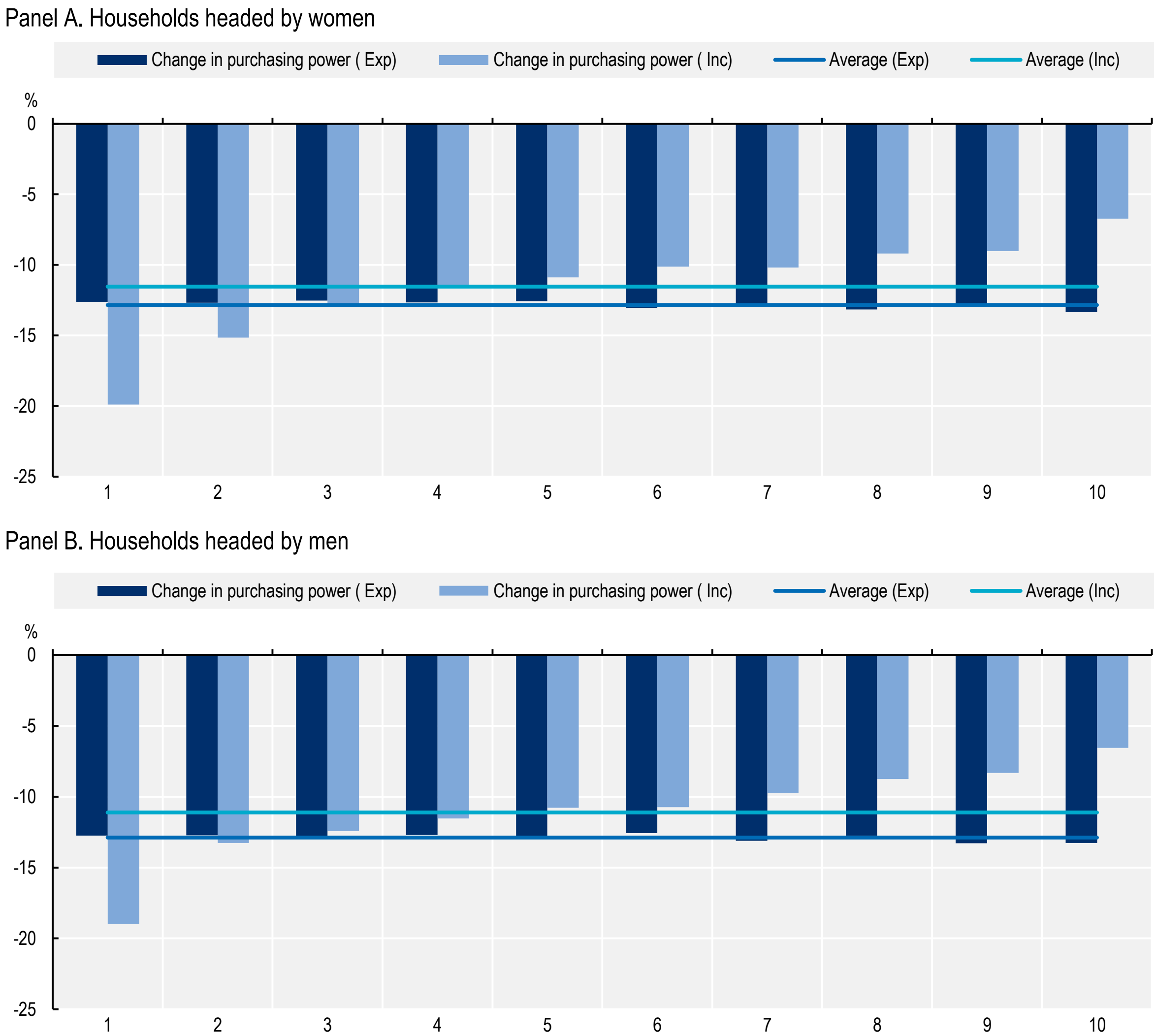


Panel B. Households headed by men



Note: Includes only sectors that account for at least 5.0% of total household expenditure in any decile for each gender respectively.
Source: Household Survey of Costa Rica 2018.

Figure 4.7. Change in purchasing power by gender and income decile



Note: 'TT' refers to expenditure shares across all income categories.
Source: METRO model, Household Survey of Costa Rica 2018.

4.5. Preliminary insights on impact of trade on women consumers

The simulation implemented in this section of the *Review* increases import tariffs to: i) examine their price impact on household expenditures, and ii) determine if certain types of households are more exposed than others to price changes. How the price responds to an increase in tariffs depends on the extent to which the supply of the sector is imported and how easily the imports can be substituted by domestic production. Household exposure depends on the price changes of the commodities they consume, and the share of household spending allocated to those goods and services. The analysis based on the Costa Rican household survey, shows that household exposure is primarily related to income level rather than the gender of the head of household, as consumption patterns differ across household income rather than by gender of the household head.

Across the four countries with available data on household expenditure —Mexico, Chile, Peru, and Costa Rica—lower income households allocate a large portion of their expenses to essential products such as food, electricity, personal care items, and often transportation services. In contrast, households in the upper income deciles tend to spend a relatively larger share of their expenditure on durable and semi-durable manufactured items and services. When tariffs are raised to 25%, prices of manufactured goods increase more than products from other industries, particularly those of advanced manufacturing goods such as electronics and vehicles, since manufactured products are generally sourced internationally. Agriculture and food products, on the other hand, are generally supplied domestically, and their price increases are not as pronounced. Services consumed by households and industry are generally supplied and consumed domestically, therefore, despite the strong increase in tariffs, their prices do not increase as much as manufactured goods.

Purchasing power losses due to the tariff increases differ by household income levels. When measured using the expenditure-based approach, upper income households experience slightly higher losses in purchasing power (a 1.6 percentage point difference or less) due to price increases in manufactured goods such as motor vehicles and electronics as well as travel services like air transport and accommodation, products and services consumed more by higher income households. However, when examining the loss of purchasing power by looking at expenses as a share of income, lower income households are more negatively exposed to the tariff-induced price increases. Households in the highest income category spend a fraction of their income, while households in the lowest income category spend more than 100%. Consequently, purchasing power losses in the lowest income households are at least double, sometimes greater, than households in the highest income deciles thereby increasing the inequality when purchasing power is measured using the income-based approach.

In Costa Rica, the only country with gender-specific data on household expenditure and income, the spending patterns of women-led households closely resemble those of men-led households across income deciles. Both male- and female-led households in lower income deciles allocate a larger share of their income on essential goods such as food and transportation, while higher-income households spend more on discretionary items. Although some differences exist in the share of expenditure allocated to specific categories, such as personal care, car related items, and water supply, between women-led and male-led households, these variations are minor compared to the overall influence of income. As a result, purchasing power loss due to the tariff increase is nearly the same for male- and female-led households.

Even when using the income-based approach, purchasing power losses are less pronounced but still negative. In Costa Rica, lower-income households, regardless of the household head's gender, spend a larger share of their income, leading to a decline in purchasing power three times greater than that of higher-income households.

However, in cases where a trade policy change disproportionately affects sectors that are more heavily consumed by women, such as personal care or transportation services, the outcome could differ. Relatively stronger price changes in these sectors where spending patterns diverge between the gender of the head of household could lead to different impacts on purchasing power depending on the gender of the head of household. Additionally, in countries where household composition or household consumption patterns differ based on the gender of the head of household, gender-based disparities in exposure to trade-induced price changes could emerge.

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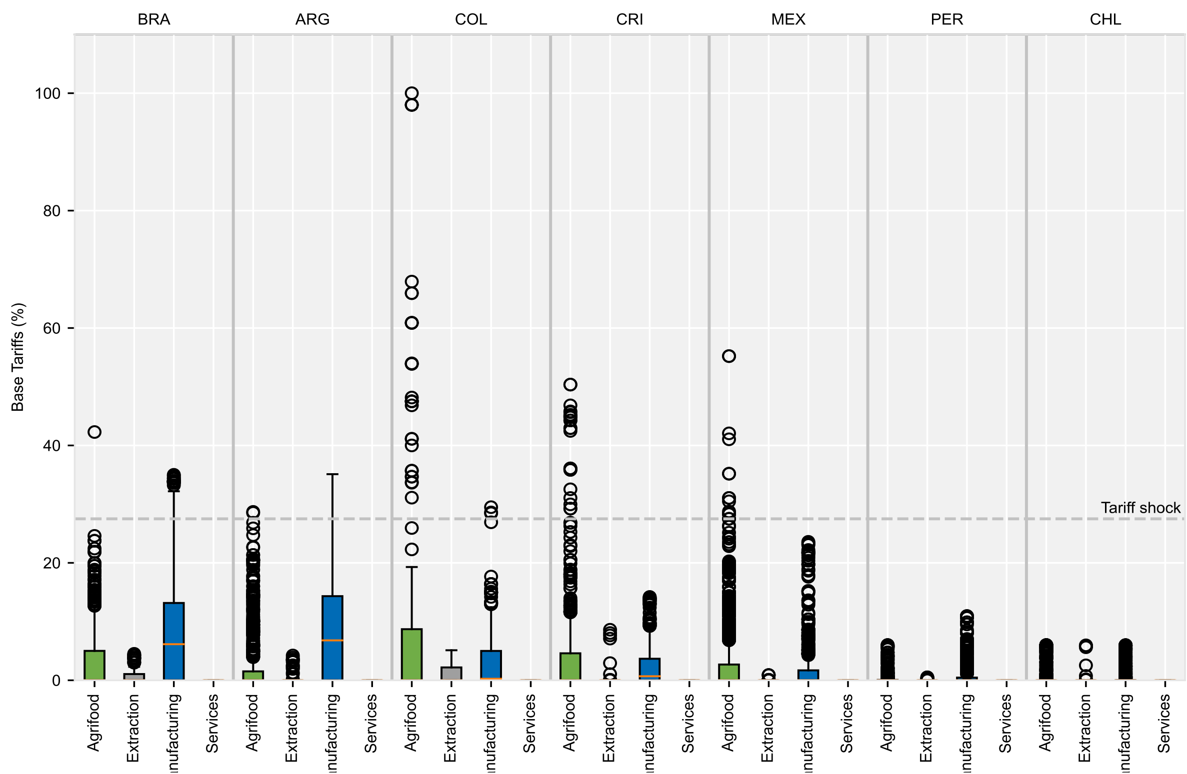
Annex 4.A. Background information on trade-related consumption effects

Annex Table 4.A.1. Household survey details

	Household survey name	Product Classification**
Costa Rica*	National Household Income and Expenditure Survey ENIGH, 2018. Data published in 2020 (household survey in 2018)	1999 COICOP in a 4-digit level
Mexico	Encuesta Nacional de Ingresos y Gastos de los Hogares (ENIGH) 2022 Data published in 2023 (household survey in 2022). Data extracted from tables based on the household survey from the government website. Expenditure information by income decile extracted from: "Hogares por la composición de los grandes rubros del gasto corriente monetario trimestral según deciles de hogares; de acuerdo con su ingreso corriente total trimestral (Miles de pesos*)" Total income by deciles extracted from "Hogares Y Su Ingreso Corriente Total Trimestral Por Deciles De Hogares; Según Tamaño De Localidad Y Su Coeficiente De Gini (Miles de pesos*)"	Mexican classification does not use the 1999 COICOP, a manual matching was performed based on product description.
Peru	Encuesta Nacional De Hogares 2022 Data published in 2023 (household survey in 2022)	The INEI Survey and Census National Direction provided data with COICOP 1999 (10 digit) classification
Chile	VIII Encuesta de Presupuestos Familiares (EPF) Data published in 2018 (household survey 2016-2017) Data extracted from tables based on the household survey from the government website: https://www.ine.gob.cl/estadisticas/sociales/ingresos-y-gastos/encuesta-de-presupuestos-familiares Expenditure information by income quintile extracted from: "Cuadro 7a; Gasto Promedio Mensual Por Hogar, Según Producto Y Quintil De Hogares Ordenados De Acuerdo Al Ingreso Disponible Promedio Mensual Del Hogar. Total Capitales Regionales (Excluye Arriendo Imputado)" Total income by quintile extracted from "Cuadro 3a Hogares, Personas, Gasto E Ingreso Disponible Promedio Mensual Del Hogar Y Per Cápita, Según Quintil De Hogares Ordenados De Acuerdo Al Ingreso Disponible Promedio Mensual Del Hogar. Total Capitales Regionales (Excluye Arriendo Imputado)"	1999 COICOP in a 4-digit level

Notes: *Gender of the head of house is available for Costa Rica. **Even when surveys use the COCIOP 1999 classification there was not always a perfect match between the household survey product code and the correspondence table used to match COICOP products and model sectors. In those cases, judgement was used to realign the COICOP code of the household survey. For the full list of COICOP 1999 classification codes see https://unstats.un.org/unsd/classifications/Econ/Download/In%20Text/COFOG_english_structure.txt.
Source: Authors' compilation.

Annex Figure 4.A.1. Tariffs among Latin American countries vary in size and range



Note: Countries ordered by average overall tariffs. Trade weighted average. The box represents the interquartile range. Circles above the box are considered outliers. Orange dash represents the trade weighted average of the Ad Valorem Tariff. Specific tariffs, which are in the model database are not shown. They are also not shocked in the analysis.
Source: METRO model database, reference year 2017.

The source of the applied tariff protection in the GTAP (and therefore METRO model) database with a reference year of 2017 is the Market Access Map database produced by the International Trade Centre. The tariff rate is aggregated from the HS 6-digit level to the GTAP sector level using trade weighted average based on three-year average imports and concordance between the HS6 and GTAP sectors.[16]

Comparing the latest (2024) WTO tariff profiles[17] and latest available tariff rates (2022) from WITS[18] with the tariff rates in the model database, the differences in weighted averages for each region are small (within 3 percentage points). The one exception is Chile where the model database average tariff rate is close to zero while the average tariff rates for Chile in the WTO tariff profile is 6%. In all regions in the study, apart from Brazil and to some extent Costa Rica, the tariff rates in the model database are, on average, lower than the most recent tariffs (2022) in the WITS data. However, since the average tariff rates in the WTO profiles are still relatively low, the tariff shock to 25% be similar using the latest tariff levels, albeit slightly lower given that the most recent tariff rates are higher than what is in the model database.

At the sector level, the tariff rate has increased more since the database reference year in the agrifood sector compared to the manufacturing sectors in Brazil, where average tariff on manufactured goods decreased, as well as in Argentina, Colombia, and Mexico. Tariffs on imported dairy and meat products in particular saw strong increases in these regions. In Mexico, tariffs on imported grains and fruits and vegetables were 1% or less in 2017 but increased between to between 6.7 (Wheat) to 16.5% (fruits and vegetables) by 2022. For the remaining regions, changes in the applied tariff rates since 2017 by Costa Rica, Peru, and Chile across sectors were either generally small or homogenous.

Annex Table 4.A.2. Average consumer price increase and tariff shock

	ARG		BRA		COL		CRI		MEX		PER		CHL	
	Price (%)	Tariff (ppt)	Price (%)	Tariff (ppt)	Price (%)	Tariff (ppt)	Price (%)	Tariff (ppt)	Price (%)	Tariff (ppt)	Price (%)	Tariff (ppt)	Price (%)	Tariff (ppt)
Agrifood	7.0	15.2	7.3	12.9	10.1	21.7	10.5	21.2	6.6	23.6	10.6	24.9	10.3	24.7
Agriculture	5.2	20.5	6.1	12.3	7.6	20.5	9.5	22.8	7.3	24.6	7.0	25.0	7.1	24.7
Food	7.2	10.1	7.8	13.2	10.9	22.4	10.7	20.4	6.5	22.9	11.9	24.8	10.8	24.7
Extraction	18.1	22.0	10.4	24.9	4.4	24.1	6.9	24.6	20.2	25.0	7.1	25.0	15.1	24.4
Manufacturing	8.0	8.9	8.9	14.6	13.4	20.9	18.8	23.9	12.3	24.0	13.8	24.1	18.2	24.7
Basic manufacturing	7.9	11.5	8.6	16.6	12.8	21.6	18.0	23.7	10.7	23.8	13.5	23.8	17.2	24.6
Advanced manufacturing	8.2	7.1	9.3	12.3	15.5	20.0	20.2	24.1	14.5	24.1	14.9	24.5	19.3	24.8
Services	8.1	24.0	8.1	24.6	11.1	25.0	9.7	25.0	5.4	25.0	12.7	25.0	8.3	25.0
Dwellings	5.9	0.0	6.5	0.0	9.3	0.0	4.6	0.0	8.2	0.0	10.0	0.0	3.6	0.0
Total	7.5	13.6	7.9	17.7	11.0	22.0	10.5	23.8	6.8	24.1	12.4	24.4	9.8	24.7

Note: This table shows the weighted average of the percent change of absolute consumer prices. Average consumer price change weighted by volume of consumption. Average percentage point increase in tariff rates weighted by import volumes.
Source: METRO model.

Annex 4.B. The OECD METRO Model

The METRO model (OECD, 2023[2]) is a multi-country, multi-sector computable general equilibrium (CGE) model, based on the GLOBE model (McDonald and Thierfelder, 2013[9]). The model traces international interdependencies in a theoretically and empirically consistent framework incorporating key features of GVC participation such as trade of intermediate and final products and trade in value added (TiVA) concepts.

The model consists of an individual economies interlinked through trade, with a price system focusing on relative price changes, which is common in CGE models. Each region has its own numeraire, typically the consumer price index, and a nominal exchange rate (an exchange rate index of reference regions serves as model numeraire). Prices between regions change relative to the reference region.

The database relies on the GTAP v11b data (Aguiar et al., 2022[10]) in combination with the OECD Inter-Country Input-Output Tables, UNCOMTRADE data and OECD's Bilateral Trade in Goods by Industry and End-Use to distinguish trade by end-use. The database contains 160 countries and regions and 65 sectors Available policy information include tariff and tax information from GTAP and OECD estimates of non-tariff measures on goods (Cadot, Gourdon and van Tongeren, 2018[11]); (Gourdon, Stone and van Tongeren, 2020[12]), services (Benz and Gonzales, 2019[13]); (Benz and Jaax, 2020[14]); (Benz and Jaax, 2022[15]), trade facilitation (OECD, 2018[16]) and export restricting measures.

For this analysis, the database was aggregated to 15 regions and 65 sectors.[19] Additionally, capital and labour stocks are assumed fixed, and factors are mobile between industries, but not between economies. All factors are fully employed and returns to land and capital and wage rates are flexible. Tax rates are fixed. Governments adjust spending to maintain their pre-simulation fiscal position. The trade balance is fixed, while exchange rates are flexible. Investments are savings driven.

Notes

[1] This framework was also used the Trade and Gender Review of New Zealand (OECD, 2022[6]).

[2] See Annex 4.B for details about the METRO model, database, and analysis setup.

[3] Tariff rates above 25% are not changed. Tariff rates between Argentina and Brazil, countries that are part of MERCOSUR, also remain unchanged.

[4] The model database is aggregated to 15 regions (Argentina, Brazil, Chile, Colombia, Peru, Costa Rica, Mexico, Canada, United States, China, European Union, rest of Europe, rest of Asia, rest of Latin America, rest of World) but maintains all 65 sectors.

[5] Household survey information is available for four countries: Costa Rica, Mexico, Peru, and Chile. See Annex Table 4.A.1 for more information of the household surveys used. Gender of head of household is available only for Costa Rica.

[6] One representative household in the METRO model decides which commodities to consume using a Stone-Geary utility function, meaning that households have a minimal level of consumption of essential goods and services, and then decide how much to consume based on (constant) preferences and remaining income. The price changes in the model take the income changes into account, but the household survey data on expenditure allocation by household demographic is static.

[7] The applied tariffs rates in the GTAP database come from the Market Access Map (MAcMap) which compiles bilateral measurements of applied tariff duties at the Harmonized System (HS) 6-digit level product classification and account for regional agreements and trade preferences. The tariff rates are aggregated to the GTAP sector using a trade-weighted average. See the GTAP documentation for more information: https://www.gtap.agecon.purdue.edu/uploads/resources/download/12097.pdf.

[8] Reference for the model database is 2017. See Annex 4.B for a description of the difference in tariff rates between the reference year and the current period.

[9] Under the current international trade framework, customs duties typically apply to tangible goods that cross international borders. Accordingly in the model database, there are no tariff duties applied to services trade, which in the model covers cross-border supply of services and consumption of services abroad.

[10] The analysis follows the approach in Luu et al (2020[1]), which computed the change in purchasing power based on the compensating variation approach. The purchasing power is computed both on the basis of consumption of a product as a share of total expenditure (referred to as the "expenditure base approach") and consumption of a product as a share of household income (referred to as the "income base approach".

[11] See Annex Table 4.A.1 for the list of household surveys for each country.

[12] These findings are similar to other studies looking at the distribution effects of taxes using the same approach. Luu et al. (2020[1]), OECD (2022[6]), and OECD/KIPF (2014[17]) found small and somewhat neutral effects on an expenditure basis and regressive effects on an income basis in OECD Member countries.

[13] The household survey of Costa Rica defines the head of household as the person who has the greatest responsibility in decision-making and generally contributes the majority of the household's economic resources, although not necessarily. In some households (such as non-family groups) the head is the person who has the maximum authority, who carries out the administration, who has resided there the longest or, finally, the oldest. If a person lives alone, he or she is the head of the household (Instituto Nacional de Estadística y Censos, 2018[18]).

[14] Based on the number of physical assets a household has, such as various building materials of dwelling and household amenities, relative to total possible assets in the country.

[15] Women-led households in the lowest decile did not purchase a motor car during the survey year.

[16] See https://www.gtap.agecon.purdue.edu/uploads/resources/download/12097.pdf.

[17] See https://www.wto.org/english/res_e/publications_e/world_tariff_profiles24_e.htm.

[18] World Integrated Trade Solution (WITS) is a database that includes trade and tariff data produced by the World Bank in collaboration with the United Nations Trade and Development, and in consultation with other international trade organisations. Tariff year 2022 is the most recent data available.

[19] The model data specification is available from the authors upon request. For detailed descriptions of the sectors and geographical coverage of GTAP version 11 see https://www.gtap.agecon.purdue.edu/databases/v11/v11_sectors.aspx and https://www.gtap.agecon.purdue.edu/databases/regions.aspx?Version=11.211.

5 Trade in services in Latin America

This chapter provides insights into trade policies and domestic regulations that impact services sectors, which are the industries where women work most. Barriers to trade in services affect not only foreign service providers, but also domestic service providers who as a result experience increased hurdles to procure services at competitive rates. This analysis focuses on horizontal services trade barriers that apply across the economy as well as the regulatory environment for different services sectors, including digitally-enabled services. Also examined are the economic benefits of narrowing the gap between the regulatory framework for services trade in each country and the least restrictive country in the dataset.

Services sectors play a fundamental role in the ability of women to engage in labour markets and to contribute to economic growth and well-being. In their majority, women work in services sectors and are engaged in those sectors at a higher proportion than men (Section 5.2). This sector, which is increasingly digitized, is also where women most frequently lead businesses (Section 5.3).

Women-led businesses engage with clients online at least as much as men do (Section 5.3), and women-owned small and medium-sized enterprises (SMEs) that leverage digital trade tools such as websites have a higher export rate (Poole and Volpe, 2023[1]). This implies that digital trade is not just a tool for business growth, but can also represent a platform for women entrepreneurs to expand their reach and influence on a global scale.

Furthermore, SMEs that employ digital tools, such as webpages, have been observed to employ more female workers (Andrenelli and Lopez Gonzalez, 2023[2]). This suggests that the digitization of trade not only empowers women entrepreneurs, but also creates more job opportunities for women in the workforce. The digitization of trade, therefore, can be seen as a catalyst for gender equality in the workplace, breaking down traditional barriers and providing women with more opportunities to excel.

This chapter provides insights into trade policies and domestic regulations that impact service sectors in the selected countries –Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico, and Peru –which may affect not only foreign service providers, but also domestic service providers who experience as a result increased hurdles to procure services at competitive rates. This analysis will focus first on horizontal services trade barriers that apply across the economy. It will then examine the regulatory environment for digitally-enabled services in the selected countries.

This chapter leverages regulatory data collected through the OECD's Digital Services Trade Restrictiveness Index (DGSTRI) for the seven Latin American countries referred to above and the Services Trade Restrictiveness Index (STRI) for six of them (excluding Argentina). These tools serve to identify and examine cross-cutting barriers that affect, respectively, services trade and digitally traded services. It then examines how certain policies may impact women-led businesses.

5.1. Services trade trends

Services sectors play a critical role in the selected Latin American economies (Figure 5.1). The value added in services in these countries (understood as the value generated in production including the contribution of labour and capital) represented an average of 57% of their GDP in 2023, indicating its resilience and importance to their economies. Since services sectors contribute significantly to GDP, any developments in this sector could have a major impact on countries’ overall economic performance, including employment. Industries such as retail, hospitality, healthcare, education, finance, and information technology are particularly labour-intensive and provide a wide range of job opportunities. Moreover, digital jobs and digital services are particularly relevant for women who tend to favour more flexible working arrangements.

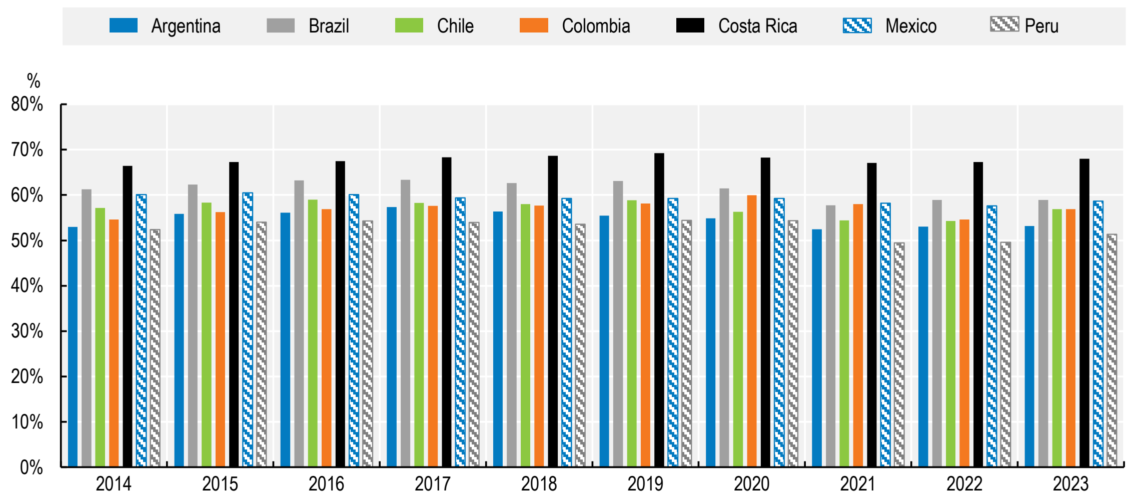
The selected countries experienced constant growth in services as a share of GDP year-on-year from 2014 to 2019; from 2019 to 2022, they experienced a slight but constant decline which was stopped or reversed in 2023.

Services represent more than 50% of GDP in all the selected countries. Within the selected countries, at 68% of GDP Costa Rica is the highest producer of services; followed by Brazil and Mexico at 59%, Chile and Colombia at 57%, Argentina at 53% and lastly, Peru at 51%

In terms of the selected countries’ competitiveness in the global digital market and their ability to leverage technology for international trade, the seven countries show a consistent increase of digitally-enabled service exports (Figure 5.2). Between 2014 and 2023, their exports jumped from USD 33.98 billion to

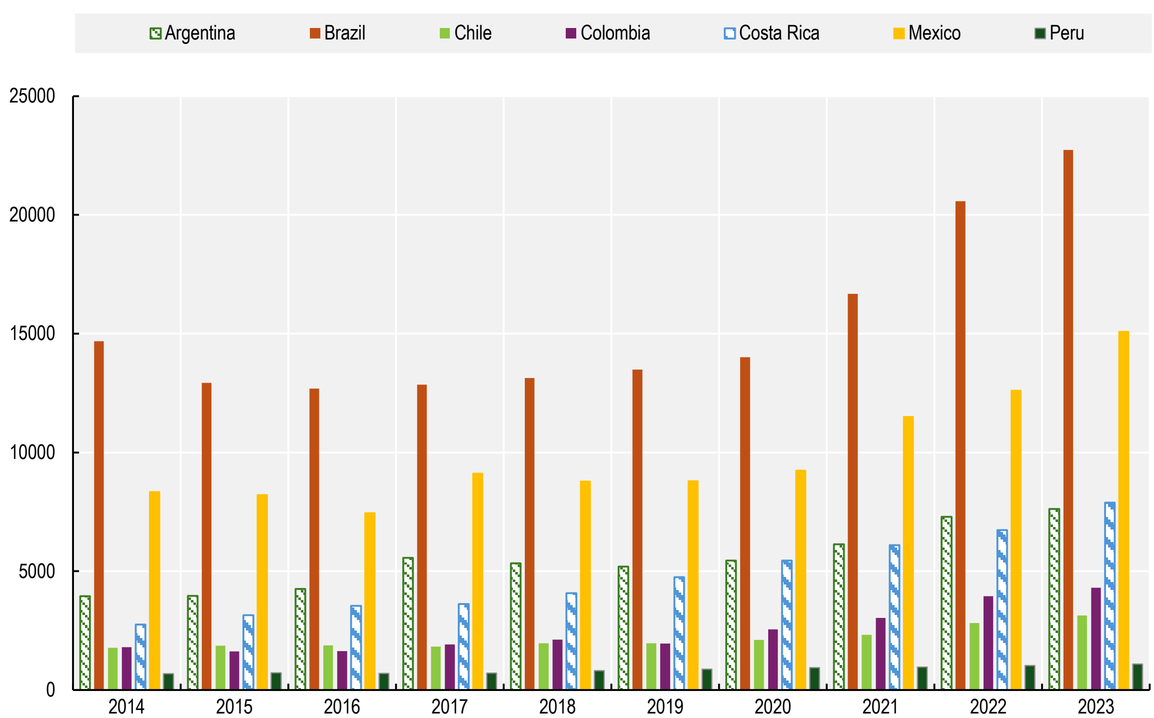
USD 61.86 billion, an increase of 82%. Among these countries, Brazil is the leader with its digitally-enabled services exports growing by 54% from 2014 to 2023

Figure 5.1. Value added in services as percentage of the GDP, 2014-2023



Source: Elaboration by the authors based on World Bank World Development Indicators data, https://databank.worldbank.org/source/world-development-indicators (accessed 7February 2025).

Figure 5.2. Export in digitally-enabled services, USD millions



Source: Elaboration by the authors based on WTO data. World Trade Organization, https://www.wto.org/english/res_e/statis_e/gstdh_digital_services_e.htm (accessed 13 February 2025).

Digitally-enabled services have in some ways been found to be more egalitarian than traditional sectors.[1] They tend to reduce discrimination since the gender of the entrepreneur or service provider is not always evident. They allow for greater flexibility in terms of working hours and location, which is particularly beneficial for women who often juggle paid work and multiple family responsibilities including domestic and caregiving responsibilities. The lower costs to access markets that digital platforms provide can particularly benefit smaller businesses, where women-led businesses are overrepresented. Finally, digital trade tools can help women entrepreneurs overcome traditional barriers to market access, such as shallower professional networks or mobility constraints. Through digital platforms, women can reach a global customer base, collaborate with business partners from around the world, and access resources and information that may not be readily available in their local environment.

Digitalization has unlocked significant potential across services sectors, particularly since the COVID-19 pandemic. Entrepreneurs, including women, increased their use of digital technologies to survive during the COVID-19 pandemic by creating new distribution and procurement channels via e-commerce.[2] With proper infrastructure, capacity building and support, many services can now be delivered electronically. Brazil for example, has tripled its internet penetration in 15 years, with digitally delivered services accounting for 65% of the country's service exports in 2020.[3]

Nonetheless, existing gender disparities have meant that costly internet access, limited training opportunities in digital technologies, constrained access to financing, and significant family responsibilities have resulted in lower online participation by women and unequal distribution of benefits from the digital economy when compared to their male counterparts.[4]

The following section delves into trade regulations, specifically horizontal measures across 22 service sectors in the selected countries with a focus on identifying barriers that may particularly hinder women's ability to capitalise on trade opportunities.

5.2. Comparative analysis of the horizontal trade barriers governing services trade in Latin America

Latin America presents a mixed picture regarding trade restrictiveness across services sectors.[5] The average score of the 38 OECD countries is 0.19 out of 1; of the six selected countries, three are below this average (i.e. less restrictive): Chile (0.16), Costa Rica (0.16), and Peru (0.18), and two are above (i.e. more restrictive): Brazil (0.22) and Mexico (0.24). The score for Colombia (0.19) is the same as the OECD average.

Further analysis into specific sectors reveals that the challenges faced by woman-led businesses can be exacerbated in specific policy areas. For example, restrictions on foreign entry can increase the cost of services inputs which may hinder their productivity and their ability to scale internationally. Moreover, a lack of regulatory transparency can create an uneven playing field, particularly for women-owned businesses as they may have less experience or access to support networks as compared to their male counterparts. Conversely, some countries have given preferential access to government procurement tenders to SMEs or to women-owned and women-led firms. Some evidence exists that these measures have increased the share of women-led firms in public procurement markets. However, their impact may be incumbent on the full implementation of such programs and whether non-traditional public sector suppliers are able to avail themselves of these opportunities.[6]

In the following sub-sections, specific examples of these horizontal measures within different policy sectors are provided, further illustrating their possible impact on women-led businesses.

Services that traditionally necessitated a local presence can now be offered across borders, thereby reducing the expenses and difficulties businesses face in establishing foreign subsidiaries. However, certain countries can inhibit this potential by mandating businesses to set up a commercial or local presence for the provision of such services.

In the selected countries, requirements for a commercial or local presence tend to be the exception rather than the rule across the various sectors. There are, however, specific sectors in some of the countries where such a presence is mandated, including the professional and distribution services. It is worth noting that some of these sectors also coincide with sectors where female entrepreneurship is largely present.

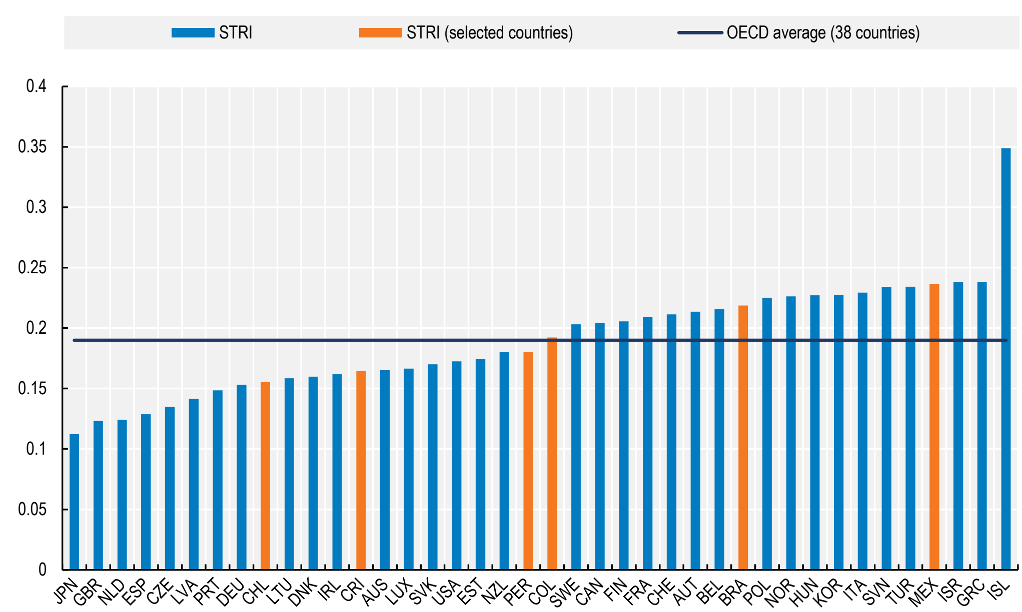
For example, a local presence is required in Brazil for the cross-border supply of professional services such as accounting, engineering, legal, and architecture. Foreign lawyers must register and establish a law firm in Brazil. To practice engineering, professionals must first obtain registration with the appropriate Regional Council, the regional engineering council with jurisdiction over their area of practice.

In Colombia, accounting firms and accountants must set up a commercial presence before providing services. Anyone who intends to provide such services must register with the Colombian Central Accountants Board, have uninterrupted domicile in Colombia for at least three years prior to registry, and provide proof of accounting experience in Colombia of at least one year.

In Chile, foreign companies in the distribution sector must also appoint a local representative agent.

In Costa Rica, foreign accounting firms can only advertise and practice public accounting in the country through local professionals or offices.

Figure 5.3. Average STRI for OECD countries and selected Latin American countries, 2024



1. Indices take values between zero and one, one being the most restrictive information for Argentina was not available at the time of the preparation of this chapter.
2. STRI Restrictions on foreign entry.
Source: OECD STRI (2024).

5.2.1. Preferential public procurement measures

Government agencies often require a vast array of goods, services, and construction projects. Winning public procurement contracts can provide significant revenue and growth opportunities for businesses. Public procurement in many countries is a substantial share of GDP: on average it constitutes 10-15% of developed countries' GDP and up to 40% for some developing countries.[7] Public procurement policies can address some of the challenges that prevent firms from fully engaging in public procurement markets.

Women-owned businesses, which are often smaller in size, face unique challenges in addition to those faced by all SMEs. These include a lack of information regarding tender opportunities, cumbersome administrative procedures, and intense price competition.[8]

As a general rule, the seven countries provide explicit preferences for local or national suppliers in their public procurement regulations, which could prove favourable to women led firms if those firms are informed of public procurement opportunities and able to participate and compete in bids for tender. In Brazil for example[9], it is possible for the federal government to establish margins of preference of the price for goods and services produced in Brazil and follow Brazilian technical standards.

In Colombia, national firms are preferred over foreign firms, and foreign firms that use local content and staff are preferred over those that do not. There are also special preferences for local SMEs. Article 21 of Law 80 of 1993, Colombia's General Statute on Public Procurement,[10] prioritises the participation of domestic goods and service providers in government contracts. To achieve this, the law mandates state entities to: (a) ensure fair competition: national providers compete on the basis of quality, opportunity, and price, alongside international competitors, (b) maintain objective selection: the selection process for awarding contracts remains unbiased, regardless of a provider's origin; and, (c) prioritise national offers (when equal): if two competing offers are equal in all other aspects, the contract is awarded to the domestic provider.

Furthermore, in 2020 Colombia enacted Law 2069 of 2020 aimed at fostering entrepreneurship, and economic growth.[11] Article 32 of the law allows public entities to establish differential criteria for women-led SMEs in public tenders, as well as certain processes under the public tender threshold, depending on the analysis of the sector. Contracting authorities are mandated to carry out a sectorial analysis to identify potential SMEs that could be direct or indirect contractors.

Costa Rica encourages the participation of SMEs by favouring procurement through local SMEs that predominantly employ people from the region for a set of products and in certain regions. The Ministry of Economy, Industry and Commerce may also provide compliance and collateral guarantees through the Special Fund for the Development of Micro, Small and Medium Enterprises (FODEMIPYME) or through financial instruments created under the Law 8634, Banking System for Development.[12]

In Mexico,[13] there is a clear preference for suppliers who use local labour and resources. National suppliers are given priority over foreign suppliers, even where the latter's prices are up to 15% lower. Public tenders are only available to international bidders under two conditions: a) if no valid national tenders are available and the national tender has been declared null and void; and b) if the procurement is financed by external credit granted to Mexico. Under the Public Work Law, foreign entities can only participate in tenders if there is a reciprocal arrangement in place.

Furthermore, Mexico's national programne for equality and non-discrimination (PRONAIND) 2014-2018 mandates the incorporation of gender perspective in the design of all public policies in Mexico. In line with this obligation and the aim to promote women's economic empowerment by removing barriers to their full participation in paid economic activities, a 2014 reform to the Public Procurement law was made to offer an advantage (i.e. a higher score) during the bidding process for companies that demonstrate their commitment to inclusion and support the development of women.

Chile introduced a focus on gender in public procurement matters to promote the participation of women-led businesses: public procurement directive 20[14] enacted in 2015 and updated in 2022 incorporated a gender perspective in public procurement processes by allowing the inclusion of evaluation criteria related to high social impact such as the promotion of the participation of women in the public procurement system. For these purposes, only companies owned or controlled by women (i.e. more than 50% female ownership, having a female general manager or having more than 50% female legal representatives) benefits from these provisions. In 2023, Chile amended its public procurement law to allow public entities to incorporate complementary criteria in tender evaluations, aiming to promote gender equality and advance women's leadership within corporate organizational structures. Since December 2024, public entities are allowed to prioritize high social impact initiatives, such as those led by women-owned SMEs, in direct tenders for acquisitions valued at less than 30 UTM (USD 68 317).

According to the 46th Newsletter of *Comunidad Mujer,*[15] a civil society organisation that promotes social, cultural, normative and organisational transformation for gender equality in Chile, following the introduction of a gender focus in public procurement policies, there has been an increase in women suppliers to the state (during 2017, from 34 000 to 36 051 suppliers as natural persons; and from 350 to 529 supplier companies led by women as legal persons). Their participation in the amounts traded in the public market increased by 25% between 2013 and 2017, and the average amount traded by each supplier grew by almost USD 1 500. However, Chilean women-owned supplier companies continue to be fewer compared to their male counterparts, representing three out of ten state suppliers.

5.2.2. Regulatory transparency

Regulatory transparency is crucial for businesses seeking to enter foreign markets because it provides them with a clear understanding of the rules, regulations, and procedures in the new market. It allows businesses to accurately assess the potential risks, costs, and benefits of expanding their operations into a new country. Transparency can also reduce the likelihood of encountering unforeseen legal or regulatory obstacles, which can lead to costly delays or penalties. Additionally, regulatory transparency fosters a fair and competitive business environment, as it ensures that all businesses, regardless of their size, gender of their leadership or country of origin, are subject to the same rules and standards. This level playing field encourages innovation and growth, and discourages discrimination and cronyism, benefiting businesses, particularly women-led businesses which often face the challenge of lack of information that comes from shallower networks that those of men.

All the selected countries are legally required to communicate regulations to the public. However, allowing for insufficient time between publication and entry into force of laws and regulations can lead to uncertainties and added costs. Moreover, an appropriate stakeholder consultation on new legislative initiatives is not always in place. The use of electronic means for undertaking consultations is not yet uniformly applied across all sectors in the selected countries.

For instance, in Brazil[16] laws typically become effective 45 days after they are officially published, unless specified otherwise. Also, the legislative process is accessible to the public as a general rule. In contrast, in Chile, laws are made public through the Official Journal (*Diario Oficial*) and relevant electronic platforms. They take effect immediately upon publication unless a different date is specified. The relevant administrative body has the discretion to determine the methods for citizen participation. It is this body that identifies issues of public interest where citizen input is necessary.

In some countries in the region, regulations do not match international best practices, i.e. a minimum of 14 days between publication and entry into force of laws and regulations. In Colombia and Peru, the law enters into force immediately after publication in the official gazette. However, both have established a comprehensive public comment procedure.[17] State agencies are obligated to encourage civic engagement via both physical and digital platforms, enabling citizens and interest groups to provide input on specific regulatory initiatives. Various communication channels are used to disseminate information about the objectives of the proposed regulations, the deadline for submitting comments, and the procedures and mechanisms for receiving them.

In December 2021, 67 WTO Members adopted a Declaration announcing the successful conclusion of negotiations on services domestic regulation aimed at increasing transparency, predictability and efficiency of procedures for authorisation of service providers (Box 5.1). Agreeing to its principles signals a nation's commitment to establishing transparent, efficient, and effective domestic regulations on services. It also signifies a country's recognition of the need for international co-operation in this area.

Finally, it is crucial to consider that barriers at home can affect the ability to export, and the cost of exporting, digitally enabled services. These barriers could potentially hinder the growth and development of these services, and thus need to be addressed effectively.

Box 5.1. WTO 2021 Domestic Services Regulation Declaration

WTO Joint Initiative on Services Domestic Regulation

The WTO Joint Initiative on Services Domestic Regulation agreed in 2021 covers a comprehensive set of disciplines aimed at lowering administrative hurdles and licensing conditions for services providers.

Through this action, the selected countries have agreed to make sure, among other commitments, that any measures relating to the authorisation for the supply of a service do not discriminate between men and women. The Joint Initiative contains an historic provision: it includes, for the first time in WTO rules, a provision on non-discrimination between women and men, relating to the authorisation for the supply of a service. Furthermore, differential treatment that aims at accelerating *de facto* equality between women and men is not considered discriminatory.[1]

All seven Latin American countries have committed to implement the disciplines on services domestic regulation. These disciplines entered into force in February 2024 for 46 signatories during the 13th WTO Ministerial Conference.

1. Differential treatment that is reasonable and objective, and aims to achieve a legitimate purpose, and adoption by Members of temporary special measures aimed at accelerating de facto equality between men and women, shall not be considered discrimination for the purposes of this provision" (WTO Reference Paper on Services Domestic Regulation, Section II – Disciplines on Services Domestic Regulation, footnote 18, https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/INF/SDR/2.pdf&Open=True).

5.3. Comparison of the rules governing digitally enabled services trade

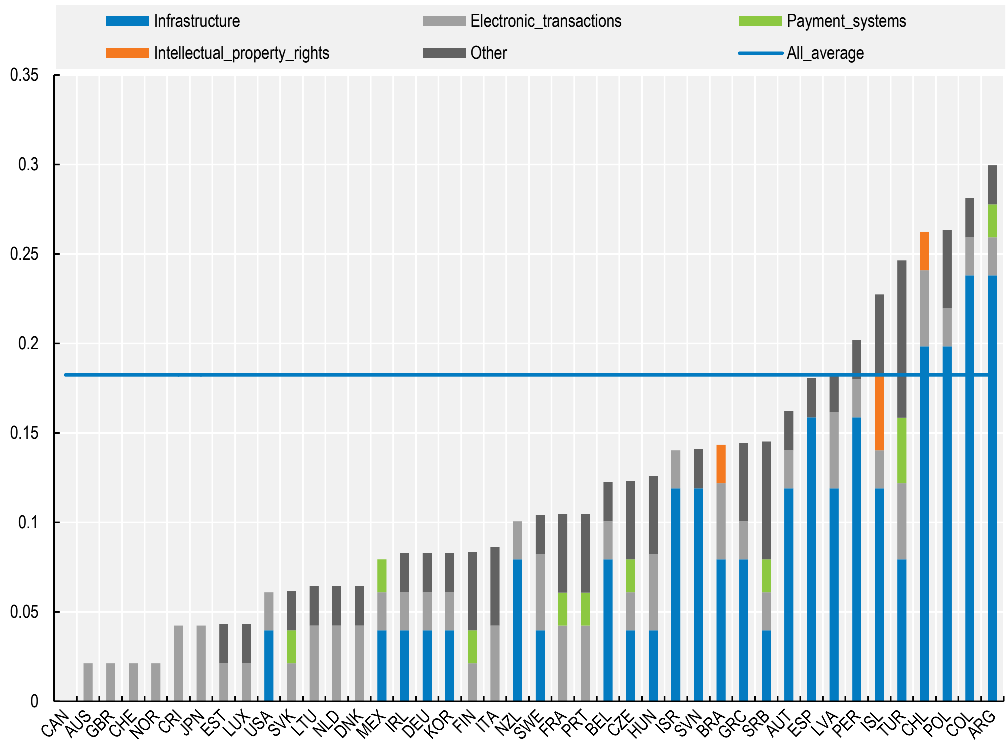
The regulatory environment affecting digitally enabled services is diverse as shown by the broad distribution of Digital Services Trade Restrictiveness Indices (DGSTRI) range from 0, the least restrictive score (for Canada) to 0.2996, the most restrictive one (for Argentina) (Figure 5.4).

The average DGSTRI score of the selected countries (0.18728) is higher than the OECD average (0.1824). Costa Rica and Mexico stand out as the least restrictive regulatory environments; they are also less restrictive than the OECD on average. Conversely, Argentina, Chile and Colombia exhibit the highest level of restrictions within the group that are members of the OECD and of the DGSTRI in Figure 5.5. The primary constraints identified in the selected countries are related to communications infrastructure and connectivity, followed by electronic transactions, whereas barriers associated with intellectual property rights are the least prevalent form of limitation.

Barriers to trade in services related to infrastructure and connectivity, electronic transactions and online payment systems, among others, may make it more difficult for companies to engage in commercial transactions from a distance. They can also increase the cost of doing business, which can imply lower productivity of businesses that use those services. The removal of unnecessary obstacles could have the opposite effect, however.

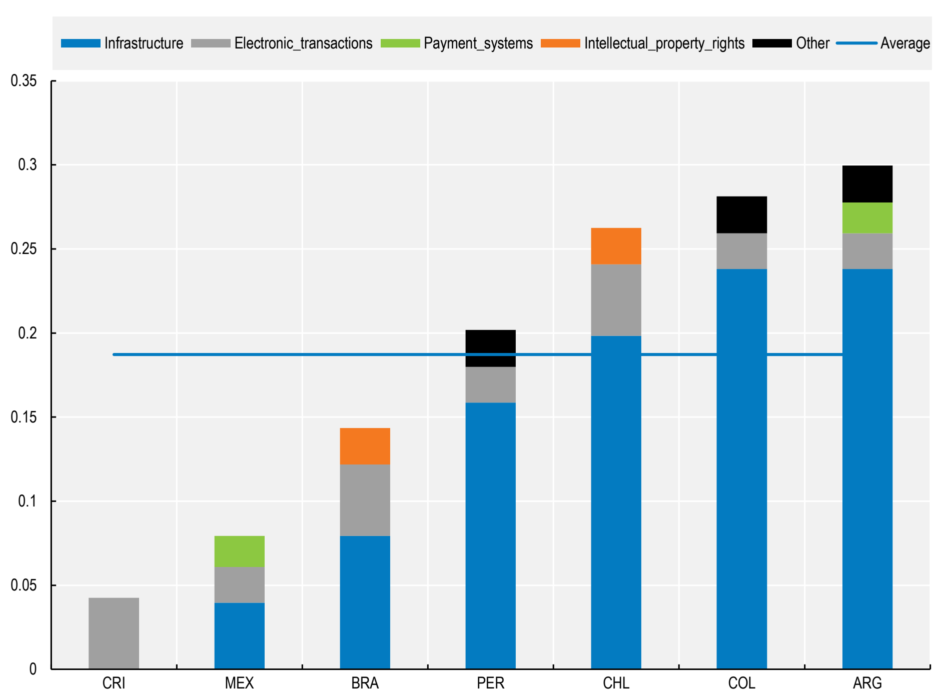
In the following sub-sections, specific examples illustrate their impact on women-led businesses within different policy sectors.

Figure 5.4. OECD and selected countries: Digital Services Trade Restrictiveness Index, 2024



Note: Indices take values between zero and one, one being the most restrictive.
Source: Digital STRI (2024).

Figure 5.5. Digital services trade restrictiveness index in seven selected Latin American countries, 2024



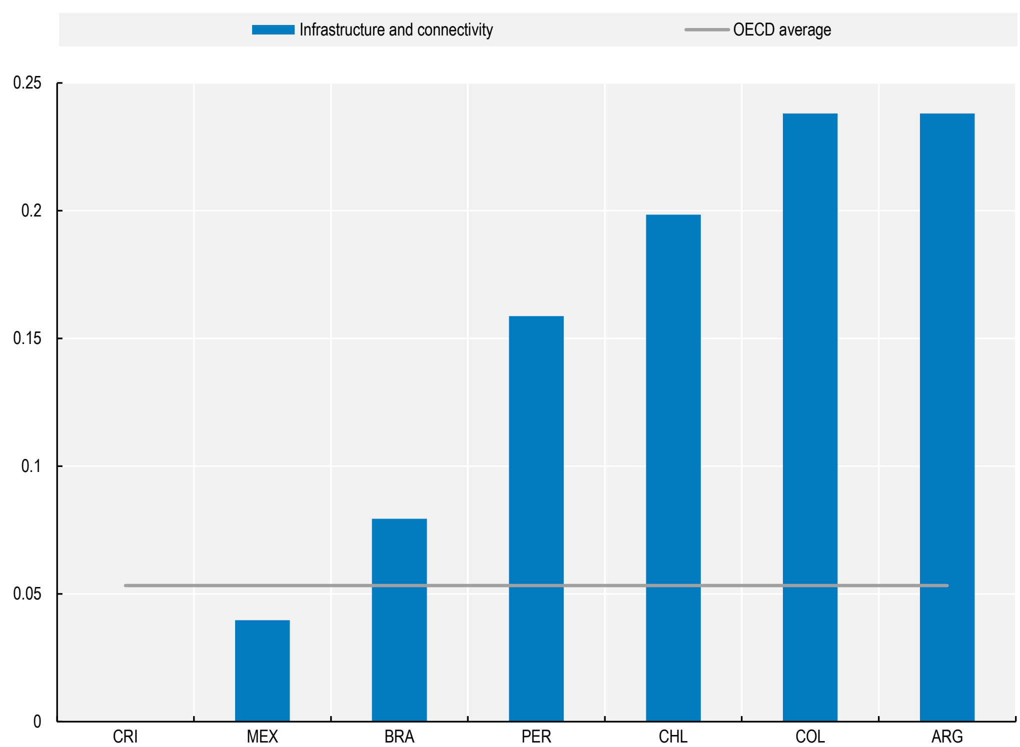
Note: Indices take values between zero and one, one being the most restrictive.
Source: Digital STRI (2024).

5.3.1. Infrastructure and connectivity

Costa Rica is the least restrictive of the selected countries in infrastructure and connectivity; Argentina and Colombia display a score of 0.2380 each, which matches the highest score of the OECD countries (Figure 5.6). The average of the selected countries is 0.1360, which is considerably higher than the average of the OECD countries of 0.0532.

Infrastructure and connectivity measures include pro-competitive interconnection rules among network operators, restrictions, or prohibitions on communication service usage, as well as policies influencing cross-border data movement and data localisation. Non-regulated interconnection prices and conditions for major providers of telecommunications services, along with the lack of publicly available interconnection reference offers undermine competition and thus contribute to a higher level of restriction.

Figure 5.6. Infrastructure and connectivity in seven selected Latin American countries, 2024



Note Indices take values between zero and one, one being the most restrictive.
Source: Digital STRI (2024)

Another factor taken into account is the non-discriminatory internet traffic management and whether it is mandated or not by law. The selected countries abide by this principle and set forth the obligation that Internet access providers do not arbitrarily block, interfere, discriminate, or restrict the right of users to access content, applications or services. This means that SMEs' online services or content cannot be unfairly slowed down or blocked, thus providing them with equal opportunities to reach their customers and compete in the digital marketplace.

Restrictions on the use of communication services can also significantly impact SMEs by hindering their ability to effectively connect with clients, partners, and suppliers. It may also affect their marketing strategies and overall business operations, potentially leading to reduced competitiveness and growth.

5.3.2. Measures affecting electronic transactions

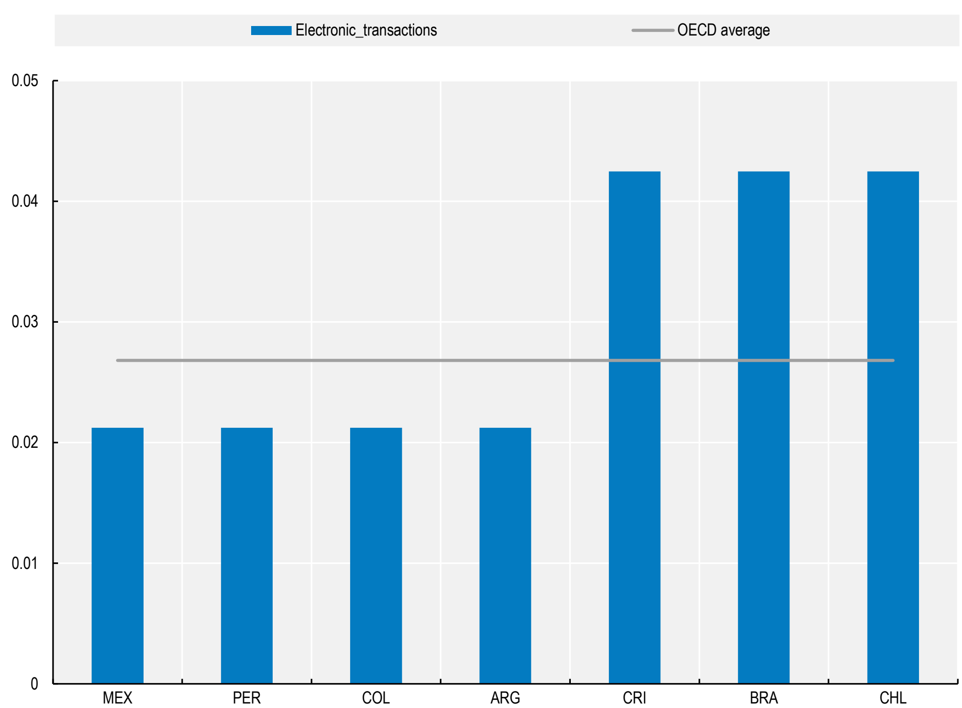
The selected countries are more restrictive than OECD Member countries in measures that affect electronic transactions, with an average of 0.0303 compared to the average for OECD Member countries of 0.0268. Mexico, Peru, Colombia, and Argentina are less restrictive (and below the OECD average) than are Costa Rica, Brazil and Chile (which are above the OECD average). This higher restrictiveness is partly due to the fact that, Brazil, and Chile do not offer online tax registration and declaration for non-resident foreign providers. Since 2023, Costa Rica allows non-resident foreign providers to register and declare taxes although some restrictions remain.

The DGSTRI also considers factors such as the presence of discriminatory licensing conditions for conducting e-commerce activities and the existence of dispute resolution mechanisms for international transactions, among others. It is worth noting that none of the countries have laws or regulations that require e-commerce service providers to secure a license or authorisation, apart from the regular business licenses.

All the selected countries have implemented laws or regulations that equate electronic signatures with traditional handwritten ones, bolstering e-commerce by guaranteeing secure communication. Each of these countries also possess mechanisms for dispute resolution that are accessible to consumers for e-commerce transaction disputes.

Examples of these online dispute resolution systems include Mexico's government-established *Concilianet*, which provides online mediation, the International Consumer Protection and Enforcement Network (ICPEN), utilised by consumer protection agencies of the selected countries, and the Latin American eCommerce Institute and *eConfianza* Trustmark programme. However, several challenges persist, such as agreement on applicable law and jurisdiction, digitization of judicial and administrative proceedings, and enforcement of decisions.

Figure 5.7. Electronic transactions in seven selected Latin American countries, 2024



Note: Indices take values between zero and one, one being the most restrictive.
Source: Digital STRI (2024).

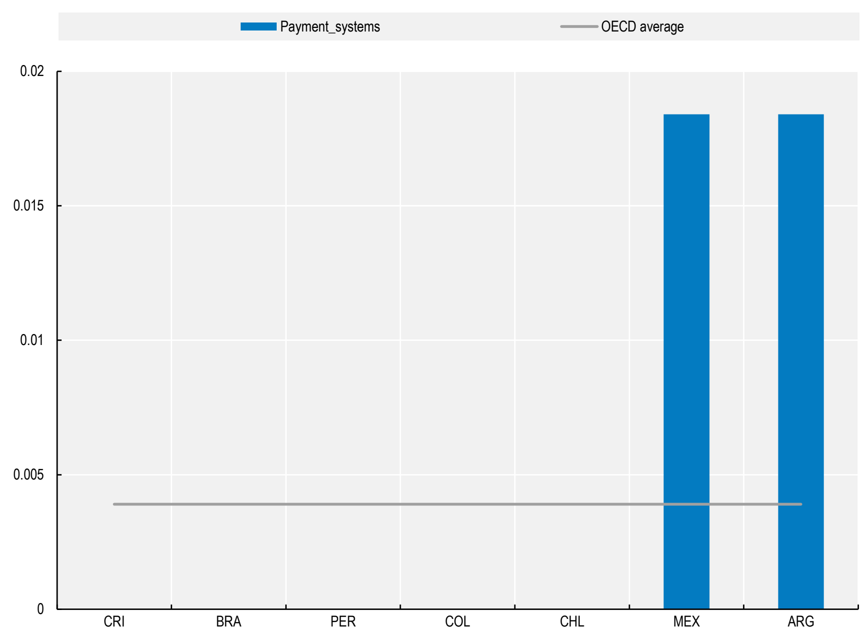
5.3.3. Payment systems

In terms of measures that affect payment systems, the selected countries show a heterogeneous picture. Costa Rica, Brazil, Chile, Colombia, and Peru do not have major restrictions in this area. Argentina and Mexico on the contrary have a score of 0.0184; this makes the latter one of the most restrictive of the OECD countries (only Türkiye is more restrictive with a score of 0.0368).

This higher level of restrictiveness in Mexico and Argentina can be attributed to several factors. In Mexico, no explicit rules exist to mandate international payment security standards and in Argentina, as of 2019, financial entities and other local card issuers must have the prior approval of the Central Bank of Argentina to access the exchange market so as to make payments abroad for specific operations. As part of Argentina's exchange control, new measures were introduced in 2022 imposing limits on the number of cross-border transactions that can be made from local accounts although tit was lifted on 28 December 2023. This type of regulatory instability creates uncertainty for cross-border transactions.

The DGSTRI shows that most of the seven selected countries refrain from imposing major obstacles to electronic payment methods, such as restrictions on using a local bank account or on the use of different currencies for international payments.

Figure 5.8. Payment systems in seven selected Latin American countries, 2024



Note:Indices take values between zero and one, one being the most restrictive.
Source: Digital STRI (2024).

5.4. Impact of reductions in services trade barriers on trade costs

As highlighted above, the Latin American countries under review have different regulatory profiles. This section highlights the economic benefits of narrowing the gap between the regulatory framework for services trade in each of these countries and global best practice. The illustrative services trade liberalisation scenario considered here assumes that in a given sector there is a 50% reduction in the gap between the STRI score of the respective Latin American country and the score of the least restrictive country, amongst all countries covered by the OECD STRI database. The benefits outlined in the scenario apply in principle to all firms but smaller, less well financed firms like many of those owned and led by women may stand to benefit the most.

Depending on a country's current level of restrictions to services trade in a specific sector, this scenario may imply comprehensive and ambitious reforms. For example, the simulation requires a 0.15 reduction in the STRI score in the case of commercial banking services in Mexico. Such a lowering of the STRI score could be achieved through a bundle of liberalising reforms encompassing the lifting of nationality and residence requirements for managers, the abolishment of commercial presence requirements, and the removal of several of barriers to competition, e.g. by improving the independence of the regulatory authority.[18]

Overall, such a hypothetical liberalisation could lead to a substantial decrease in policy-induced trade costs for all six countries. The impact of efforts to remove regulatory barriers to services trade would be particularly pronounced regarding financial services. In the case of commercial banking, the estimated trade cost reduction amounts to 34% on average across the six countries, ranging from 19% (Costa Rica) to 49% (Mexico). Similarly, an average reduction of trade costs by 19% is expected for insurance services, with Brazil (32%) displaying the greatest potential to benefit from regulatory reforms.

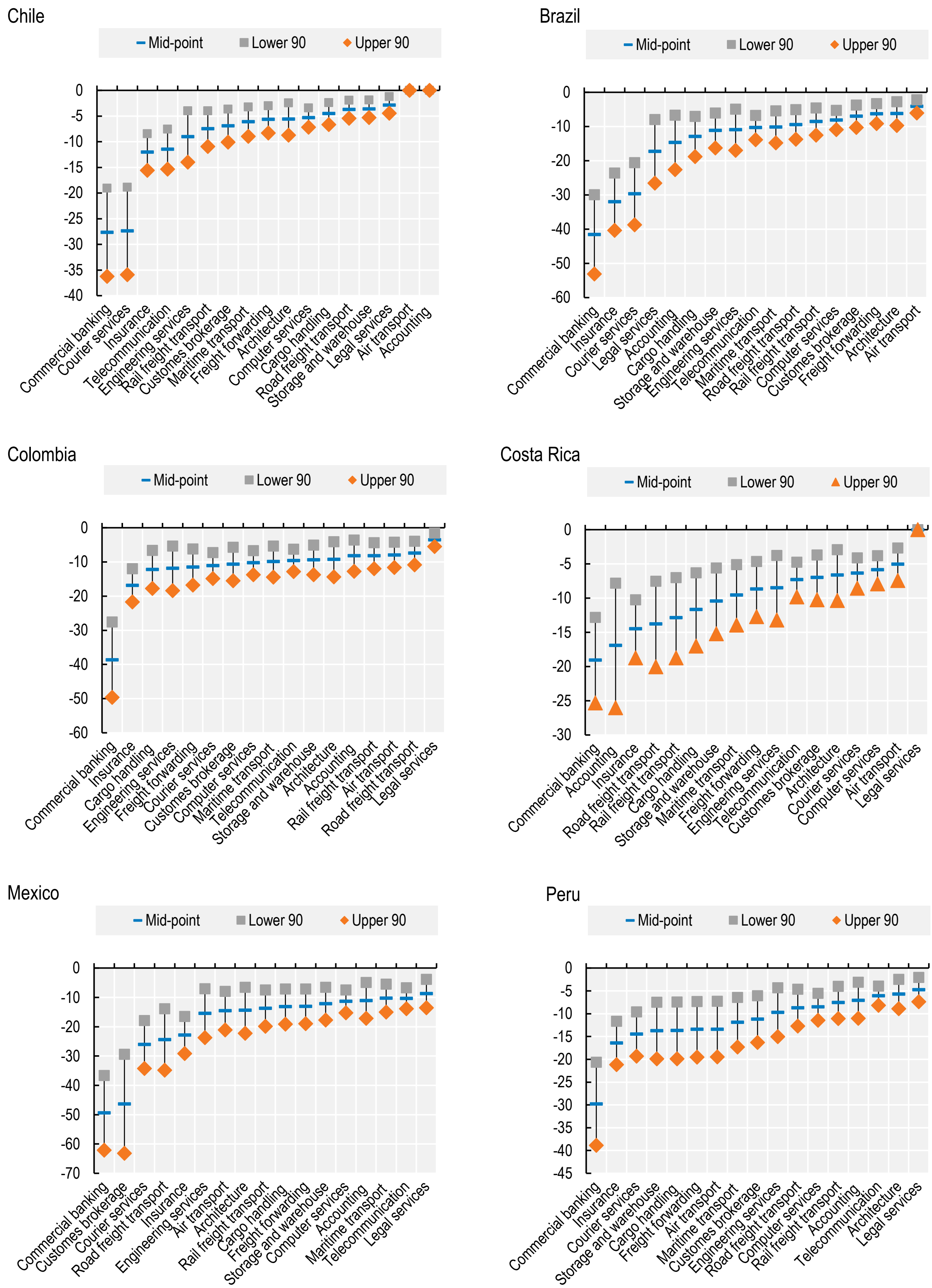
Given that Latin American firms that are at least partly owned by women are likely to perceive limited access to credit as an obstacle (Presbitero and Rabellotti, 2016[3]), steps towards greater alignment of regulation in the banking sector with global best practice may deliver significant gains for women entrepreneurs. Importantly, these positive effects would not be limited to services sectors: industries downstream the supply chain can benefit from policy reforms targeting upstream services sectors, such as commercial banking. A large body of literature underscores the relevance of well-functioning financial services to economic performance, including of manufacturing industries (Amiti and Weinstein, 2011[4]; Manova, Wei and Zhang, 2015[5]; Liu et al., 2020[6]).

A further promising area for future reforms concerns logistics and related services. Regarding courier services, the simulation suggests that firms' trade costs could be lowered significantly if Brazil (30%), Chile (27%), and Peru (14%) closed the gap with the most liberal country by half. In the hypothetical reform scenario for cargo handling, trade costs would fall by 11% on average across the six countries. While Chile would be expected to see a trade cost reduction of nearly 5%, estimated reductions for the other five countries range from 12% (Costa Rica) to 14% (Peru). There is also potential for a sizable reduction of services trade costs in transport services. Thus, in the simulated reform scenario trade costs for road freight transport would fall by 24% in Mexico and 14% Costa Rica. In light of the pivotal role of logistics and transport services in global value chains (Blyde and Molina, 2015[7]), and the high costs of logistics and transport services that were signalled by women entrepreneurs during round tables held in Colombia and Costa Rica, lowering restrictions in these sectors would lower costs and enable trade in a wide range of goods and services.

The analysis also reveals opportunities to reap benefits from the removal of barriers to trade in telecommunications services. Across the six countries, trade costs for this sector are expected to fall by 9%. The estimated gains are particularly large in Chile (12%), Brazil (10%), Colombia (10%), and Mexico (10%), but continue to be substantial in Peru (6%) and Costa Rica (7%). The telecommunications sector is of critical importance to the exchange of information and the co-ordination of geographically dispersed production activities (Fink, Mattoo and Neagu, 2005[8]; Robert-Nicoud, 2008[9]; Nordås and Kim, 2013[10]; Fort, 2016[11]). Examples of starting points for potential reforms include efforts to improve the independence of the regulatory authority (e.g. Chile), changes to public procurement procedures (e.g. Brazil), and improvements to the procedure by which firms can provide comments on regulations (e.g. Mexico).

While a discussion of the political feasibility of such reforms is beyond the scope of this *Review*, it is important to adopt a holistic perspective of services trade policy. The effects of reforms that lower regulatory barriers to services trade do not necessarily manifest themselves only in the services sector experiencing the policy change. When assessing the economic benefits of services trade liberalisation as well as the costs of restrictions on services trade, significant spillover effects on downstream sectors arising from the essential role of business services as inputs must be taken into account (Benz et al., 2023[12]).

Figure 5.9. Trade cost reductions in six selected Latin American countries



By facilitating the fine slicing of production processes across functions and locations, services inputs – e.g. transport services, logistics, and telecommunication services – enable firms to reap the returns to specialisation in global value chains (Deardorff, 2001[13]; Francois and Hoekman, 2010[14]). Trade costs which are due to strict regulations on services impact firms in all sectors, with smaller firms likely to be more heavily affected than larger firms (Rouzet, Benz and Spinelli, 2017[15]). As women-owned and women-led businesses are frequently smaller than those owned and led by men, higher costs of services inputs can be expected to disproportionately hamper the growth of women-led businesses.

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Notes

[1] See https://www3.weforum.org/docs/WEF_GGGR_2022.pdf.

[2] See https://socialdigital.iadb.org/en/sph/resources/research-publications/19435.

[3] See https://www.oecd.org/publications/digital-trade-review-of-brazil-0b046dfe-en.htm#:~:text=This%20Digital%20Trade%20Review%20of,the%20benefits%20shared%20more%20inclusively.

[4] Although different across Latin American countries, gender gaps in access to the internet can be substantial, especially in Peru (15 percentage points) and Mexico (6 p.p). Moreover, women in Latin America are less likely to say they have the requisite digital skills in their workplace. See https://socialdigital.iadb.org/en/sph/resources/research-publications/19435.

[5] The OECD Services Trade Restrictiveness Index (STRI) provides information on the regulatory environment that affects trade in the following 22 sectors: computer services, construction, legal services, accounting services, architecture, engineering, telecommunication, distribution, broadcasting, motion pictures, sound recording, commercial banking, insurance, air transport, maritime transport, road transport, rail transport, courier and logistics (cargo-handling, storage and warehouse, freight forwarding, customs brokerage).

[6] Rimmer (2017[16]) outlines policies and programmes that have been put into place in four economic areas (Australia, Chile, European Union and United States) to support women in public procurement markets.

[7] See https://intracen.org/news-and-events/campaigns/women-in-public-procurement.

[8] See https://lac.unwomen.org/en/digital-library/publications/2022/05/compras-publicas-con-perspectiva-de-genero-avances-y-desafios-en-america-latina-para-dinamizar-a-las-empresas-lideradas-por-mujeres.

[9] See http://www.planalto.gov.br/ccivil_03/_Ato2019-2022/2021/Lei/L14133.htm.

[10] See https://www.bogotajuridica.gov.co/sisjur/normas/Norma1.jsp?i=304.

[11] See https://www.alcaldiabogota.gov.co/sisjur/normas/Norma1.jsp?i=104667.

[12] See http://www.pgrweb.go.cr/scij/Busqueda/Normativa/Normas/nrm_texto_completo.aspx?param1=NRTC&nValor1=1&nValor2=94469&nValor3=0&strTipM=TC.

[13] See http://www.diputados.gob.mx/LeyesBiblio/ref/laassp.htm.

[14] See https://www.chilecompra.cl/wp-content/uploads/2022/11/Directiva20-Perspectiva-de-Genero.pdf.

[15] See https://comunidadmujer.cl/wp-content/uploads/2022/04/CM_Boletin_46_Compras-publicas-con-enfoque-de-genero.pdf.

[16] See http://www.planalto.gov.br/ccivil_03/Decreto-Lei/Del4657.htm.

[17] See Decree 270 in 2017in Colombia http://www.suin-juriscol.gov.co/viewDocument.asp?ruta=Decretos/30030343.See Decreto Supremo no. 009-2024-JUS in Peru https://spij.minjus.gob.pe/spij-ext-web/#/detallenorma/H1383890.

[18] In a small number of cases, the scenario simulated here does not involve any liberalisation because the corresponding Latin American country is fully aligned with global best practice. This applies to accounting services and air transport services in Chile, and legal services in Costa Rica. Since no other country covered by the STRI database is more open to services trade, the simulated scenario does not involve any reform effort for Chile and Costa Rica in those specific sectors.

6 Trade facilitation

Trade costs in Latin America are substantial which affects the region's participation in international trade. Lowering trade costs and increasing efficiency at borders can be particularly beneficial to micro and small enterprises, where women-led businesses are disproportionately represented. Improving the trade facilitation policy environment can also create an enabling environment for businesses to formalise their operations.

6.1. Benefits of trade facilitation for women-led businesses

Latin American countries face considerable trade costs that affect the region's participation in international trade and seizing the benefits thereof. High trade costs in the region are a result of multiple factors, including its vast size, complex geography, insufficient stock and quality of transport infrastructure, and relative remoteness from major consumption centres (ECLAC, 2023[1]). In addition, women traders are often at an even higher disadvantage to meet the significant cost and time demands of complex trading requirements since they own and manage smaller businesses than men do, and they have less time due to an increased burden of unpaid work.

Since the conclusion of the WTO Trade Facilitation Agreement (TFA) in 2013 and entry into force in 2017, countries around the world have been setting up the required regulatory frameworks to operationalise their commitments under the TFA. Trade facilitation reforms making border processes more efficient – as measured by the OECD Trade Facilitation Indicators (TFIs)[1] – are associated to an average worldwide trade costs reduction of 4.5% over the last decade. Trade facilitation policies have also been instrumental in facing the additional challenges to the operation of supply chains resulting from the COVID-19 pandemic, heightened geopolitical tensions, and other disruptions (OECD, 2023[2]).

Trade facilitation reforms can be particularly beneficial to micro, small and medium-sized enterprises (MSMEs), where women entrepreneurs are disproportionately represented. For instance, the automation of the border process can be particularly important for women-led MSMEs, not only because it reduces the costs of processing trade-related documentation, but also because by dematerialising formalities it shelters women entrepreneurs from potential harassment and discrimination at the border. Additionally, reforms that reduce the time required for trade processes can benefit women who often face additional constraints on their time related to care responsibilities. Greater transparency particularly benefits women-led businesses with fewer professional networks (Korinek, Moïsé and Tange, 2021[3]).

Moreover, measures which can be associated with higher fixed costs such as the inclusion of MSMEs in consultation processes[2] and the efficiency of appeal procedures have a greater impact on the propensity or probability of firms to engage in exporting and importing – that is, on trade at the extensive margin. In turn, measures such as fees and charges, streamlining of procedures and automating border processes, which tend to be associated with reductions in variable costs, have a bigger impact on the export and import values of firms – trade at the intensive margin. Automation and streamlining of border processes can support MSMEs to both start engaging in international trade and enhance the value of their exports and imports by up to 7.5% (López González and Sorescu, 2019[4]).

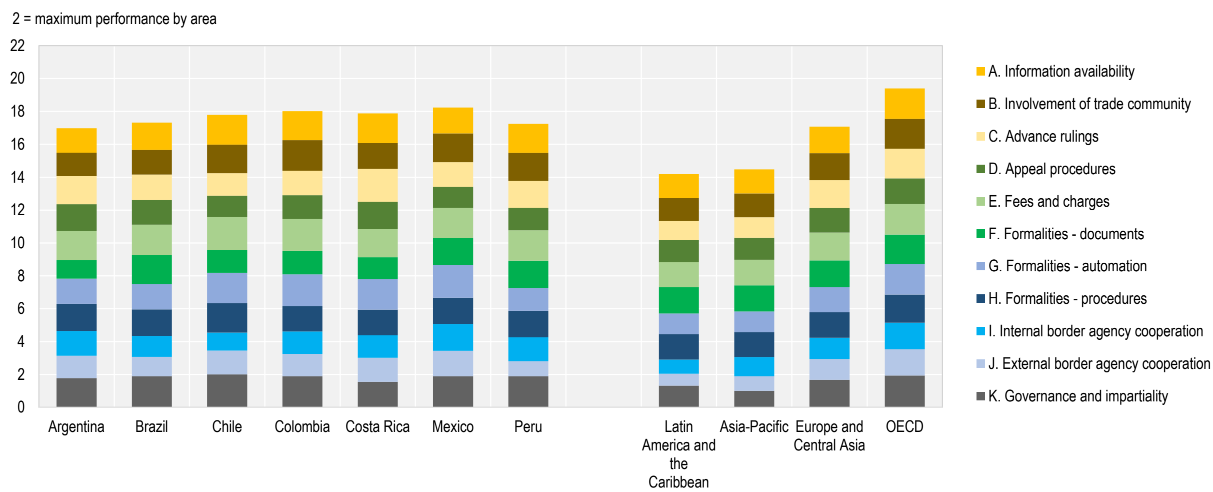
In the digital era where more small parcels cross international borders, issues such as trade facilitation have taken on greater significance. This type of trade is especially important for individuals and smaller firms, offering new opportunities to engage in trade whether as importers or exporters. When parcels cross borders, it is the role of customs authorities and other border agencies to enforce trade rules, such as tariffs, and undertake health and safety, security, and quality checks. Even modest improvements in trade facilitation policies such as transparency, automation and streamlining of processes at borders, as well as border agency co-operation, are found to have a positive impact on parcel exports of between 6% and 14% (López González and Sorescu, 2019[4]). An increase in the ease of trade in parcels may affect women-owned businesses even more than those owned by men since women-owned businesses tend to export more to individuals whereas men-owned businesses export more to other businesses (Korinek, Moïsé and Tange, 2021[3]).

By improving the trade facilitation policy environment, governments can also create an enabling environment for businesses to formalise their operations. The informal economy continues to represent a significant share of regional cross-border trade and economic activity. Governments could reduce the incentives to trade informally and promote the transition to the formal and global economy by diminishing transaction costs associated with formal trade and enhancing compliance levels with existing trade laws and regulations (OECD, 2018[5]).

6.2. Trade facilitation state of play in covered Latin American economies

The latest available OECD TFIs highlight that Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico, and Peru all exceed the average performance of the Latin America and Caribbean (LAC) region (Figure 6.1). While their trade facilitation performance remains below the average of OECD economies, these economies also perform on par or better than the average for other regions such as Asia-Pacific and Europe and Central Asia.

Figure 6.1. Trade facilitation policy environment in the selected LAC economies, 2022



Note: The TFIs range from 0 to 2, with 2 being the best performance that can be achieved.
Source: OECD Trade Facilitation Indicators (TFIs) database (2023).

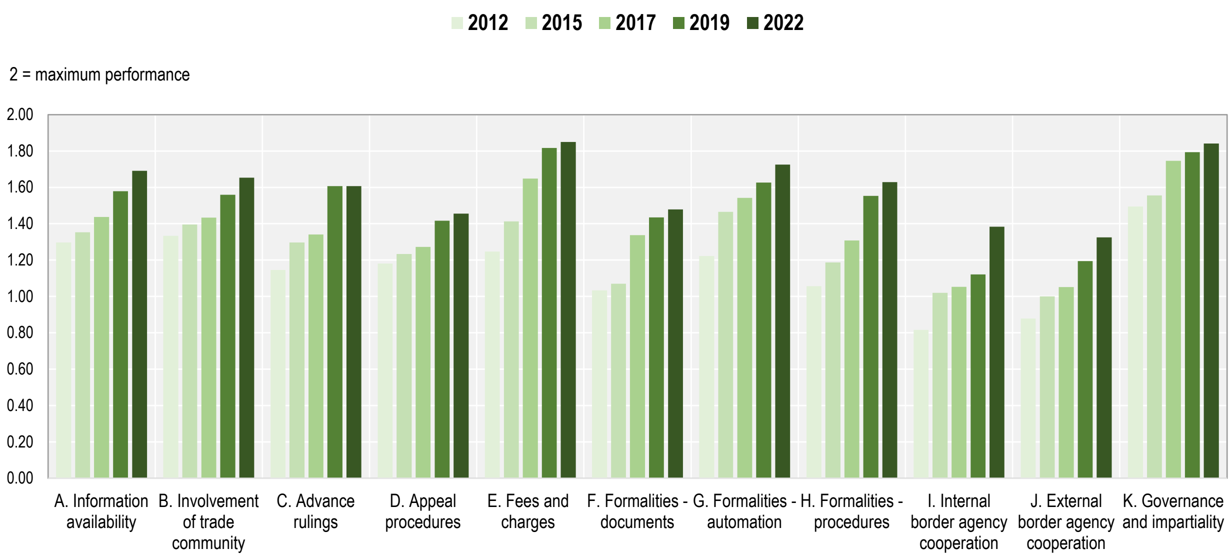
The trade facilitation policy environment has also been consistently improving over the past decade in the seven LAC economies covered by the analysis (Figure 6.2). Economies such as Argentina, Costa Rica, and Mexico particularly improved their performance in several areas of transparency and predictability. Brazil, Chile, and Colombia saw improvements in their performance mainly in the streamlining of border processes. Argentina, Brazil, Colombia, Costa Rica, and Peru also achieved significant improvements in the areas of border agency co-operation (Figure 6.3).

Domestic border agency co-operation, streamlining of border processes, and external border agency co-operation are the areas that improved the most on average in the selected LAC economies between 2012 and 2022. Border agency co-operation, transparency of trade-related information, and automation of procedures are the areas that saw most progress since the onset of the COVID-19 pandemic. While areas such as automation and simplification and harmonisation of trade-related documents improved significantly since the 2017 entry into force of the TFA, the magnitude of this change has been lower than in other TFIs areas.

This progress in the policy environment is reflected in increased border processes efficiency in many of the covered economies, with improvements experienced by the private sector in customs clearance ranging from 3% to 20% since the conclusion of the TFA (World Bank, 2023[6]).[3] However, due to a stagnating policy environment performance since 2017 in several key TFIs areas (such as simplification and harmonisation of documents, automation, and streamlining of procedures) in some of the LAC economies covered, the group's average improvement in customs clearance is of only 2%.

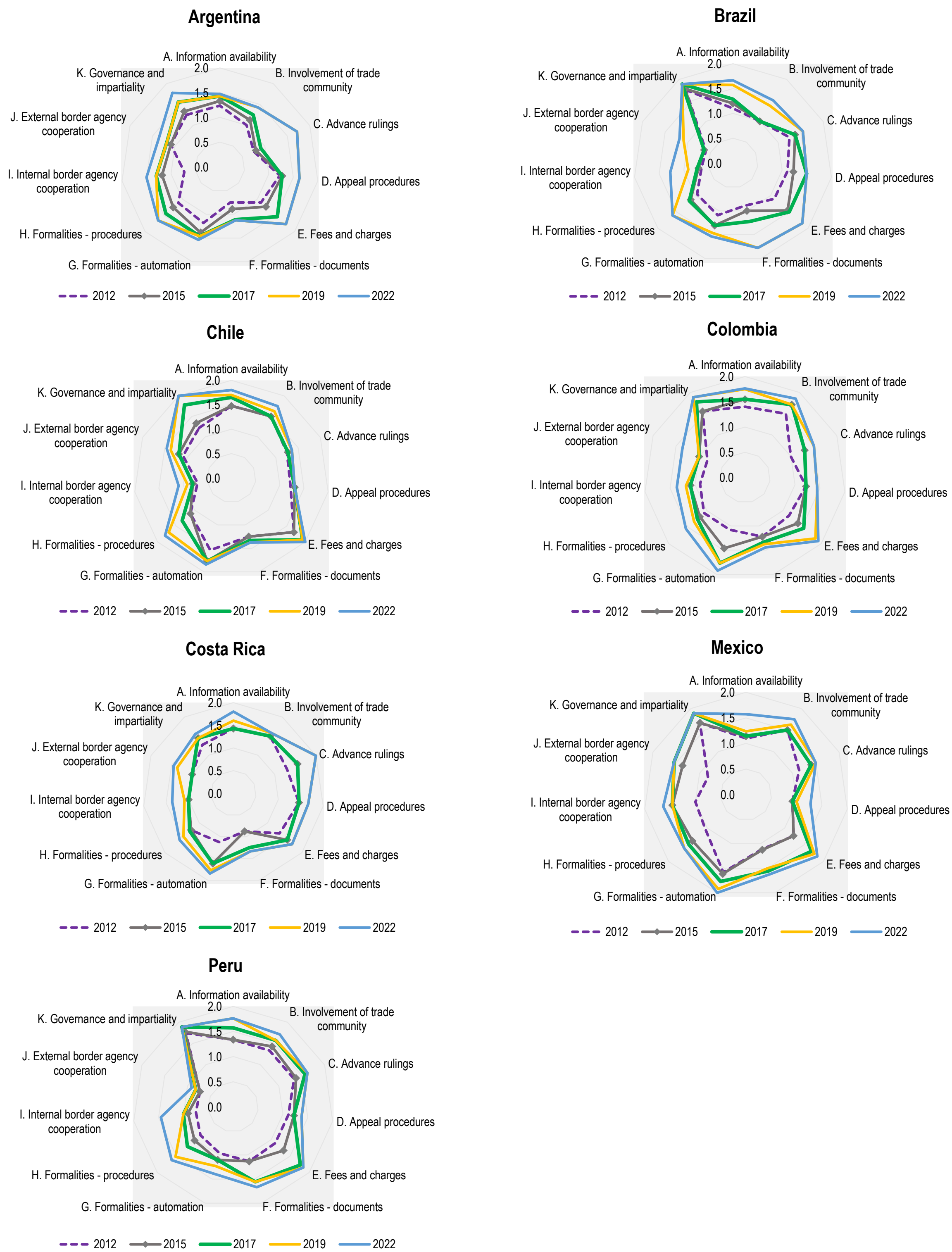
The average trade facilitation performance is similar among the selected seven LAC countries. However, performance heterogeneity varies within this group across the individual policy areas. While this appears to be lower in areas such as streamlining fees and charges and border procedures, it is much higher in the involvement of the trade community, advance rulings, appeal procedures, simplification and harmonisation of documents, as well as domestic and cross-border agency co-operation (Figure 6.4).

Figure 6.2. Evolution of trade facilitation performance, 2012-22, selected LAC average



Note: LAC average includes Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico, and Peru.
Source: OECD TFIs database (2023).

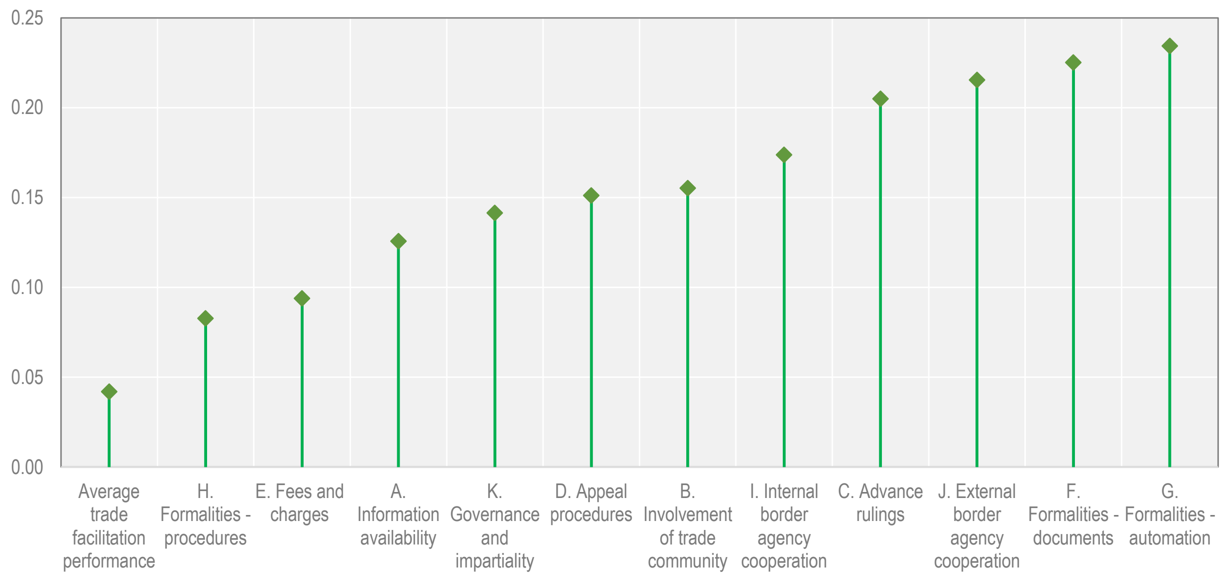
Figure 6.3. Trade facilitation performance, 2012-22, selected LAC economies



Source: OECD TFIs database (2023).

Figure 6.4. Performance heterogeneity by area among selected LAC countries, 2022

Standard deviation by TFI policy area



Source: OECD TFIs database (2023).

6.2.1. Areas of progress in trade facilitation policies

All selected LAC economies made significant progress in transparency and predictability since the adoption of the WTO TFA. They improved availability of information on trade-related procedures by enhancing the scope and user-friendliness of their customs webpages; establishing and operationalising enquiry points on trade-related matters; providing information on import, export, and transit procedures; as well as by increasingly making the required trade-related documentation easily accessible for downloading. Most LAC economies also introduced a dedicated interactive page for professional users/companies.

LAC economies have been establishing as well guidelines and procedures governing the public consultations between traders, other interested parties, and government, while drafts of new or adjusted customs and trade-related legislation are increasingly published for consultations.[4] The trading community is also increasingly involved at the stage of drafting new customs and trade-related legislation. In addition, LAC economies improved access to information on advance rulings, on appeal procedures on customs-related matters, as well as on fees and charges applied to export, import and transit transactions or on tariff preferences through trade agreements. They are also periodically reviewing fees and charges to ensure they are still appropriate and relevant, which can be particularly helpful for small firms.

As regards simplification of trade-related documents, all LAC countries have been reducing the number of documents required for export and import and introduced periodic reviews of their documentation requirements, allowing them to gradually simplify requirements that are unduly consuming or costly for traders. They are also increasingly relying on automation tools to facilitate trade. High shares of export and import declarations are currently cleared electronically, while the share of trade procedures allowing for electronic processing has also gradually increased over recent years. Other automation tools used include accepting and exchanging customs-related data electronically; electronic payment of duties, taxes, fees, and charges; and automated risk management systems.

Significant progress has been achieved since the entry into force of the WTO TFA in terms of streamlining border processes. LAC economies introduced the necessary regulatory frameworks for the operation of pre-arrival processing, separation of release from clearance, post-clearance audits, and Authorised Operators (AOs) programmes. Across all LAC economies, benefits linked to the AO status are comprehensive and generally include deferred payment of duties, taxes, fees, and charges; lower documentary and data requirements; lower rates of physical inspections; a single customs declaration for all imports and exports over a given period; and rapid release time.

In addition, several economies have been targeting AO programme to MSMEs. For instance, in Argentina, financial solvency criteria are lower for MSMEs who aim to obtain an AO certification. In Brazil, informative lectures and seminars have been organised across the country to provide information specifically for MSMEs on the benefits of the AO programme and the certification procedure. MSMEs that have already been certified are, however, mostly cargo agents and transportation companies. In Costa Rica, as part of the comprehensive reform of the Regulations to the General Customs Law, released in May 2023, MSMEs aiming to become a certified trader have the possibility to request a progressive application for the certification requirements to obtain the AO status and thus benefit from simplified clearance processes.[5]

Complex processes that require border official discretion and interpretation also tend to enhance potential for corruption, especially as regards MSMEs who may have less knowledge and leverage in navigating such procedures. Reducing the complexity of border processes removes this discretion, promotes uniform interpretation and treatment irrespective of the point of exit/entry in a country and, under specific circumstances, provides more generally applicable guidance about the classification, origin or value of certain types of products. This also minimises the physical opportunities for corrupt behaviour at borders.

In support of domestic border agency co-operation, each selected LAC economy has established a trade Single Window. This supports domestic co-ordination and harmonisation of data requirements and documentary controls among agencies involved in the management of cross-border trade. The increased use of interconnected or shared computer systems and real-time availability of pertinent data among domestic agencies‒while still in the process of being made fully operational across all LAC economies‒supports the sharing of results of controls and inspections and coordinated risk management systems.

For instance, in Brazil, the Integrated Foreign Trade System (*Siscomex*) under its Single Window Programme (*Programa Portal Único de Comércio Exterior*) has focused on further harmonising customs and other border agencies' procedures, accelerating information flows, and broadening the use of information technology and risk management solutions. In Colombia, progress on the Single Window for Foreign Trade (*Ventanilla Unica de Comercio Exterior, VUCE*) includes the implementation in 2012 of the simultaneous inspection system (SIIS) for containerised export cargo, which enables four border agencies to participate in a single inspection, thus reducing the inspection time in ports. In Peru, the relevant agencies participating in the trade Single Window (*VUCE*) are required to establish and apply risk management criteria in their evaluation or approval procedures, giving preference to subsequent controls and, where appropriate, replacing physical inspection with controls by electronic means. Peru's VUCE also includes an information module on shipping rates and other logistical costs.

Improvements in domestic border agency co-operation and the streamlining of processes have also been supported by the set-up of National Trade Facilitation Committees (NTFCs). Some NTFCs in the region were established by combining the participation of high-level political representatives with adequate participation at the technical level to be able to discuss and address trade facilitation challenges on the ground. Most NTFCs in the selected countries have very successfully incorporated the private sector in decision-making or have been established based on public-private alliances. In Brazil, representatives from the private sector can apply[6] to form part of the Subcommittee on Cooperation within the NTFC (*Comitê Nacional de Facilitação de Comércio,* Confac). The selection process accounts for criteria of experience and institutional representation and seeks greater equity in terms of gender, race and region representation in order to increase the participation of women-led business representatives in discussions and decisions related to trade facilitation in Brazil.

In addition, all NTFCs have grown over time to assume other functions beyond ensuring the compliance with the WTO TFA obligations. For instance, in Chile, the NTFC has launched various initiatives to facilitate foreign trade logistics, including logistics master plans and measures to promote the participation of MSMEs in international trade.

While in most selected LAC economies the domestic collaboration among certain agencies on the certification of Authorised Operators remains *ad hoc* at this stage, Mutual Recognition Agreements/Arrangements on AOs are gaining an increasing role in enhancing cross-border agency co-operation in Latin America (Box 6.1).

Supported by the progress made at a domestic level, LAC economies are also making progress in similar mechanisms enhancing cross-border agency co-operation. This includes the cross-border coordination and harmonisation of data requirements and documentary controls, co-ordination of computer systems, as well as co-operation on risk management.

Box 6.1. Authorised Economic Operator Regional Recognition Arrangement

In May 2022, 11 LAC countries signed an ambitious regional arrangement giving preferential treatment for border clearance processes to companies that meet certain standards. The endorsement of the Authorised Economic Operator (AEO) Regional Recognition Arrangement – the biggest in the world outside of the European Union – reflects four years of negotiations involving Customs administrations from Argentina, Brazil, Colombia, Costa Rica, Chile, Peru (also together with Bolivia, Dominican Republic, Guatemala, Paraguay, and Uruguay).

The initiative, aligned with the recommendations of the World Customs Organization and supported by the Global Alliance for Trade Facilitation, implies that companies attaining AEO status in any of the 11 participating countries can expect quicker cargo clearance and less paperwork as contents will be deemed low risk since their AEO status will also be recognised by the other countries' customs administrations. The initiative has the objective of allowing governments to concentrate their limited resources on high-risk cargo while continuing to protect their borders. The project includes specific dissemination activities to reach MSMEs in the region, including women-owned businesses.

In addition, the customs administrations of Mexico, Colombia, Chile, Peru, Ecuador, Bolivia, Costa Rica, and Guatemala have been working on the CADENA project, an application based on blockchain aiming to facilitate international trade through the efficient and secure exchange of data between customs administrations and, potentially, amongst other government entities and the private sector. CADENA emerged as a proof of concept in January 2018 promoted, facilitated, and financed by the Inter-American Development Bank (IDB) together with several customs administrations in the LAC region. It allows customs administrations that have signed a Mutual Recognition Arrangement to share the status of their AEOs certifications in real-time and with high standards of security, traceability, and confidentiality of the data. This facilitates customs' ability to grant benefits in terms of streamlined border procedures to AEO-certified companies.

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Notes

[1] The OECD Trade Facilitation Indicators cover the full spectrum of border procedures for more than 160 economies. The eleven indicators are: (a) information availability; (b) involvement of trade community; (c) advance rulings; (d) appeal procedures; (e) fees and charges; (f) formalities – documents; (g) formalities – automation; (h) formalities – procedures; (i) internal border agency co-operation; (j) external border agency co-operation; (k) governance and impartiality. Detailed measures are available at: https://sim.oecd.org/default.ashx?ds=TFI .

[2] Involvement in consultations with governments and relevant stakeholders on trade-related matters can have significant initial fixed costs for firms, particularly smaller ones, when establishing the mechanisms and frameworks for participating in formal, regular consultations structures (either directly or through relevant business associations) and acquiring the necessary capacity to provide written submissions commenting on proposed new or amended trade-related regulations.

[3] Improvements in the World Bank Logistics Performance Index – as measured by the efficiency of the customs clearance process signalled by private sector stakeholders - since the entry into force of the TFA are 2% for Argentina, 20% for Brazil, 7% for Costa Rica, 3% for Peru. The changes are of -8% for Chile, -4% for Colombia, and -10% for Mexico.

[4] For instance, in Brazil, after the completion of a regulatory impact analysis (as required by Decree No. 10 411/2020) for editing, amending or revoking normative acts of general interest to economic agents or users of services, the body conducting the analysis can choose to make the draft text of the proposed normative act subject to public consultation.

[5] As specified in Article 144 of Regulations to the General Customs Law No. 44051-H (18 May 2023), MSMEs can undergo the certification steps in a gradual manner and benefit from a longer period of time in this process than larger firms.

[6] As established in Brazil Confac's Internal Regulations approved by Gecex (the Executive Management Committee) Resolution No. 567, of 19 February 2024.

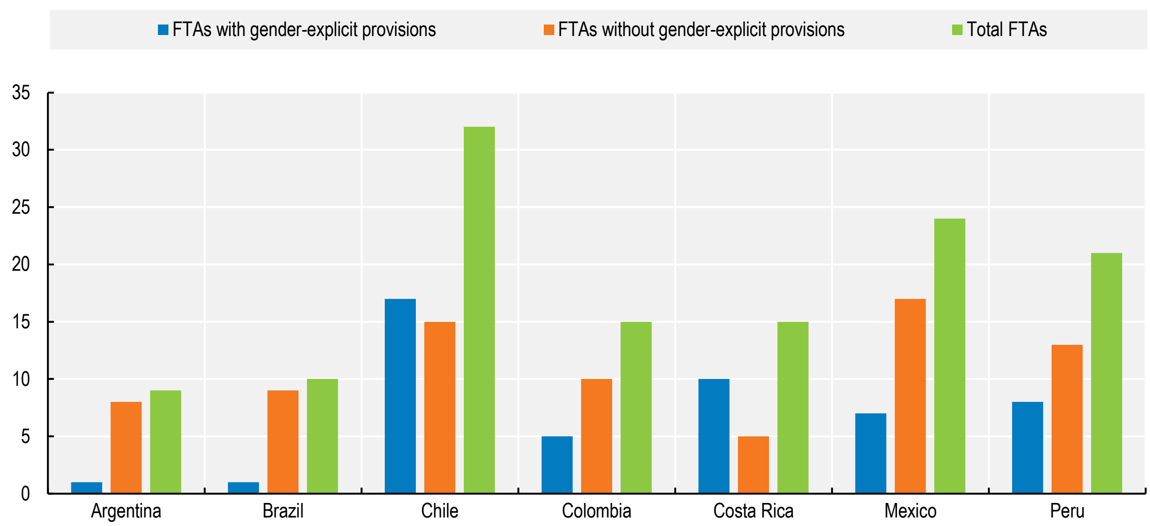
7 Trade agreements and women

Many Latin American countries have demonstrated very strong leadership in including gender-related provisions in their trade agreements. This section maps out and assesses the nature and scope of gender-explicit provisions, and gender-implicit provisions, and the benefits they can bring for women in the region.

Many Latin American countries have demonstrated leadership in including gender-related provisions in their trade agreements. Some of the distinguishing features of those countries' approaches are their use of stand-alone trade and gender chapters, multiple co-operation-based provisions negotiated in agreements signed by countries in the region, and the implementation-focused approach employed in the most recently negotiated agreements. Moreover, all seven countries covered in the Review have joined the Global Trade and Gender Arrangement (GTAGA), a co-operation agreement that aims to increase women's economic empowerment through trade.

Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru have signed 87 Free Trade Agreements (FTAs) so far.[1] Of these, 40 contain gender-explicit provisions (Figure 7.1). Some of these agreements, and others, also contain implicit provisions that may not directly mention women or gender but can still protect or uphold gender-related concerns.

Figure 7.1. Gender explicit provisions in FTAs



Note: Trade agreements notified to the WTO, in force as of January 2025 and included in the WTO Regional Trade Agreements database are included in this assessment. In addition, six agreements, in force by January 2025 but not yet included in the WTO RTA database (as of this writing) are also included in this assessment (taken from the ITC Rules of Origin Facilitator database) as these agreements are relevant for the purposes of this study. In the case of a trade agreement between a country and a group of countries, e.g. Chile-Central America, this was counted as one agreement regardless of differing dates of notification and enforcement. The total number of FTAs in this figure exceeds the total number of FTAs each of these seven countries have signed because they have signed some FTAs together.

Chile has included gender-explicit language or provisions that directly relate to women in 17 of the 32 trade agreements it has signed and that are currently in force.[2] Argentina and Brazil, however, have only signed a single agreement that includes gender-explicit language and it is worth noting that Chile is a trade partner in both of these agreements (which are Argentina — Chile[3] and Brazil — Chile[4]). Peru and Mexico have included gender-explicit provisions in some of their agreements but not in the majority of the agreements they have negotiated with their partners. Hence, this region represents a unique contrast of experiences from three groups of countries that are at different stages of readiness and appetite to include gender provisions in their trade agreements.

The following section maps out and assesses the nature and scope of gender-explicit provisions, before briefly considering the gender-implicit provisions and the benefits they can bring for women in the region.

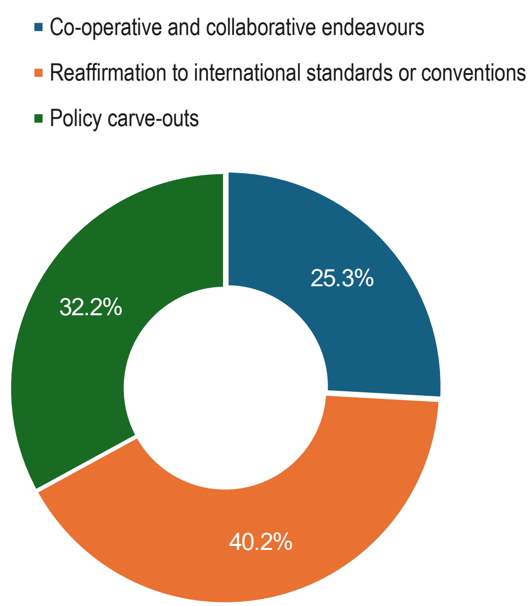
7.1. Gender-explicit provisions

Broadly, three types of explicit gender-related provisions[5] can be identified in the FTAs signed by the seven Latin American countries. This categorization of provisions is adapted from the one proposed in the OECD study entitled *Trade and Gender: A Framework of Analysis*.[6] The broad categorisation, which includes the most common types of gender-explicit provisions in the assessed agreements, contain three main types.

- *Cooperative and collaborative endeavours*: This category includes gender-explicit provisions that actively seek to promote gender equality and women's economic empowerment.
- *Reaffirmations*: This category contains provisions reaffirming parties' existing commitments to gender equality under international conventions or standards.
- *Policy Carve-outs*: This category contains policy carve-outs that are meant to ensure that FTAs leave sufficient policy space for its parties to regulate matters of strategic importance or for a predetermined objective or matter.

The most commonly found provisions in FTAs signed by the seven Latin American countries are reaffirmations to international standards or conventions, followed by policy carve-outs and lastly, cooperation-style provisions (Figure 7.2).

Figure 7.2. Gender-related provisions in trade agreements in Latin America by type



Notes: This figure illustrates the percentage distribution of the 87 analysed FTAs based on the provision of the three specified categories. Trade agreements notified to the WTO, in force as of January 2025 and included in the WTO Regional Trade Agreements database are included in this assessment. In addition, six agreements, in force by January 2025 but not yet included in the WTO RTA database (as of this writing) are also included in this assessment (taken from the ITC Rules of Origin Facilitator database) as these agreements are relevant for the purposes of this study. In the case of a trade agreement between a country and a group of countries, e.g. Chile-Central America, this was counted as one agreement regardless of differing dates of notification and enforcement.

An interesting approach that emerges from the analysis of FTAs in this region is the addition of stand-alone trade and gender chapters. Of the ten countries that have signed FTAs with stand-alone chapters on trade and gender (i.e. Chile, Canada, Uruguay, Argentina, Brazil, Ecuador, Japan, the United Kingdom, New Zealand, and Israel), five are from Latin America. Chile has taken a lead and has included a stand-alone chapter on gender and trade in multiple FTAs (i.e. with Uruguay, Canada, Argentina, Brazil, Ecuador

Paraguay and Mexico) as well as the Interim Agreement with the European Union that came into force in February 2025. Chile, together with Colombia, Mexico and Peru, is currently negotiating the inclusion of a trade and gender chapter in the Agreement Additional Protocol of the Pacific Alliance. Moreover, some countries such as Costa Rica have since included stand-alone chapters in FTAs that were not included in this assessment (Costa Rica – Ecuador) and the Mercosur countries are negotiating a "Trade and Women's Economic Empowerment" chapter with the United Arab Emirates.

The European Union and Chile have recently negotiated a standalone chapter titled “trade and gender equality” in the Interim Agreement on Trade.[7] Parties in this chapter reaffirm their commitment to gender-specific international conventions such as the WTO's 2017 Joint Declaration on Trade and Women's Economic Empowerment, Beijing Declaration and Platform for Action, and Convention on the Elimination of All Forms of Discrimination Against Women. In addition to reaffirmations, the chapter contains a range of gender-explicit provisions including co-operation activities, minimum legal standards, common commitments relating to their laws and procedures, institutional arrangements, procedures on review and implementation, and procedures on dispute settlement.

The EU-Chile gender chapter is broad and far-reaching. Regarding common commitments, the Parties seek to ensure that they improve their relevant laws and policies for the promotion of equal rights and opportunities between men and women, promote public awareness in their territories, and take into account the objective of equality between men and women when formulating or implementing relevant policies or measures. Moreover, in addition to featuring ambitious labour standards, the chapter also contains a commitment on gathering sex-disaggregated data related to trade with a view to better understanding the different impacts of trade policy instruments on women and men.[8] The parties also incorporate co-operation including commitments on improving the capacity and conditions of women workers, businesswomen, entrepreneurs and leaders. The parties also endeavour to share experiences and best practices relating to: policies and programmes in respect of promoting women's financial inclusion; women's leadership and the development of women's networks; their participation in decision-making positions in the public and private sectors; education in areas where they are underrepresented such as science, technology, engineering, mathematics (STEM) as well as innovation and business; enhancing the competitiveness of women-led enterprises to promote the internationalisation of small and medium-sized enterprises led by women; improving women's digital skills and access to online business tools and e-commerce platforms; advancement of care policies and programmes as well as work-life balance measures; and development of gender-based analysis of trade policies.[9] This Agreement is a useful example of an institutional arrangement as the Parties in the agreement also outline the need to ensure the implementation and review of such commitments.[10] However, what comes as a first-ever innovative is the application of the agreement's dispute settlement provisions to these gender-explicit commitments with both binding as well as compulsory jurisdiction.[11]

This approach has three clear benefits: higher visibility of previously agreed commitments, more room for exploration on what can be added and what might be beneficial to women’s economic advancement through trade, and an incentive for negotiators to gain expertise and understanding on these issues. The following paragraphs provide a deeper analysis of these provisions and others that are most commonly found in the 87 agreements under review.

7.1.1. Co-operative and collaborative endeavours

This category includes gender-explicit provisions that actively seek to promote cooperation and collaboration on gender equality and women’s empowerment, ranging from cooperation activities, best endeavour promises on cross-cutting issues such as labour standards, implementation or review related provisions or inclusions in preambles or objectives clause.

Many FTAs have featured affirmative provisions on co-operation activities and other endeavours to collaborate wherein countries agree to engage with their trade partners. Some FTAs include provisions that merely touch upon the prospect of enhancing gender equality without identifying precise activities to achieve that goal. Other FTAs delve into different aspects of women's empowerment and focus on reducing barriers that impede women's access to international trade. These provisions range from enhancing women's access to education, skills development, digital training, health services and productive resources to increasing representation of women in decision-making and policy-making roles.

With very few exceptions, most of the gender-related co-operation-based provisions included in the region's existing agreements are drafted with non-mandatory verbs and "soft" grammatical constructions. This soft nature of these provisions implies that compliance with them is voluntary and non-compliance is not associated with any legal consequence. Countries have generally left the implementation of these activities to depend on available resources and willingness. This is not unique to this region, as even in other regions, inclusion of women's concerns so far has mostly been deeply rooted in the spirit of co-operation, wherein parties seek to use co-operation as a route to start a dialogue.

One example is the CPTPP,[12] wherein Parties seek to co-operate on activities to help women business owners and workers benefit from the opportunities created by the agreement.[13] These activities focus on information sharing, capacity building and increasing market access opportunities. They include providing advice or training; exchanging information and experiences on programmes to help women build skills and capacity; improving women's access to markets, technology and financing; developing women's leadership networks; and identifying best practices relating to workplace flexibility.

The Chile-Argentina Agreement presents another example in this respect. In Chile-Argentina, Parties include in the Preamble an affirmation to incorporate a gender perspective in international trade, and encourage equal rights in business, industry and the world of work.[14] In the standalone chapter on gender and commerce (Chapter 15), the Parties recognise that inclusion of a gender perspective is crucial for the promotion of inclusive economic growth for achieving greater sustainable development.[15] The Parties also agree that improving women's access to existing opportunities within their territories furthers sustainable development, and that there is a need to increase female labour participation, decent work, economic autonomy, and access to ownership of economic resources. This agreement includes several co-operation activities; these activities envision women as entrepreneurs, leaders, decision-makers and scientists. The activities envisaged by parties focus on improving educational or skills development opportunities that can translate to high-paid job opportunities for women such as STEM and information and communication technology (ICT). This FTA is unusual in this respect, as most trade agreements only consider co-operation focused on fields where women have traditionally been highly represented. Other activity areas for co-operation relate directly to the barriers commonly faced by women in the region, and include: promoting financial inclusion for women, including financial training, access to finance, and financial assistance; advancing women's leadership and developing women's networks in business and trade; fostering women's representation in decision making and positions of authority in the public and private sectors, including on corporate boards; promoting female entrepreneurship and women's participation in international trade; conducting gender-based analysis; and sharing methods and procedures for the collection of sex-disaggregated data, the use of indicators, and the analysis of gender-focused statistics related to trade.

The Chile-Uruguay Economic Agreement focuses on women workers as well as entrepreneurs in Chapter 14 on trade and gender.[16] Chapter 14 seeks to promote the development of skills and competencies of women in labour and business; improve women's access to technology, science, and innovation; promote financial women's access to technology, science, and innovation; develop women's leadership networks; and further the participation of women in decision-making positions in the public and private sectors and promote female entrepreneurship (Article 14.3). Similar provisions are found in the Chile-Ecuador Trade Agreement.[17]

An example of a broad-reaching co-operation agreement can be found in GTAGA which seeks to promote an inclusive approach towards international trade, eliminate barriers women face in accessing trade opportunities, and increase the number of women entrepreneurs in trade. It can be seen as a landmark initiative which is both innovative and comprehensive in its scope, and strongly geared toward improving women's access to trading opportunities. The participants in the Arrangement acknowledge that women's empowerment, and their enhanced participation as employees and entrepreneurs, contributes to prosperity, competitiveness, and the well-being of society.[18]

The GTAGA participants, recognising the importance of gender equality laws and regulations, undertake to enforce their laws and regulations promoting gender equality and improve women’s access to economic opportunities. Through the Arrangement, the participants also seek to encourage private companies to assume voluntary sustainability standards by incorporating gender equality standards, guidelines, and principles in the workplace. Similar to a range of trade agreements, the Arrangement also includes a list of co-operation activities that its participants are encouraged to engage in, principally through dialogues, technical assistance, exchange of experts, and the sharing of information and best practices. The list of co-operation activities is comprehensive, as it includes but is not limited to: capacity-building; access to education, including digital skills development; measures to foster leadership and entrepreneurship; business development; access to networks and trade missions; and government procurement. The Arrangement also establishes a working group and a contact point for trade and gender in each participating country that is responsible for the implementation and reporting on the activities taken by participants in respect of these commitments.

In other trade agreements, explicit gender-related provisions are often tied to specific cross-cutting issues such as labour standards. In the US-Colombia[19] and US-Peru[20] FTAs, parties incorporate several labour standards that concern women in their annexes on labour cooperation. These annexes reflect parties' willingness to work on labour programs related to women such as the elimination of discrimination in respect of employment and occupation. They also exhibit parties’ inclination to implement their labour standard commitments under ILO Conventions. These inclusions are important since labour standards such as workers’ rights, reasonable work hours, parental leave or childcare, occupational safety and health, minimum wage, and anti-discrimination directly impact women as both workers and employers.[21]

Occasionally, FTAs have featured other forms of collaborative endeavours wherein countries have included gender equality as a guiding principle or an objective of the agreement.[22] Other forms of best endeavour initiatives may be seen in the inclusion of procedural provisions wherein countries have identified specific institutional and procedural arrangements to aid the implementation, monitoring and/or review of cooperative or collaborative endeavours.[23] Affirmative commitments to collaborate may also be found in the form of guidelines and principles on corporate social responsibility that may explicitly relate to gender equality among other considerations.[24] However, the most commonly included explicit endeavours are those on cooperation activities.

7.1.2. Reaffirmations to international standards or conventions

This category contains provisions wherein parties reaffirm their existing commitments to gender equality in international policy instruments such as conventions, treaties or frameworks. Latin American countries have reaffirmed their commitments undertaken in other international instruments most frequently in the following agreements: the United Nations 2030 Agenda and Sustainable Development Goals,[25] the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW) 1979,[26] the Universal Declaration of Human Rights,[27] the International Covenant on Civil and Political Rights,[28] the International Covenant on Economic, Social, and Cultural Rights,[29] the Beijing Declaration of 1995 and Platform for Action,[30] as well as the International Labour Organization Conventions (such as number 100 on equal pay, number 111 on discrimination in employment and occupation, and number 156 on workers with family responsibilities).

Chile-Uruguay was the first trade agreement reaffirm their commitments in this way, although instead of identifying a set of international instruments as commonly done in most of the agreements where such provisions are found, the Parties reaffirmed their international commitments on gender issues in general without mentioning a specific list of instruments. Parties also specify that for them, the priority agreements are those that relate to ‘equal pay for men and women, maternity protection, reconciliation of work and family life, decent work for domestic workers, family responsibility, among others’.[31] In this sense, its reaffirmation-based provisions are much less specific than most of the similar inclusions in the other agreements.

In other agreements, such reaffirmations are more specific, as parties spell out the precise instruments they want to recall or reaffirm their commitments to. The parties in the Argentina – Chile FTA[32] for example refer to specific international conventions that are directly related to women such as the UN SDG 2030 and the CEDAW 1979. Another interesting example is that of the EU-Chile Interim Agreement, wherein parties reaffirm their commitments to a range of general, as well as gender-specific, international instruments such as the ILO Declaration on Fundamental Principles and Rights at Work, ILO Declaration on Social Justice for a Fair Globalization, Universal Declaration of Human Rights, the WTO's 2017 Joint Declaration on Trade and Women's Economic Empowerment, Beijing Declaration and Platform for Action, and CEDAW.

By making these references, parties to these agreements recall their commitments to empower women and girls. They also seek to acknowledge the importance of women’s participation in the labour market and in sustainable and inclusive economic growth and prosperity. Even though these reaffirmations can send an important signal to the international community about the priorities of these countries, they are nevertheless instances where parties merely recall their already assumed commitments. These provisions do not identify specific positive actions Parties should take in respect of women empowerment. Moreover, such provisions are generally included without any effort to identify mechanisms that might be responsible for the implementation of such previously agreed promises. Nevertheless, these could provide parties an indirect route to include values or concerns that they may not have otherwise been able to include in the agreements for several negotiating complexities. However, for this to happen, it is important that countries consider devising monitoring and implementation processes to ensure compliance with their commitments.

7.1.3. Policy carve-outs

In trade agreements, parties include a range of policy carve-outs to protect their policy autonomy while liberalising their markets. These policy carve-outs have taken two main forms with respect to gender: reservations and exceptions. Reservations, when typically drafted as “right to regulate” provisions, are styled as the act of retaining, withholding, or setting apart a right to protect a certain social or public welfare interest. In reservation carve-outs, parties pinpoint the relevant domestic law which would have otherwise breached the obligations in the FTAs, and pre-emptively carve-out those laws in either reservation lists or in the agreement’s main text.

Exceptions are different to reservations since instead of directly pinpointing a given law, parties usually have mutual agreements on the necessity of pursuing certain policy objectives listed in the provisions of that agreement under certain pre-determined conditions. Exceptions permit parties to have policy autonomy under certain conditions, including for the requirements that domestic law seeks to pursue in respect of policy objectives that are previously agreed by parties (examples include public morals, public health, and national security) over trade liberalization, non-discrimination, and market access rules under certain conditions. So far, explicit exceptions in respect of women have not been included in trade agreements negotiated in Latin America. However, countries have included a range of implicit exceptions that may indirectly include or relate to women’s interests.

Reservations are a more accepted, common, and explicit form of provisions negotiated in respect of women. Reservations have appeared quite frequently in trade agreements negotiated by Latin American countries styled as ‘right to regulate’ provisions. These reservations are mostly found in the agreements’ annexes wherein parties include their schedules of specific commitments. For example, Article 10.2 of the

Chile - South Korea FTA contains a right to regulate childcare services.[33] A similar reservation can be found in the Annex II of the Peru – South Korea FTA.[34] In these agreements, countries reserve their policy space to regulate specific areas that may affect women's health and maternal concerns such as healthcare, nutrition and childcare.[35]

Other examples of such policy carve-outs from the region include the right to subsidise social services for protection of maternity needs including childcare and women-favouring government procurement schemes.[36] One such example is the United States – Dominican Republic – Central America,[37] wherein parties reserve a right to craft government procurement schemes that may be favourable for certain groups including women.[38] Another example is found in the USMCA,[39] which provides for a special reservation to protect market access of Indigenous women engaged in cross border trade in services. This cultural reservation aims to preserve culture, languages, knowledge, traditions, and identity with a special focus on the integration of women and promotion of gender equality,[40] and seeks to simplify women's market access across borders.

As these examples show, parties in such provisions reserve their right to ensure that trade liberalization under a given FTA does not limit their policy space to regulate the areas of strategic importance such as public welfare including the provision of social services or measures that may benefit minorities or marginalised groups. These are generally drafted with binding expressions, and hence they seem to create legal obligations and rights for the Parties. These provisions can help countries guarantee benefits and protections for women that they otherwise may not be able to extend either through their domestic laws or through a legal standard, as that might require changes in their domestic laws.

7.2. Implicit provisions with regard to gender

Gender implicit provisions are those that do not contain gender-explicit language but are nonetheless relevant to women, and can be categorised in four main categories: (1) Promotion of SMEs, (2) Digital trade, (3) Government procurement, and (4) Trade finance and access to finance.[41] This list is not exhaustive and other varieties of provisions may also benefit women, such as those relating to investment, technical barriers to trade and trade facilitation.

7.2.1. Promotion of small businesses

Globally, about 252 million women are entrepreneurs (Elam et al., 2019[1]) Women own close to 10 million of the emerging economies' Micro and Small Enterprises (MSMEs).[42] Trade agreements can enhance the market access opportunities for small businesses owned or managed by women and a number of recent agreements from the region have included a provision to this effect.

One relevant agreement is the USMCA, as its parties commit to work on enhancing trade and investment opportunities for SMEs in the region.[43] In particular, the agreement provides opportunities for SMEs to increase their exports and their participation in global and North American value chains. They seek to achieve this in multiple ways that include: (a) promotion of co-operation between the Parties' small businesses through dedicated SME centers, incubators and accelerators, and export assistance centers; (b) engage in activities to promote SMEs owned by under-represented groups, including women; (c) work on improving SME access to capital and credit, SME participation in government procurement opportunities, and helping SMEs adapt to changing market conditions; and (d) encourage SMEs participation in web-based platforms to share information and best practices to help them connect with international suppliers, buyers, and other potential business partners. The Parties in the agreement have also sought to facilitate the region's SMEs' participation in government procurement as they commit to providing notices of intended procurement in a single electronic portal and encouraging it by electronic means, thus increasing transparency and efficiency for SMEs and their businesses.[44] The agreement also eliminates local presence obligations for cross-border service providers, which clearly benefits SMEs by removing the unnecessary burden of opening an foreign subsidiary as a requirement for doing business.[45]

In the Chile-Australia Agreement,[46] the Parties commit to exchanging information on their respective approaches to maximise access for small and medium enterprises to the government procurement market.[47] Moreover, protection of SMEs interests in respect of business and employment opportunities also appears as an area of co-operation in the Agreement as the Parties seek to work on enhancing the identification and development of innovative co-operation initiatives capable of providing added value to the bilateral relationship.[48] A similar commitment to co-operate is found in Chile-Thailand[49] and EU-Chile.[50]

Another good practice example is the EU-Mexico FTA, as Parties in their chapter on investment seek to co-operate on a number of things, among them the development of joint investment mechanisms, particularly with small and medium-sized enterprises.[51] The Parties also seek to build a favourable environment for the development of small and medium-sized enterprises through initiatives such as the promotion of contacts between economic agents, joint investments and the establishment of joint ventures, the creation of information networks, facilitation of access to financing, provision of information, and stimulation of innovations.[52]

7.2.2. Digital trade

It was seen above that internet access, while high in most Latin American countries under review, is lower outside urban centres, and fixed broadband costs remain high in some countries, putting women-led firms that tend to be smaller and less well financed at a disadvantage in accessing digitally enabled trade.

There are few examples of trade agreements where parties have acknowledged this barrier. The Digital Economy Partnership Agreement (DEPA)[53] between Chile, New Zealand, and Singapore, now joined by Korea, is a leading example as it includes specific language that emphasises digital inclusion for marginalised groups including women: Parties recognise 'the importance of expanding and facilitating digital economy opportunities by removing barriers' and co-operating “on matters relating to digital inclusion”.[54] Further, Joint Committees and Contact Points are established to oversee the implementation of these provisions.[55]

In the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP),[56] Parties consider undertaking co-operative activities aimed at enhancing women’s access to technology. Moreover, CPTPP includes binding commitments to allow the free flow of data,[57] prohibits data localisation requirements that could function as an impediment to entering the market for small businesses,[58] permits the use of all devices on the internet,[59] and requires all groups to adopt privacy protection regulations[60] (Giordano et al., 2017[2]) These are vital requirements for small businesses owned by women as they require an enhanced protection against cybercrimes and privacy, and lower costs to enter and access digital trade opportunities. In EU-Peru and Colombia, the Parties establish an institutional mechanism to assist MSMEs in overcoming obstacles they face in the use of electronic commerce by improving the security of electronic transactions.[61]

Another interesting example is seen in USMCA, wherein a new chapter on Digital Trade (Chapter 19) contains robust provisions that are aimed to support internet-enabled small businesses and e-commerce exports. As commerce across North America becomes increasingly digitalised in all sectors, the potential for positive impact from this part of USMCA cannot be underestimated for small businesses that are owned or managed by women entrepreneurs. The chapter can lower barriers to trade for women-owned businesses as it prohibits the application of customs duties and other discriminatory measures to digital products distributed electronically, such as e-books, videos, music, software, and games.[62] It also seeks to bring down the cost and complications entailed in cross-border transactions as parties seek to maintain a legal framework governing electronic transactions to facilitate digital transactions, which helps businesses in avoiding unnecessary regulatory burden on electronic transactions and permits use of electronic authentication and electronic signatures while guaranteeing confidentiality and enforceable consumer protections in the digital marketplace.[63] Moreover, owing to its provisions on enhancing internet access and its affordability, the agreement may also help to expand the range and access of digital resources to women.[64]

Digital trade can have a positive impact on women's livelihoods and economic empowerment by supporting their business growth and diversification. However, women-led small enterprises continue to face digital and gender-specific challenges when they seek to access the benefits of e-commerce. Increasing women's participation in the digital economy and increasing their e-commerce entrepreneurial capacity requires bringing together three related aspects, i.e. access to digital learning, to digital infrastructure, and to e-commerce platforms and opportunities (Anoush Der Boghossian, 2023[3]). In this sense, two problems can be seen with the existing inclusions in the region. These recent FTAs that mention the related concerns mainly focus on the need to enhance women businesses' access to digital learning or infrastructure, and they continue to remain silent on "how" they might put these promises into action. As a result, most of the existing agreements do not include concrete commitments such as the means countries may employ to enhance women's access to affordable and reliable digital infrastructure, digital financial wallets and e-banking, and e-commerce platforms which could lead to an overall increase in women's participation in the economy. The use of digital platforms for example may offer women many additional opportunities, including the possibility to overcome challenges related to mobility as women are generally less mobile than men, accessing new markets and knowledge, connecting with potential markets and customers, and enjoying flexible work hours and modes.

7.2.3. Access to government procurement opportunities

Twelve per cent (12%) of GDP globally is spent on public procurement, and in many high-income countries, the average share of public procurement to GDP is as high as 25%.[65] However, accessing large government contracts that are often subject to complex tender processes can be challenging for SMEs and even more so for women-led SMEs as women business leaders may not have mentors or associates that are familiar with these processes. Some governments provide procurement-related assistance to SMEs, or firms led by women, to encourage their participation in public tenders often through capacity building programs or in the form of quotas or price preferences for certain types of firms. Such measures imply that in a trade agreement, countries need to set apart their "right to regulate" since these measures would otherwise fall under the scope of the agreement. In the United States–Peru agreement, for example, Parties set out a reservation in the Government Procurement Chapter, wherein they reserve the right to regulate 'preferences or restrictions associated with programs promoting the development of distressed areas, or businesses owned by minorities, disabled veterans, or women' specifically with regards to government procurement.[66]

In other agreements, countries have gone beyond such policy carve-outs as they have sought to assume affirmative commitments in respect of information exchange, communication and transparency. In the Australia-Chile agreement, for example, the Parties commit to enhancing the exchange of information relating to the development and use of electronic communication in government procurement systems and make efforts to increase understanding of their respective government procurement systems. They also clarify that one of the main aims of information exchange is to maximise access for SMEs to the government procurement market.[67] A similar commitment is found in EFTA-Central America, where Parties have sought to enhance the use of 'electronic means of communication to permit efficient dissemination of information on government procurement, particularly as regards tender opportunities offered by procuring entities, while respecting the principles of transparency and non-discrimination'.[68] These commitments, even though seemingly gender-neutral, can benefit women entrepreneurs that own or manage small businesses in these countries, as one of the major obstacles women-owned businesses face is the lack of access to relevant information and understanding of the systems and processes.

In the United States–Colombia Trade Promotion Agreement, the Parties provide for a Committee on Procurement that will be responsible for ensuring that efforts are made to increase understanding of their respective government procurement systems, with a view to maximising access to procurement opportunities, especially for small business suppliers. To achieve this, the Committee can foster trade-related technical assistance, including training of government personnel or interested suppliers on specific elements of that Party's government procurement system, in co-ordination with the Committee on Trade Capacity Building.[69]

However, to strengthen such policies, and for countries to start invoking such favourable provisions that are in a way based on positive discrimination, it is crucial to agree to a precise definition of women-owned enterprises. This is where the International Organization for Standardization's (ISO) definition of women-owned and women-led companies can come in handy.[70] It may be useful to integrate this definition in current trade and procurement policies; however, it is important this definition is widely publicised and made freely accessible without any cost repercussions for using it.

7.2.4. Trade finance and access to finance

Lack of access to finance and trade finance are key barriers that impede women's entrepreneurial efforts in international trade. Women-led firms face a variety of obstacles when it comes to growing their businesses, including less access to finance and trade financing instruments (see challenges to women-led businesses in the preceding chapter on women entrepreneurs and business leaders) (OECD, 2022[4]).

Some FTAs in the region have responded to this challenge as they have included provisions on increasing women's access to finance and trade financing opportunities. One such example is Australia – Peru,[71] wherein the Parties in the Development Chapter seek to exchange information and experience, and provide training to help women enhance their access to finance and financial instruments.[72] The Chile-Uruguay[73] FTA includes a similar commitment in its dedicated Chapter on Gender and Commerce; the provision specifically outlines the need to co-operate on promoting financial inclusion and financial education for women.[74] A similar provision is included in Argentina-Chile FTA,[75] wherein Parties seek to focus on enhancing women's businesses access to credit, financial education and financial assistance.[76]

These examples show that various countries in existing trade agreements have committed to and recognised the need to enhance women's access to finance or financial inclusion, but the countries so far have not gone into how they can enhance women's access to finance as it depends on several factors including access to basic financial services, trade finance instruments, affordable credit, and acceptable collaterals. Hence, what remains to be done are concrete commitments and plans on how parties can enhance women's access to finance. Moreover, when countries assume commitments in relation to financial access, it is important for them to acknowledge that both public and private stakeholders of the financial sector play an important role in supporting private sectors' access to finance. Hence, to put such commitments into action, it is important for countries to develop transparent and predictable frameworks for collaborating with private stakeholders through public-private partnerships (PPP) or blended finance mechanisms.[77]

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Annex 7.A. Gender-related provisions in Regional Trade Agreements in seven Latin American countries

Annex Table 7.A.1. Gender-related provisions in Regional Trade Agreements

Country	FT already working as	Explicit Provisions	Co-operative and collaborative endeavours	Re-affirmations to international standards or conventions	Policy carve-outs
Argentina & Chile	Argentina - Chile	√	√	√	√
Argentina and Brazil	Southern Common Market (MERCOSUR)				
Argentina and Brazil	Southern Common Market (MERCOSUR) - Egypt				
Argentina and Brazil	Southern Common Market (MERCOSUR) - India				
Argentina and Brazil	Southern Common Market (MERCOSUR) - Israel				
Argentina and Brazil	Southern Common Market (MERCOSUR) - Southern African Customs Union (SACU)				
Argentina and Mexico	Argentina - Mexico				
Argentina, Brazil, Chile, Colombia, Mexico and Peru	Global System of Trade Preferences among Developing Countries (GSTP)				
Argentina, Brazil, Chile, Colombia, Mexico and Peru	Latin American Integration Association (LAIA)-1980 Treaty of Montevideo				
Brazil and Chile	Brazil - Chile	√	√	√	√
Brazil and Mexico	Brazil - Mexico				
Brazil, Chile, Mexico, Peru	Protocol on Trade Negotiations (PTN)				
Chile	Australia - Chile	√		√	√
Chile	Canada - Chile	√	√	√	√
Chile	Chile - Ecuador	√	√	√	
Chile	Chile - Indonesia	√	√	√	
Chile	Chile - Nicaragua	√			√
Chile	Chile - Thailand	√	√		
Chile	Chile – Uruguay	√	√	√	
Chile	Chile - Viet Nam	√	√		
Chile	EU-Chile	√	√	√	
Chile	Korea, Republic of - Chile	√			√
Chile	Turkey - Chile			√	
Chile	United Kingdom - Chile	√	√	√	
Chile	United States - Chile			√	
Chile	Chile - China				
Chile	Chile - India				
Chile	Chile - Japan				
Chile	Chile - Malaysia				
Chile	EFTA - Chile			√	
Chile	Hong Kong, China and Chile				
Chile	Panama - Chile				

Chile	Trans-Pacific Strategic Economic Partnership	√			√
Chile and Colombia	Chile - Colombia			√	
Chile and Costa Rica	Chile - Central America	√			√
Chile and Mexico	Chile - Mexico	√			√
Chile and Peru	Peru - Chile				
Chile, Colombia, Mexico and Peru	Pacific Alliance				
Chile, Mexico and Peru	Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP)	√	√	√	
Colombia	Canada - Colombia	√	√	√	
Colombia	United States - Colombia	√	√	√	√
Colombia	Colombia - Israel				
Colombia	Colombia - Northern Triangle (El Salvador, Guatemala, Honduras)	√			√
Colombia	EFTA - Colombia			√	
Colombia	Korea, Republic of - Colombia			√	
Colombia & Peru	Andean Community (CAN)				
Colombia and Costa Rica	Costa Rica - Colombia				
Colombia and Mexico	Colombia - Mexico				
Colombia and Peru	EU - Colombia, Ecuador and Peru (Andean Countries)	√		√	√
Colombia and Peru	United Kingdom - Colombia, Ecuador and Peru (Andean Countries)	√		√	√
Costa Rica	Canada - Costa Rica	√	√	√	
Costa Rica	Central American Common Market (CACM)	√			√
Costa Rica	Dominican Republic - Central America	√			√
Costa Rica	Dominican Republic - Central America - United States Free, EU-USTTIP Trade Agreement (CAFTA-DR)	√	√	√	√
Costa Rica	EU - Central America	√	√	√	√
Costa Rica	China - Costa Rica				
Costa Rica	Costa Rica - Singapore			√	
Costa Rica	EFTA - Central America (Costa Rica and Panama)			√	
Costa Rica	Panama - Costa Rica (Panama - Central America)	√			√
Costa Rica	UK - Central America	√	√	√	√
Costa Rica	Korea - Costa Rica	√		√	√
Costa Rica and Mexico	Mexico - Central America	√			√
Costa Rica and Peru	Costa Rica - Peru				
Mexico	EU-Mexico	√	√	√	
Mexico	Mexico-CACM	√			√
Mexico	Mexico-Uruguay	√			√
Mexico	United States - Mexico - Canada Agreement (USMCA/CUSMA/T-MEC)	√	√	√	√
Mexico	Ecuador-Mexico				
Mexico	EFTA-Mexico				
Mexico	Israel-Mexico				
Mexico	Japan-Mexico				
Mexico	Mexico-Bolivia, Plurinational State of				
Mexico	Mexico-Cuba				
Mexico	Mexico-Panama				
Mexico	Mexico-Paraguay				
Mexico	United Kingdom - Mexico			√	
Mexico and Peru	Peru - Mexico				
Peru	Canada - Peru	√	√	√	

Peru	Peru - Australia	√	√	√	√
Peru	Peru - Korea	√		√	√
Peru	Peru - Singapore	√			√
Peru	United States - Peru	√	√	√	√
Peru	EFTA - Peru			√	
Peru	Japan - Peru				
Peru	Panama - Peru				
Peru	Peru - China				
Peru	Peru - Honduras				

Note that only trade agreements notified to the WTO, in force as of January 2025 and included in the WTO Regional Trade Agreements database are included in this assessment. In addition, six agreements, in force by January 2025 but not yet included in the WTO RTA database (as of this writing) are also included in this assessment (taken from the ITC Rules of Origin Facilitator database) as these agreements are relevant for the purposes of this study. In the case of a trade agreement between a country and a group of countries, e.g. Chile-Central America, this was counted as one agreement regardless of differing dates of notification and enforcement.

Notes

[1] Trade agreements notified to the WTO, in force as of January 2025 and included in the WTO Regional Trade Agreements database are included in this assessment. In addition, six agreements, in force by January 2025 but not yet included in the WTO RTA database (as of this writing) are also included in this assessment (taken from the ITC Rules of Origin Facilitator database) as these agreements are relevant for the purposes of this study. In the case of a trade agreement between a country and a group of countries, e.g. Chile-Central America, this was counted as one agreement regardless of differing dates of notification and enforcement.

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[3] Free Trade Agreement between Argentina and Chile (signed 2 November 2017; entry into force 1 May 2019), hereinafter referred as Argentina-Chile FTA).

[4] Free Trade Agreement between Brazil and Chile (21 November 2018; entry into force 25 January 2022), hereinafter referred as Brazil - Chile FTA

[5] Explicit provisions are those that are drafted with women or gender related language and use the following terms: *mujer*, *mujeres*, *género*, *niñas* - *niños*, *sexo*, *equidad*, *maternidad*, *paternidad*, *paternal*, *maternal*, *igualdad*, *Atencion infantil* [in Spanish]; women, girl, woman, girls, maternity, gender, childcare, sex and mother [in English]. Only those explicit provisions are included in this study that includes text that offers commitment, vision, or actions to challenge gender inequalities and empower women through international trade.

[6] This broad categorisation is adapted from Jane Korinek, Evdokia Moïsé, Jakob Tange (2021), "Trade and Gender: A Framework of Analysis", *OECD Trade Policy Paper* N° 46, 2021 [loosely based on a categorisation in International Trade Centre (2019), *From Europe to the World: Understanding Challenges for European Businesswomen*].

[7] Interim Agreement on Trade between the European Union and the Republic of Chile Agreement (signed 13 December 2023), Chapter 27.

[8] Article 27.3.

[9] Article 27.4.

[10] Article 27.5.

[11] Article 27.6.

[12] Comprehensive and Progressive Agreement for Trans-Pacific Partnership (signed 8 March 2018; effective 30 December 2018) CPTPP, Article 23.4 (hereafter referred to as CPTPP).

[13] CPTPP, Article 23.4.

[14] *Acuerdo Comercial Entre La República Argentina Y La República De Chile* (signed 2 November 2017; entry into force 1 May 2019) Preamble.

[15] Ibid, Article 15.1.

[16] *Acuerdo De Libre Comercio Entre La República De Chile Y La República Oriental Del Uruguay* (signed 4 October 2016; entry into force13 December 2018).

[17] Chile - Ecuador Economic Complementation Agreement No. 75 (signed 13 August 2020; entry into force 16 May 2022), hereinafter referred as Chile - Ecuador ECA.

[18]See, for example, https://www.international.gc.ca/trade-commerce/inclusive_trade-commerce_inclusif/itag-gaci/arrangement.aspx?lang=eng.

[19] Colombia - United States Trade Promotion Agreement (enforced, 15 May 2012) Hereinafter referred as Colombia - United States TPA, Annex 17.6

[20] Free Trade Agreement between the United States of America and Peru (enforced, 01 February 2009), Annex 17.6

[21] Marcus Gustafsson and Amrita Bahri, 'Progressive Trade: Labour and Gender', in Daniel Bethlehem, Donald McRae, Rodney Neufeld, and Isabelle Van Damme (eds), *Oxford Handbook of International Trade Law*, Second Edition (Cambridge University Press 2023)

[22] For example, CPTPP, Preamble.

[23] EU-Chile, Article 27.5.

[24] Argentina-Chile, Article 8.17.

[25] *Transforming Our World: The 2030 Agenda for Sustainable Development*, United Nations (A/RES/70/1) (New York, 25 to 27 September 2015).

[26] Convention on the Elimination of All Forms of Discrimination against Women, Adopted and opened for signature, ratification, and accession by United Nations General Assembly (resolution 34/180) (New York, 18 December 1979).

[27] International Covenant on Civil and Political Rights 1966, 999 UNTS 171, Article 3 (mentions women's right to equality).

[28] International Covenant on Economic, Social and Cultural Rights, 1966, 993 UNTS 3, Articles 3 and 7 (mention women's right to equality and women's right to a fair wage).

[29] The Beijing Declaration and the Platform for Action: Fourth World Conference on Women, Doc. A/CONF. 177/20, 15 September 1995 (contains a progressive blueprint for advancing women's empowerment).

[30] In Focus Programme on Promoting the Declaration (2002), The International Labour Organization's Fundamental Conventions. International Labour Office.

[31] Chile-Uruguay FTA, Article 14.2.

[32] Argentina and Chile Free Trade Agreement, Article 15.1 paragraph 2; ibid, Article 15.2

[33] Free Trade Agreement between the Republic of Korea and the Republic of Chile (enforced, 1 April 2004)

[34] Peru-South Korea FTA.

[35] *Ibid*.

[36] Economic Partnership, Political Coordination and Cooperation Agreement between the European Community and its Member States, on the one part, and the United Mexican States, on the other (enforced October 2000).

[37] Free Trade Agreement between Central America, the Dominican Republic, and the United States of America (signed 4 August 2004; entry into force 1 March 2006) (hereafter referred to as CAFTA-DR).

[38] *Ibid*, Annex 9.1.2(b)(i).

[39] USMCA, Annex 15-E (see Note 5).

[40] *Ibid*.

[41] Implicit provisions are those that do not contain women or gender specific language but nevertheless seek to benefit women. In this study, the implicit provisions are found in thematic chapters on: morals, human rights, social welfare, labour rights, poverty, corporate social responsibility, Micro, Small and Medium Sized Enterprises (MSMEs) or Small and Medium Sized Enterprises (SMEs), e-commerce or digital trade, investment, business assistance, government procurement, trade finance or financial services and trade facilitation [in English]; *Ética-Moral Pública, colectivo, Trabajo Infantil-de menores, Desarrollo Sustentable, Pobreza, Desarrollo Social, Responsabilidad Social Corporativa-Empresarial-Colectiva, MiPyME (Micro Pequeñas y Medianas Empresas) o PyME (Pequeñas y Medianas Empresas), comercio electrónico, comercio por internet o comercio en línea, inversión, asistencia empresarial, contratación pública, financiación del comercio o servicios financieros, facilitación del comercio* [in Spanish].

[42] According to the World Bank, Micro, Small and Medium Enterprises (MSMEs) are defined as follows – micro enterprises: 1–9 employees; small: 10–49 employees; and medium: 50–249 employees. However, the local definition of MSMEs varies from country to country, and is based not only on number of employees, but also on other variables such as turnaround and assets. [Khrystyna Kushnir, Melina Laura Mirmulstein, and Rita Ramalho, "Micro, Small, and Medium Enterprises around the World: How Many Are There, and What Affects the Count?" (IFC & World Bank, 2010), https://www.mfw4a.org/sites/default/files/resources/Micro%20Small%20and%20Medium%20Enterprises%20Around%20the%20World%20How%20Many%20Are%20There%20and%20What%20Affects%20the%20Count.pdf, accessed 7 August 2021.

[43] USMCA (see Note 5), Article 25.2.

[44] *Ibid*, Article 13.20.

[45] *Ibid*, Article 15.10.

[46] Free Trade Agreement between Chile and Australia (signed 30 July 2008; entry into force 6 March 2009), hereafter referred as Australia - Chile FTA.

[47] *Ibid*, Article 15.24.

[48] *Ibid*, Article 18.2.

[49] Free Trade Agreement between the Government of the Republic of Chile and the Government of the Kingdom of Thailand (signed 4 September 2013; entry into force 5 November), hereafter referred as Chile-Thailand FTA, Article 11.3.

[50] Ibid, Article 44.

[51] Agreement Establishing an Association between the European Community and the Republic of Chile (signed 18 November 2002; entry into force 1 February 2003), hereafter referred as Chile - EC Association Agreement (2002), Article 15.

[52] *Ibid*, Article 17.

[53] Digital Economy Partnership Agreement ("DEPA") between Singapore, Chile, and New Zealand (enforced as of 7 January 2021).

[54] *Ibid*, Article 11.1.

[55] *Ibid*, Article 12.1.

[56] CPTPP, Article 23.4.

[57] *Ibid*, Article 14.11.

[58] *Ibid*, Article 14.13.

[59] *Ibid*, Article 14.10.

[60] *Ibid*, Article 14.08.

[61] Trade Agreement between the European Union and its Member States, on the one hand, and Colombia, Peru and Ecuador, on the other (signed 26 June 2012; entry into force 1 June 2013) hereafter referred to as Colombia - Ecuador - EU - Peru Trade Agreement, Article 109.

[62] USMCA (see Note: 5), Article 19.3.

[63] *Ibid*, Article 19.5, Article 19.6, Article 19.7 and Article 19.8.

[64] *Ibid*. In Article 19.10, Parties recognise the need to increase access to digital resources such as the internet and its affordability to its populations in the regions, as opportunities in e-commerce are closely linked to the availability of the Internet, its affordability, and the skills required to use it.

[65] See Erica Bosio and Simeon Djankov, 'How large is public procurement?' (World Bank Blogs, February 05, 2020), https://blogs.worldbank.org/en/developmenttalk/how-large-public-procurement#:~:text=The%20average%20share%20of%20public,percent%20in%20low%20accountability%20countries.

[66] Government Procurement Chapter 9, Notes to the Schedule of the United States.

[67] *Ibid*, Article 15.24.

[68] Free Trade Agreement between the EFTA States and the Central American States (signed 24 June 2013; entry into force 19 August 2014), hereinafter referred as EFTA - Central America FTA. Article 7.5.

[69] Colombia-United States Trade Promotion Agreement (signed 22 November 2006; entry into force 15 May 2012) hereafter referred as Colombia - United States TPA, Article 9.15.

[70] ISO, 'IWA 34:2021(en), Women's entrepreneurship — Key definitions and general criteria' https://www.iso.org/obp/ui/#iso:std:iso:iwa:34:ed-1:v1:en.

[71] Australia - Peru Free Trade Agreement (signed 12 February 2018; entry into force 11 February 2020), hereafter referred as Australia – Peru FTA.

[72] *Ibid*, Article 22.4.

[73] Chile – Uruguay FTA (see Note 18).

[74] *Ibid*, Article 14.3, Chapter 14.

[75] Free Trade Agreement between the Argentine Republic and the Republic of Chile (Argentina – Chile) (enforced 1 May 2019).

[76] *Ibid*, Article 15.3.

[77] Blended finance is the strategic use of development finance for the mobilisation of additional finance towards sustainable development in developing countries.

8 Policy recommendations

Previous chapters in this *Review* have aimed to increase understanding about women's engagement in trade and examined relevant trade policy settings in Latin America. Drawing on that analysis, this chapter suggests several policy actions to lower barriers to trade faced by women and thereby increase their likelihood of reaping the benefits from trade. These recommendations aim to suggest ways forward to further support women's economic empowerment through trade in Latin America. They are viewed as a starting point to motivate policy reforms in the region, and may also contribute to ongoing discussions in international fora on trade and gender.

8.1. Making trade agreements more gender-responsive

Increasingly, trade agreements include gender-specific language and commitments to ensure trade supports women’s economic empowerment. Some Latin American countries, Chile in particular, have been at the forefront of this evolution. Some good examples exist of trade agreements that have incorporated increasingly more far-reaching, specific, targeted, and binding language in support of women’s empowerment through trade.

The recommendations below for trade negotiators and policymakers to consider for future trade agreements and modernisation of existing agreements are not “one-size-fits-all”. Hence some of them may be more suitable for some countries than for others. Some of these recommendations suggest more comprehensive implementation of existing trade agreements; others require negotiation of new agreements or modernization of existing agreements.

- One example of a far-reaching trade and gender chapter in a trade agreement is the Interim Agreement between the European Union and Chile where co-operation is wide-ranging, signatories seek to improve their relevant laws and domestic policies to promote equal rights, ambitious labour standards are promoted, and gender-differentiated data-gathering is supported. Moreover, the agreement outlines institutional arrangements to ensure the implementation and review of such commitments and applies the agreement's dispute settlement provisions to these gender-explicit commitments which make them binding and compulsory. This chapter could be used to inspire future trade agreements or modernisation of existing agreements.
- Co-operation in trade agreements in trade-related and domestic policy areas can help raise awareness and increase momentum for reforms that promote gender equality. Many trade and cooperation agreements include co-operation in diverse areas; one far-reaching agreement in this regard is GTAGA. Co-operation activities within trade agreements can be used to exchange experience regarding issues that are of great importance to increasing women’s empowerment in Latin America, including the prevailing climate of violence against women, tackling informality, and the limited representation of women in senior leadership positions and on boards, particularly in domestically headquartered firms. Areas for co-operation may be far outside trade policies since the context in which women workers and business leaders evolve is complex and multi-faceted.
- Reaffirmation of existing commitments as regards gender equality and women’s empowerment can be more fully implemented through greater monitoring or support for existing monitoring mechanisms within the institutional framework of the trade agreement. Such processes can be as simple as the exchange of best practices and information in respect of how countries have adhered to international instruments, or appointment of contact points to monitor compliance with the commitments that can initiate relevant actions to ensure their future compliance.
- Since women-led firms tend to be smaller than those led by men, provisions that promote and support MSMEs on international markets will positively impact them. Such provisions promote SMEs’ participation in global and regional value chains through business incubators, export assistance, access to capital and credit, promoting access to government procurement opportunities, and promote their participation in digital platforms. One provision in the USMCA eliminates local presence obligations for cross-border service providers, which clearly benefits women-led SMEs by removing the burden of opening a foreign subsidiary as a requirement for doing business for services providers, sectors where they are strongly represented.
- It was seen that in many countries a large share of economic activity takes place in the informal economy. Analysis in this *Review* suggests that firms in the informal economy are substantially less likely to export than formal firms. Trade may thereby create a strong incentive for firms to formalise and trade agreement modalities and communications could be complemented by policies that reduce existing burdens for firms to formalise. Such measures could be co-ordinated within some of the co-operation activities undertaken in the context of trade agreements.

- In order to ensure implementation of gender-related commitments, institutions and procedures to monitor and review their impact must be clearly spelled out and resourced. Comprehensive implementation includes four components: (i) institutions and procedures; (ii) resources for implementation; (iii) Monitoring and review; and (vi) *ex ante* impact assessments.
    - *Institutions and procedures:* Agreements should spell out which body of the trade agreement's institutional structure is responsible for gender-related commitments (e.g. in the case of stand-alone gender chapters, co-operation agreements, and reaffirmation commitments), operational requirements and functions and procedures of the responsible body, timelines, objectives and milestones. One good example of such institutions and procedures is set out in the Interim Agreement on Trade between the European Union and the Republic of Chile.
    - *Resources for implementation:* To operationalise the gender-related commitments, funding arrangements that can finance gender-related activities should be envisaged. In the face of scarce resources, co-operation with private sector (e.g. programmes for women exporters financed by UPS) or leveraging the institutional strength and expertise of international organisations like ITC, WTO and UNCTAD can help build capacity.
    - *Monitoring and review:* agreements should set out timing and procedures for monitoring and reviewing of trade agreements' differential impacts on women and men, and the implementation of relevant gender-related provisions. They should include clear indications on which entities are responsible for these exercises; and countries should ensure that they have access to the required data, expertise and other resources that are needed for carrying out such monitoring and review. Monitoring of the impacts of trade agreements requires substantial gender-differentiated data, an issue addressed in a recommendation below.
    - *Ex ante impact assessments*: Assessments should measure gender-differentiated impacts of market access in at least the main sectors that the negotiations cover, identifying sectors that could be of particular importance for women-led businesses or for women's employment. The scope of the impact assessment could also include estimated price impacts of the trade agreement, which would shed further light on the agreement's impacts on more vulnerable groups and those in lower income categories where women are disproportionately represented. Examples of *ex ante* impact assessments are Canada's GBA+ and UNCTAD's Trade and Gender Toolbox.[1] The results of a gender-differentiated impact assessment that point to particular impacts on women could be used to inform negotiating strategies in order to pursue greater market access in areas where women work and lead businesses thereby helping to close gender gaps.
- With the exception of the EU-Chile agreement, most gender provisions are not subject to dispute settlement. Rather than excluding trade and women chapters and provisions from the application of dispute settlement chapters, future FTAs could introduce non-traditional enforcement procedures for such commitments to increase accountability such as through consultation and the appointment of panel of experts to closely assess compliance with the provisions and make recommendations accordingly.

8.2. Further market access considerations

Many women entrepreneurs, and small business leaders in general, aim to compete on international markets in a spirit of fair competition and level playing field conditions. Competing on international markets with firms that have received massive subsidies from their governments is the antithesis of fair competition, so supporting strong rules on subsidies would be beneficial to most women-led firms.[2]

Similarly, small or lean firms should not be in the position of competing with large digital firms that pay little tax in any jurisdiction. Some large firms pay almost no tax on their profits due to legal profit shifting tactics where they erode their tax base in higher-tax jurisdictions. This puts smaller firms that tend to operate out of a single headquarters at a disadvantage. It also erodes the tax base of governments around the world and diminishes the tax revenue that they can use to support public programmes, some of which benefit women particularly such as childcare and high-quality public transportation. All efforts to ensure that a minimum global tax is implemented as quickly and fully as possible should be strongly supported. The OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting and its two-pillar solution to address the tax challenges arising from the digitalisation of the economy represented an historic, major reform of the international tax system. Reinvigorating the momentum that brought about that agreement is key to levelling the playing field for all firms, including those led by women.

To create a more enabling environment for women's participation in trade, particularly in digitally enabled services sectors where many women-led firms operate, the following recommendations are proposed.

- Reform regulations requiring local presence for cross-border services trade when not strictly necessary in order to lower barriers on foreign entry for key supporting services sectors in the economy such as professional services, ICT services and financial services among others. Many professional services can be provided remotely via digital means and removing these barriers can allow women-led small businesses to access better and cheaper services to grow their businesses.
- Enhance regulatory transparency by allowing sufficient time between publishing new laws and regulations, and their entry into force. Implement robust public consultation mechanisms that are easily accessible, including for smaller businesses led by women.
- Consider targeted public procurement policies to assist women-owned businesses in overcoming systemic barriers to accessing government contracts. These could include set-asides and capacity building initiatives that ensures they are able to access and respond to public procurement tenders.
- Establish clear e-commerce regulations and standardise regulations across the region to give certainty to businesses and to help small businesses understand and comply with the legal landscape when expanding their operations or entering new markets. Continue negotiating digital trade chapters in trade agreements and digital trade agreements with the aim to increase digital trade facilitation and provide enhanced trust for consumers. This could also include pursuing data flow regulation focused on balancing the trade-offs between protecting the privacy of personal data while ensuring the flow of data across international borders and not including unjustified location requirements.

A major impediment to women businesses’ expansion, including into international markets, is access to finance. Trade costs could be substantially lowered by reducing the gap between regulation in the commercial banking sector in the countries under review, and global best practice. This would reduce costs substantially in all countries under review. Other ways of closing finance gaps for women business leaders include promoting programmes that target women business leaders for extending loans. The International Finance Corporation (IFC)’s Banking on Women Global Trade Finance Programme, for example, incentivises loans to women business leaders by partnering with banks in 75 countries. IFC extends credit to banks for their loans to women-led firms at a lower rate than for credit to other firms. Moreover, some commercial banks in Latin America like Santander, Scotiabank, and Banorte have programmes that target women business leaders, but they are not always well known. Some commercial banks, mostly headquartered in Europe, link ESG outcomes such as gender equality in firm leadership to the level of the interest rates they offer. This is one way to leverage finance to promote inclusivity, but seems to be less prevalent in the Americas. Such innovative business practice can also be associated with easing restrictions on foreign entry in the banking sector. Some innovative fintech solutions have been shown to be better tailored to women business leaders' needs. Although equal access to credit cannot be mandated, a regulatory framework that prohibits discrimination in access to credit on the basis of gender is a first step, and is currently missing in Argentina, Brazil and Costa Rica (World Bank, 2023[1]).

A challenge expressed by some women entrepreneurs during the research phase of this *Review* was the high cost of logistics and transportation. Removing the barriers to trade in these services is one way to lower costs. Reducing barriers to trade in courier services, logistics and road transport would substantially reduce prices for firms to trade, which most affect SMEs where women-led firms are strongly represented. Countries may also consider streamlining business requirements and ensuring a more level playing field for entrants into these sectors that are well known to enable trade, both international and domestic.

Similarly, access to quick, reliable fixed broadband services at reasonable price is a necessity for small businesses and emerged from the OECD-World Bank-Facebook survey as a challenge specifically for women entrepreneurs in some countries. Trade costs in the sector are estimated to fall by up to 12% if countries' regulatory gap with 'global best practice' is halved. Examples of starting points for potential reforms include efforts to improve the independence of the regulatory authority (e.g. in Chile), changes to public procurement procedures (e.g. in Brazil), and improvements to the procedure through which firms can provide comments on regulations (e.g. in Mexico).

It was seen that consumers in lower income quintiles, where women are disproportionately heads of household, benefit most from lower prices through trade. Lowering tariffs, especially in essential goods and those consumed by lower income households, would thereby benefit women most.

8.3. Support for gender-responsive policymaking in plurilateral contexts

All seven of the Latin American countries in this *Review* have now joined the Global Trade and Gender Arrangement (GTAGA). This is a strong signal of the political impetus to promote women's empowerment through trade for which they should be commended, and the momentum of the adherence to GTAGA of many Latin American countries should be seized. GTAGA is a formidable platform for discussion and capacity building to support gender equality in trade. Strong engagement in GTAGA should be prioritised, with associated resources. The GTAGA mandate for broad-ranging co-operation to further women's economic empowerment, capacity building, full implementation of CEDAW and ILO Conventions that aim to eliminate discrimination in employment and occupation, improving women's participation in the labour force and in leadership, financial inclusion, developing women's networks and developing trade missions for businesswomen would all be substantial steps toward supporting women in trade. Collecting relevant data and undertaking gender-differentiated analysis of women in trade, strong components of GTAGA, will elucidate areas for prioritisation and will be necessary to track progress.

Moreover, many countries of Latin America have been strong participants in, and promoters of, the WTO Buenos Aires Declaration in 2017 and the WTO Informal Working Group on Trade and Gender that was established in 2020. They could continue to support the work underway in the Informal Working Group, including by taking stronger leadership roles in topics that are most relevant to them. A proposal to include gender outcomes in the *Trade Policy Review* process has been put forward in the work of the group and may be one way to prioritise more gender-inclusive trade policymaking.

In 2024, work on women in trade was prioritised in plurilateral policymaking bodies by two countries examined in this *Review*. During its G20 Presidency, Brazil prioritised discussions on and with women business leaders to explore the challenges they face in trading and has compiled a compendium of policy responses to support women on their export journeys.[3] Peru has prioritised inclusive trade during its 2024 APEC Presidency, and organised for the first time a joint meeting of Ministers responsible for Trade and Ministers of Women to "explore and adopt further measures to enhance women's capacities to progress and to untap the economic potential of women" where Ministers issued a joint statement promoting collaboration and continued work in key actions to foster conducive environments for women's integration into regional and global trade.[4] This type of leadership should be commended and supported; such international leadership can serve as a basis for future objective-setting to build on the outcomes of these fora.

8.4. Trade facilitation

The seven Latin American economies rank well in their trade facilitation performance as compared to other regions. Some areas could nevertheless be further strengthened, particularly to respond to challenges faced by MSMEs and women-led businesses when engaging in international trade.

8.4.1. Enhanced transparency of trade-related procedures and consultations involving women traders

Trade facilitation processes could be made more gender-responsive by ensuring the participation of women traders in countries' consultations and exporter programmes, and further adapting working methods to MSMEs. For instance, the export promotion programmes for women traders in the selected countries (e.g. in programmes such as Argentina's *Mujeres exportadoras*, Chile's *Mujer exporta*, Costa Rica's Women Export, Mexico's *MujerExporta*, Peru's *Ella Exporta*) could expand their existing training on trade facilitation issues to additional modules including a wider range of topics, with direct involvement of customs administration experts and other relevant border agencies. These programmes could also include a more systematic assessment of the results of such trainings for women-led businesses, to better tailor them to the evolving needs and challenges faced by such businesses.

In addition, increasing involvement of associations representing women-led businesses and MSMEs through National Trade Facilitation Committees or other structures for regular consultations with the private sector can help identify any inefficiencies and coordination challenges faced in the interaction with customs or other border agencies when trading (including when using enquiry points, as well as challenges encountered at specific border posts,[5] for specific products, or when trading with specific countries). Additional steps can be taken to use such coordinating bodies for addressing challenges that women traders might face in accessing logistics services. Several Latin American economies (such as Peru and Chile) have put in place Logistics Observatories, which could also incorporate and make accessible such information.

As regards consultations with traders, the countries under review could ensure that drafts of all new and adjusted trade-related regulations are systematically published prior to their entry into force, and that they explain in a fully transparent and comprehensive manner how public comments have been considered.

More information could also be made available to guide small businesses – including those that are women-led – on advance rulings systems in economies beyond those with which trade agreements are in place, which could help them access competitively priced inputs as well as reduce fixed costs of accessing new markets.[6]

In the area of transparency, the average time between publication and entry into force of trade-related regulations and of new fees and charges could be increased to allow traders, including women-led businesses, more time to adjust their operations. SMEs can require more time to respond to changes in regulations. Entrepreneurs in one country[7] included in the *Review* mentioned the difficulty caused by changes in processes and information required for export invoicing[8] which disrupted the smooth flow of their exports. Customs authorities could also consider publishing on their websites more comprehensive information on decisions and examples of customs classification, penalty provisions, as well as judicial decisions relating to appeal procedures to help guide businesses.

Assistance to help traders understand and comply with existing trade regulations can also incentivise MSMEs in the informal economy, including those led by women, to formalise their trade transactions. The incentive for firms to formalise is higher when support services for importing and exporting are more efficient whereby trading in the formal sector is easier and lower cost. Advertisement of such services among potential traders can support the ambition of a move toward greater formalisation. Trainings can help firms clarify that they have the potential to enjoy additional benefits by joining a culture of compliance.

The structured discussions with women traders in the countries in the region highlight that trust and confidence in officials at some border posts may be particularly low among some women traders. Improved interaction between traders and government agencies, through better public-private dialogue on trade-related regulations and enhanced integrity of border agencies, can increase trust and disincentivise informality. Businesses are likely to be more inclined to comply with trade-related regulations and fees if they sense that their views have been accounted by government authorities and if they perceive the latter as trustworthy. In addition, through enhanced interaction, government authorities are likely to better grasp the specific hurdles firms face and thus better target the necessary measures that need to be put in place to reduce the cost of trading formally.

Ensuring that hiring procedures at customs and other relevant border agencies produce a gender diverse workforce among border officials would be desirable. Corporate cultures in male-dominated professions may not favour trust among women clients of those services. Ensuring that border crossings are areas of transparency, with uniform application of processes and absence of corruption, can increase levels of trust.

8.4.2. Streamlining and automating border procedures

Areas where further efforts could strengthen trade facilitation performance and support women-led businesses both as exporters and importers are simplification of documents and streamlining of procedures, including through digital tools. These can provide women-led businesses and MSMEs with increased predictability of cross-border trade transactions undertaken.

Few MSMEs in the selected countries under review appear to be currently part of Authorised Operator (AO) programmes, in contrast to MSMEs' roles in economic activity and trade in Latin America. In addition, existing AO systems do not capture gender-related characteristics of the companies covered by these programmes. To design strategies that could help increase the coverage of MSMEs and women-led businesses in AO programme, more information needs to be collected on the challenges encountered by such firms in meeting requirements to become an AO and when going through the certification process. Targeted outreach to MSMEs and women-led businesses would help firms address these challenges and collect information from their experiences, which can help authorities understand if and how AO compliance criteria ought to be targeted further to address challenges faced by MSMEs and women-led businesses. In addition, explicit strategies could be implemented among border agencies to harmonise the requirements for AOs, co-ordinate the certification, manage the follow-up, and co-ordinate the inspection of AOs.

Moreover, the selected LAC economies do not appear to compile at this stage gender-relevant indicators on the use by women traders of other trade facilitation tools such as pre-arrival processing or trade Single Windows. Without such indicators, it is difficult to better understand whether a low use of trade facilitation tools stems from a lack of awareness among businesses or specific challenges encountered when trying to use the different systems for export and import transactions. Ministries of Trade together with customs agencies in the respective LAC countries could consider involving associations of women-led businesses in the dissemination of existing trade facilitation programmes and tools as well as in consultations on planned trade facilitation reforms.

While most Latin American countries have reduced the number of documents required for exporting and importing, further efforts could be made to reduce the necessary time for traders in preparing such documents, including through an enhanced and efficient use of trade Single Windows. To reduce transaction times at the border, copies of trade-related documents could be accepted where another government agency holds the original of a document, which is not currently the case in all the countries covered in this *Review*.

8.4.3. Simplified trade regimes for low-value transactions

In addition to trade facilitation measures meant to expedite the release and clearance of goods in general, customs authorities could propose a simplified trade regime particularly aimed at low-value consignments (*de minimis* regimes[9]), which can represent an important share of informal cross-border trade at the same time as an increased opportunity to participate in cross-border digital trade. Currently, Colombia (at USD 200), Costa Rica (at USD 100), Mexico (at USD 50) and Peru (at USD 200) have *de minimis* regimes for customs duties in place. Brazil introduced as of 1 August 2023 a customs duty *de minimis* regime of USD 50, which applies only to B2C shipments from/to companies certified under the Remessa Conforme programme;[10] the *de minimis* regime also provides prioritised customs clearance, and a reduced selection rate for customs inspection. Chile has a customs duty *de minimis* threshold of USD 40, which applies to personal shipments only. Argentina does not have a *de minimis* regime in place (Global Express Association, 2023[2]).

De minimis procedures could allow consignments valued below a specific threshold to also benefit from simplified documentary requirements as well as lower trade-related fees and charges for transactions under a certain value or could suppress these fees and charges altogether if no duty is collected on the transaction. This can be particularly important for women-led businesses that tend to trade in low-value goods consignments at a high frequency.

For the private sector, different *de minimis* and VAT/GST obligations across different jurisdictions can present challenges for firms engaging in cross-border parcels trade. These relate to uncertainties about applicable VAT/GST rates for specific goods headed to particular jurisdictions, and to different requirements for invoicing, registration, record keeping, or reporting obligations. As highlighted above, these thresholds continue to vary widely, including across different types of consignments and countries. Applying different regimes can also increase the costs of collection for customs and other border agencies (López González and Sorescu, 2019[3]).

Additional and user-friendly information could be made available on specific processes covered in trade agreements regarding small parcels (e.g. *de minimis*, specific customs declaration and clearance procedures). Beyond existing trade agreements, more information on taxes and border procedures applied in other markets when exporting small parcels, as well as on how to import small parcels to the selected countries, could be centralised and provided on customs websites or other relevant export promotion platforms.

8.4.4. Enhanced border agency co-operation

The seven countries could use the frameworks of the various regional platforms and co-operation fora they are part of (e.g. Pacific Alliance, APEC, SIECA, Mercosur) to further enhance mechanisms for cross-border agency co-operation. Further improvements could build on the progress made in the region in terms of cross-border risk management co-operation and could focus on aligning data requirements with trading partners' Single Windows and legal frameworks allowing for the sharing of trade transactions-related data. More generally, data content and structure and interoperability aspects are by far the most challenging in terms of improving the operation of trade Single Windows.

Enhanced border agency co-operation and improved infrastructure at land border posts can also help address informal trade. Improved co-operations mechanisms between agencies responsible for border management and streamlined processes in day-to-day operations can make trade less cumbersome and create the incentives for informal traders to formalise their operations. The countries under review can also consider specific facilities at land border posts such as help and monitoring desk for women traders, as well as discounted fees for warehousing and storage facilities for small traders, including women-led businesses.

8.5. Trade promotion agencies and professional networks

Export promotion agencies and business networks can fill the information gap that was underlined by women business leaders regarding foreign markets and export procedures (Section 4). In some countries, such agencies are active: trade promotion agencies Procomer in Costa Rica, Procolombia in Colombia and PromPerú in Peru are some examples. In 2020, Procomer won a World Trade Promotion Organisation (WTPO) award from the International Trade Centre for its sustainability initiatives and in 2024 Brazil's ApexBrasil won WTPO's best initiative award. On the other hand, Promexico, Mexico's export promotion agency, was disbanded in 2019. Although Promexico's functions were in principle outsourced to different government agencies, it is unclear which ones manage which functions.

In some countries, strong business networks exist. Members of ANDI in Colombia, for example, account for over half of Colombian sales. In some countries, however, business networks are fragmented and women's business networks are particularly isolated. Women report that they get limited benefits from business networks in some Latin American countries. Some networks remain relatively closed to women business leaders, and women chairs of Chambers of commerce and other networks are still quite rare, especially outside urban centres. While not strictly within the purview of government, greater gender balance could be encouraged when including business representatives in public facing events and when receiving delegations.

Strong trade promotion agencies can be an important source of information for women-led firms that have less access to informal information networks, and generally have fewer resources to devote to information-gathering about new markets, in part due to time constraints. Some trade promotion agencies have established targets to ensure their services are offered to, and taken up by, women business leaders. In some cases, this may mean engaging in non-traditional export sectors, or with smaller size firms, or firms that export a smaller number of goods and services. Some of the export sectors where women-led firms have expressed the need for more support are food, health-related products and cosmetics. Catering to women-led firms may also mean communicating about export promotion agency services in networks where women business leaders are found, and creating networks of women exporters.[11] A first step toward more inclusive trade promotion is to monitor and report on the number of women business leaders and men business leaders that use trade promotion services.

Women-led firms have been shown to benefit particularly from engagement on digital platforms. Ensuring they have the training and tools that they need to engage on such platforms could be an objective of trade promotion agencies or small business development associations. Some programmes do this already, like *Mujer Produce* in Perú. A first step to engaging in digital trade, however, is a fast and reliable internet connection, preferably fixed broadband. In countries where that is not available at affordable cost, including outside urban centres, providing such services could be prioritised.

Finally, trade missions that are organised by export promotion agencies could ensure a gender balance. Trade missions organised in conjunction with embassies in target markets, potentially including participation in trade shows, can increase information gathering, contacts, and market knowledge for their participants. In the first instance, monitoring the gender balance of such trade missions can inform as to their inclusiveness.

8.6. Data gaps

Evidence-based policymaking can only be undertaken with robust, comprehensive data. Data on employment and on business characteristics needs to be combined with trade data to give a comprehensive picture of women's engagement in trade. This can only be done at the national level. In many countries, this data exists: the challenge is combining different data sources. This exercise has been undertaken in Brazil very recently.

Other types of data that contribute to understanding women's potential to engage in trade, and how trade impacts them, are wide-ranging. Better understanding the impact of trade through the price channel on different types of households requires harmonised household expenditure surveys in internationally recognised classifications. Women's access to credit and resources determines their ability to grow their businesses and engage in paid productive activity so available data on loan applications and loans extended is a cornerstone of better understanding the challenges they face. Comprehensive, recent data on unpaid work and on women's participation on corporate boards and in senior positions can shed light on the barriers to women's advancement, including barriers to future entrepreneurship.

Some data could be collected through programmes and policies that aim to close gender gaps. For example, one way to support closing gender wage gaps is to promote pay transparency where firms are obliged to report their pay structures by gender at all levels of the firm. This information can be used to measure progress on closing those gaps. Similarly, reporting requirements for women on boards and in senior leadership can inform as to progress in breaking the "glass ceiling". Many trade promotion agencies collect data through their programmes to support women entrepreneurs, both through surveys of their members, and feedback from programmes that women exporters attend.

The OECD is undertaking an exercise of examining existing data gaps in women's engagement in trade, and the gaps that policymakers face in undertaking evidence-based gender-responsive trade policies. That exercise should suggest areas of further focus to collect new ‒and combine existing ‒sources of relevant data.

8.7. Domestic policies

In some countries, legislation does not adequately protect women and legislative reforms could be envisaged. In Argentina and Colombia, there are no civil or criminal penalties for sexual harassment in the workplace (World Bank, 2023[1]). Sexual harassment is common in some countries, and perhaps more prevalent in those where sexual harassment legislation is not enforced. Moreover, even when legislation is in place, it is sometimes not implemented sufficiently. Although there is appropriate legislation in place for some years regarding sexual harassment in Mexico, for example, there have been numerous cases of women who have reported such abuse losing their jobs. In some countries and particularly in more vulnerable jobs, women have been asked to take a pregnancy test before securing a position. Although these requirements may be forbidden, the business climate may be such that they are accepted either due to incomplete implementation of legislation, low penalties for non-compliance, or accepted behaviours that are in contrast to existing regulations.

Gender gaps persist in many areas, including high gender wage gaps. In some countries under review (Chile, Colombia and Mexico) there is no explicit law in place that mandates equal pay for equal work (World Bank, 2023[1]). Greater pay transparency at the firm level, and at all levels of firm hierarchy, can help tackle gender wage gaps (OECD, 2023[4]). However, reporting gender pay gaps only tackles the issue of wage discrimination in formal firms. Some of the largest gender pay gaps in many middle-income countries are at among lower wage workers, many of whom work in the informal economy.

In some countries under review, the informal economy accounts for close to half of productive activity. This activity is subject to little oversight and is untaxed and unregulated. It is therefore not surprising that some legislation is imperfectly implemented. Tackling informality is a complex undertaking. It requires clear and transparent legislation and regulatory environment, as well as streamlined legislation that incentivizes citizens and businesses to comply. Many policies to counter informal activity are punitive — fines for unpaid taxes and unregistered business activity for example. The benefits of trade can be a positive incentive for firms to formalise since firms that trade need to prove their formal existence when engaging with border authorities and are more likely to need to access the benefits accessible only to formal firms such as obtaining credit.

One area where gender gaps persist particularly strongly in Latin America is in unpaid work. Changing the gender balance in responsibility for unpaid work requires a long-term commitment. One clear area where the amount of unpaid work can be reduced is through publicly provided, affordable childcare to families where both parents choose to pursue employment.

More generally, typical working hours in many Latin American countries are long. In some, the six-day work week is still common practice, making achieving work/life balance and raising children more challenging. This affects women more given their greater unpaid work responsibilities.

Establishing targets for women on boards has been shown in some countries to increase the number of women in senior positions. A first step toward greater Board transparency is requiring firms to report the gender balance on their Boards. This seems to have had a positive effect on inclusion of women on Boards in Mexico.

Globally, gender-based violence affects one in three women during her lifetime. A staggering 38% of women who are murdered are killed by a male intimate partner. Rates of gender-based violence are among the highest in some Latin American countries. In 2023, Latin America and the Caribbean recorded 3 877 femicides — 1463 of which took place in Brazil.[12] In Mexico, on average ten women die every day as a result of femicide and gender-based violence has increased substantially in the last decade, even compared with other types of violence. High levels of domestic violence and of violence more generally increases anxiety, particularly among women, increases potential for psychological scarring and can negatively impact their confidence and their ability to take the risks necessary to succeed in the professional sphere. Hence, the challenges posed by violence are closely related to the economic empowerment of women and their ability to access economic opportunities. Many countries under review have been addressing the high rates of gender-based violence through appropriate legislation. Monitoring and collection of information related to incidences of gender-based violence is key to better understanding and countering such violence. Sharing information on good practice could be envisaged in the context of trade agreements or co-operation agreements such as GTAGA, in addition to prioritising actions against gender-based violence at the national and sub-national levels.

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Notes

[1] A review of *ex ante* impact assessment methodologies, including as regards gender-specific commitments, can be found in Moïsé and Rubínová (2021[6]).

[2] Not all of the recommendations in this section are within the purview of the seven Latin American countries covered in this *Review*. However, in supporting multi-lateral or plurilateral policy action in these areas, they and others advance policy action on creating a level playing field for women and MSMEs in trade.

[3] See https://www.gov.br/mdic/pt-br/centrais-de-conteudo/publicacoes/documentos-da-reuniao-ministerial-de-comercio-e-investimentos/ingles/g20-compendium-of-good-practices-to-increase-the-participation-of-women-in-international-trade.pdf.

[4] APEC, Priorities for APEC Peru 2024 – Policy and Discussion Papers, 2023/ISOM/004; and https://www.apec.org/meeting-papers/sectoral-ministerial-meetings/trade/joint-statement-of-apec-ministers-responsible-for-women-and-ministers-responsible-for-trade.

[5] Specific contact points at selected border posts could be considered.

[6] Advance rulings can reduce disputes at the actual moment of release or clearance with the customs authority on tariff headings, valuation, and origin (i.e. eligibility to preferential treatment) and consequently delays are avoided.

[7] Structured discussions of the challenges faced by women entrepreneurs were held in a series of round tables in Mexico, Colombia, Costa Rica and Peru between July 2023 and May 2024.

[8] The import/export invoicing process requires creating a commercial invoice with details of the goods, their value, buyer/seller details, payment terms, and methods. This invoice helps with customs clearance, duty, and tax determination, and can vary based on the country and type of goods being shipped.

[9] *De minimis* concerns thresholds below which either import duties and/or VAT do not apply or for which customs procedures, including data requirements, are simplified (López González and Sorescu, 2021[5]).

[10] The *Programa Remessa Conforme* (PRC) is a new voluntary compliance programme open to national and foreign companies using e-commerce platforms, websites, or digital tools to sell their products. The criteria to participate in the programme encompass a spectrum of issues, ranging from basic regulatory compliance to a firm commitment to anti-smuggling efforts and the monitoring of registered sellers.

[11] New Zealand Trade and Enterprise (NZTE), New Zealand's trade promotion agency, has recently overhauled its programmes to ensure greater inclusivity, a model that could inspire progress in similar agencies (Box 3.5 in OECD SME and Entrepreneurship Outlook 2023).

[12] ECLAC, Gender Equality Observatory, https://repositorio.cepal.org/server/api/core/bitstreams/69e978aa-ff89-4afb-afbb-e5d39904b9b1/content.

Trade and Gender Review of Latin America

The *Trade and Gender Review of Latin America* examines women's engagement in trade in seven Latin American countries: Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico, and Peru. It presents a quantitative and qualitative analysis of women in trade in three of their economic roles—as workers, business leaders, and consumers—and examines relevant trade policies that most affect them. The *Review* suggests policies that aim to better support women in trade in the seven countries including: incorporating and implementing gender-related provisions in trade agreements; supporting exports of women-led businesses; ensuring market access for goods and services that women produce and consume; ensuring coherence across policy areas including those that aim to tackle informality; as well as legal, regulatory and structural barriers that exclude women from labour markets and from accessing finance. These policy recommendations aim to ensure women in Latin America share in the benefits from trade and contribute to make their region more prosperous, and thereby a safer and more desirable place to live and work.

PRINT ISBN 978-92-64-44570-3
PDF ISBN 978-92-64-34482-2

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